

COMPREHENSIVE ANNUAL FINANCIAL REPORT

FOR THE YEAR ENDED JUNE 30, 2017



Des Moines Independent Community School District
DES MOINES, IOWA

Des Moines Independent Community School District, Des Moines, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2017

Official Issuing Report:
Thomas Harper
Chief Financial Officer

Office Issuing Report:
Business and Finance Department

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October 27, 2017

The Board of Education and Residents
Des Moines Independent Community School District

We are pleased to submit the Comprehensive Annual Financial Report (CAFR) for the Des Moines Independent Community School District (the District) for the fiscal year ending June 30, 2017.

The District operates in compliance with Generally Accepted Accounting Principles (GAAP) and prepares its financial statements in accordance with Governmental Accounting Standards Board (GASB) Statement No. 34. This report has been prepared to conform to guidelines recommended by the Association of School Business Officials (ASBO) International and the Government Finance Officers Association (GFOA) of the United States and Canada.

RSM US LLP, Certified Public Accountants, has issued an unmodified ("clean") opinion on the District's financial statements for the year that ended June 30, 2017. The independent auditor's report is located at the front of the financial section of this report.

The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with management of the District. Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal control that it has established for this purpose. The District believes that the data presented herein is accurate in all material respects, the data is presented fairly to set forth the financial position and results of operations of the District as measured by the financial activity of the various funds, and all necessary disclosures have been included, enabling the reader to gain the maximum understanding of the District's financial affairs.

Management's Discussion and Analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview, and analysis of the District's basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

As is the case every year, the District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U. S. Office of Management and Budget Circular A-133, Audits of States and Local Governments and Nonprofit Organizations. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs, and corrective action plans (if any) are included in the single audit compliance section of this report.

Profile of the Government

During most of fiscal year 2017, school districts in Iowa operated in accordance with Dillon's Rule (that is, school districts only have the ability to do that which is expressly authorized by the Code of Iowa). In May 2017, the Iowa Legislature created limited home rule for Iowa school districts. The changes provides more flexibility to school districts in their exercise of powers where the law or administrative rule does not already proscribe or prohibit the action. All Iowa school districts remain under the control of a local board of directors and have fiscal independence from other governmental entities. The District is a political subdivision of the State of Iowa, and, as such, operates public schools and supporting programs for children in preschool through grade twelve.

The District is governed by a seven-member Board of Education; members serve overlapping four year terms and are elected on a non-partisan basis. The Board of Education operates under the policy governance model and, thus, is a policymaking and planning body whose decisions are carried out by the Superintendent.

The District serves more than 200,000 people who live in Polk and Warren Counties. Covering nearly 86 square miles, the District has developed in the heart of the Des Moines city center, east into Pleasant Hill, west into Windsor Heights, and south into Warren County. The District benefits from having strong and diverse neighborhoods and a citizenry deeply involved in its public education.

Here's what others have to say about Des Moines being a great place to live and work:

- 2017 – #1 Best Place for Millennials to Live in the Midwest – Growella
- 2017 – #1 Best Affordable Place to Live in the U.S. – U.S. News and World Report
- 2017 – #4 Best Place for Children – SmartAsset
- 2017 – #3 Best Place to Live with a Low Cost of Living – Business Insider
- 2017 – The best city for young professionals – thespruce.com
- 2016 – Best City for the Middle Class – BusinessInsider
- 2016 – Ranked in the Top 10 Hippest Mid-Sized Cities in America – Gogobot.com
- 2016 – #4 Best Mid-Sized Cities for Making a Living – MoneyGeek.com
- 2016 – #4 Best Cities for Young Families – ValuePenguin.com
- 2016 – #10 Best City to Live and Work – Robert Half
- 2015 – #2 Best City to Find a Job – WalletHub
- 2015 – Emerging Start Up City – Investopedia
- 2015 – #3 Top City for New College Graduates – SmartAsset
- 2015 – #6 Midsize Metro Where College Grads Move for Jobs – AIER
- 2015 – #4 Best City for Technology Workers to Start their Career – Computer Training Schools
- 2015 – Best Places for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Best City for Young Professionals – Forbes
- 2014 – Des Moines is the #3 Best City with the most job opportunities per Capita – Beyond.com
- 2014 – Des Moines is the #2 Best City for Business and Careers – Forbes
- 2014 – Des Moines is the #1 Wealthiest City in America – Today show
- 2014 – Des Moines is the #1 City with an Up and Coming Downtown – Forbes
- 2014 – Des Moines is the #6 City for raising a family – Forbes
- 2013 – Des Moines is the #1 Place for Business and Careers – Forbes
- 2013 – Des Moines ranks #1 "Best Cities for Families." – Kiplinger
- 2013 – Des Moines Named No. 5 in Top 100 Best Cities for Families. – Parenting Magazine
- 2013 – Greater Des Moines Ranks #1 Best City for Young Professionals. – Forbes
- 2013 – Des Moines ranks #2 Best Place for Business. – Forbes
- 2013 – Des Moines is the #1 richest metro in the nation. – US News & World Report

The District provides a full range of programs and services including instructional, preschool, student services, school building administration, maintenance of sites and facilities, transportation, food service, child care, custodial, extra co-curricular and athletic activities, and community education. The District provides a comprehensive educational program appropriate to students in preschool through grade twelve. These services include regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for at-risk students, gifted and talented students, and students in the English Language Learner (ELL) program.

The District's enrollment for 2016 was 32,979, making it by far the largest public school district in Iowa. Students are served in 39 elementary schools, 10 middle schools, one standalone ninth grade academy, five comprehensive high schools, one alternative high school, a secondary career and technical institute, an advanced learning central academy, and other specialty schools and programs. The District also operates preschool programs for more than 1,900 children in several elementary schools, four preschool centers, and multiple community partner locations. The District also maintains a maintenance/warehouse facility, a print shop, and athletic complexes. The average age of the District's buildings is 68 years. However, using Statewide Penny revenues, the District has ensured these buildings are well maintained for many additional years of future use. The District prefers to renovate and maintain current structures, as opposed to building new ones to replace them.

Des Moines Public Schools may be the biggest provider of public education in Iowa, but the district takes anything but a one-size-fits-all approach to educating students. In fact, families in Des Moines can find more educational options than anywhere in the state, including:

- *Advanced Placement.* Central Academy, attended by students from 10 central Iowa school districts, is one of Iowa's top AP programs, dedicated to providing a challenging curriculum. Central Academy provides additional services for students in comprehensive schools by offering the Gifted Core Pathway and unique AP, IB and World Language courses. The Gifted Core Pathway fosters academic excellence through the challenge of compacted curricula by offering acceleration and enrichment for students who demonstrate early readiness for advanced work. Students, especially those under-represented in gifted programs, develop competence, connection, and confidence as they embrace challenging coursework. The Belin-Blank Center for Gifted Education and Talent Development placed Central Academy "in a class by itself" as a college preparatory school. In addition, DMPS has completed a significant expansion of AP course offerings throughout all five comprehensive high schools, providing thousands of student's access to rigorous and advanced courses.
- *International Baccalaureate.* Home to the first IB program in Iowa, DMPS offers this world-class educational opportunity at five elementary schools (Hubbell, Park Avenue, Stowe, Moore, and Walnut Street) and four middle schools (Brody, Goodrell, Meredith, and Merrill). Central Academy and Hoover are the only high schools in Iowa to offer these programs.
- *Career & Technical Institute.* Located at Central Campus, CTI presents students with learning opportunities in several high-skill areas, including graphic design, broadcasting & film, culinary arts, fashion, skilled trades, and automotive technology. Also, DMPS offers one of only three high school aviation programs certified by the FAA and has the largest marine biology program of any non-coastal high school. Central Campus is the first Iowa school named by the Department of Labor (DOL) as a "high-quality pre-apprenticeship" program.
- *Higher Education Partnerships.* Des Moines Public Schools' proximity to Drake University, Iowa State University, Des Moines University, Grandview University, Des Moines Area Community College, and other institutions of higher education have created numerous partnerships and collaborative efforts that support students, teachers, and administrators. This includes the District's Master Degree Program available exclusively through Drake University offered to teachers who are part of the Blue Teaching Contract at little or no cost.
- *Downtown School.* The Downtown School, located in Central Campus, is a national model where students learn in multiage classes. The school has been nationally recognized for its innovative programming, including an extended calendar, and is a great option for parents who work in the heart of the city.
- *Montessori.* Cowles Montessori School is the only public Montessori program in Iowa, serving students in grades K-8. Students learn in multiage classrooms and children's natural curiosities are exploited to the fullest as they advance at their own pace.

- *Alternative Programs.* Scavo Alternative High School, Future Pathways, Orchard Place, Des Moines Alternative, and Middle School Alternative offer programming for students who may be struggling with attendance requirements at a comprehensive school or have other personal issues and need alternative programming.
- *Ruby Van Meter and Smouse schools.* Ruby Van Meter School (serving secondary-age children) and Smouse Opportunity School (serving elementary-age children) provide high-quality, specialized instruction to physically and mentally disabled students.

Des Moines educators and staff are recognized as being among the very best in their fields. These are just some of the awards and honors they have earned in recent years:

- 2017 PBS Digital Innovator
- 2017 Six-time Energy Star Partner of the Year
- 2016 AP Teacher of the Year
- 2016 ISPPRA Communicator of the Year
- 2016 Five-time Energy Star Partner of the Year
- 2016 Des Moines Register Coach of the year
- 2015 Magna Award – National School Board Association
- 2015 Iowa Teacher of the Year
- 2015 Ten National Award Winners
- 2015 “Why Des Moines Can be a Model for Urban Education” – National Journal
- 2015 District of Distinction – District Administration Magazine
- 2014 Iowa Elementary School Counselor of the Year
- 2014 Presidential Award for Excellence in Mathematics and Science Teaching finalists
- 2014 Prostart Educator of Excellence Award
- 2014 Iowa School Social Worker of the Year by the Iowa School Social Workers Association
- 2014 Four Rotary Educators of the Year
- 2014 Rising Star by the Journalism Education Association
- 2014 Two Finalists for Iowa Teacher of the Year
- 2013 Finalist for Iowa Teacher of the Year
- 2013 and 2012 Governor’s Iowa Environmental Excellence Award
- 2013 Green Ribbon School Award for Des Moines Public Schools from the U.S. Department of Education
- 2013 and 2012: 15 total awards and citations from the National School Public Relations Association for a wide range of communications including a new website, a revamped and more frequent community newsletter, special purpose publications/reports, and video news productions. In both years, DMPS received NSPPRA’s highest honor, the Award of Excellence, for use of social media, one of only two districts nationwide to achieve that distinction in 2012.
- 2013 recipient of a Sunny Award for having one of the most transparent government websites in the nation
- 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Excellence in Financial Reporting from the Association of School Business Officials Association for the school district’s comprehensive annual financial report
- 2016, 2015, 2014, 2013, 2012, 2011, 2010, 2009, 2008, and 2007 Certificate of Achievement for Excellence in Financial Reporting from the Government Finance Officers Association for the school district’s comprehensive annual financial report

Economic Condition and Outlook

Local Economy - The Des Moines Independent Community School District is located in the center of Iowa, primarily in the city of Des Moines (the City). The City is the industrial, technology, commercial, financial, trade, transportation, and governmental center of Iowa. The City’s insurance industry is the third largest in the world, after London and Hartford, with more than 200 insurance offices/headquarters located in Des Moines. Insurance activities are part of a strong local economy that is also based in agriculture, manufacturing, technology, education, health care, and other services. Principal Financial Group, Inc. and UnityPoint Health Systems are the major private employers within the District.

Des Moines, the city proper, is comprised of 80.87 square miles of land with a population of 210,000, approximately 25% of which is younger than 18. The median household income (2015) in Des Moines was \$46,290, and approximately 20% of persons live below the poverty line.

Today, Iowa's economy stands on firm ground as it recovers from the deep recession that began in 2008. A steady employment outlook resulted in Iowa's unemployment rate decreasing to 3.0 percent in August 2017 from 3.4 percent in August 2016. According to a report issued by the Iowa Legislative Services Agency (LSA) for FY 2018, the REC estimates growth will be positive 3.6%. In dollar terms, net revenue is projected to increase \$258.5 million for FY 2018. (LSA Fiscal Update March 2017).

The District has experienced slow but steady increases in its tax base, averaging approximately one percent per year. At the same time, enrollment taken on October 1, 2016, which affects fiscal year 2018 state aid, increased by 1.2%, as compared to the October 1, 2015 count. The amount of state supplemental aid for fiscal year 2018 is 1.11%. Enrollment is projected to remain stable or increase slightly in future years.

Long-Term Financial Planning and Relevant Financial Policies - The district's solvency ratio is a measure of the district's fund equity position and is defined as the unassigned fund balance (commonly referred to as the cash reserves) divided by the district's total General Fund revenues, less AEA flow-through. Board guidelines state that the solvency ratio should not go below three percent, without prior knowledge of the Board. The Iowa Association of School Boards (IASB) considers a solvency ratio of zero to five percent to be adequate for short-term credit purposes, while a ratio of five to 10 percent is within "Target" or "Good" and therefore "can handle the unexpected." In addition, during the 2012-13 school year, the District's School Board approved a 15.0% target for the District's solvency ratio. The solvency ratio for the district remained steady at 13.0% as of June 30, 2017, compared to 13.0% in the prior year.

In addition, the Board monitors the district's unspent spending ratio. This ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the district's unspent spending authority divided by the district's maximum budget authority. It should be noted that reaching the maximum budget authority level would require the board to authorize and levy additional property taxes. The IASB recommends this ratio be in the target range of 10 - 20%. The projected unspent spending authority balance ratio is 6.2%, down from 9.5% for the prior year.

Major Initiatives: The District has completed the fourth phase of bonding ahead on the Statewide Penny. The District sold Revenue Bonds in FY 2017 to minimize future inflationary increases by condensing repair and renovation costs from a 10 year plan into a five year plan. The bonds will be paid back using Statewide Penny revenue.

The District is in the process of continuing to invest heavily in technology in the classroom. This is slated to be accomplished through the District's IT Blueprint. The District has installed state-of-the-art interactive projectors in every classroom and has rolled out students devices in every building. The District is also incorporating a blending learning approach in the classroom. This is an ongoing initiative to ensure each student is taught in a 21st century learning environment.

The District continues to treat energy savings/consumption as a priority. Currently 100% of our classrooms are air conditioned. This is a 26% increase since 2008. Forty-one (41) of our schools utilize the earth's natural temperatures to heat and cool our buildings. Fifty-eight (58) schools are ENERGY STAR qualified which means they operate in the upper 25% of like buildings nationally. Recognition of our sustainability is that the district was recognized with these major awards:

- 2017 Facilities Maintenance Decisions Achievement Award (FMDAA)
- 2017 Energy Star Partner of the Year
- 2016 ENERGY STAR Climate Communicator
- 2016 Governor's Iowa Environmental Excellence Award in Energy Efficiency/Renewable Energy
- 2016, 2015, 2014 ENERGY STAR Partner of the Year – Sustained Excellence

- 2015 Environmental Protection Agency's ENERGY STAR National Building Competition: Operations Center and Greenwood Elementary School top finishers in the category of water-use reduction for individual buildings. DMPS High Schools team finished #5 for water-use reduction out of all teams entered.
- 2014 Environmental Protection Agency's ENERGY STAR National Building Competition: Findley Elementary School ranked #1 in education category for the most energy-consumption reduction among all entered K-12 facilities. Pleasant Hill a top finisher in the category of water-use reduction with five additional facilities posting more than 20-percent reductions in water use.
- 2014, 2015 ENERGY STAR Partner of the Year – Climate Communications
- 2014 Building Operations Managements FMXcellence Recognition
- 2013 Environmental Protection Agency's ENERGY STAR National Building Competition: Studebaker Elementary School ranked #7 and McCombs Middle School ranked #8 overall for the most energy-consumption reduction
- 2013 Green Ribbon Schools District Sustainability Award
- 2013 ENERGY STAR Partner of the Year
- 2013 Governor's Iowa Environmental Excellence Award for Outstanding Environmental Leadership and Innovation

Voters approved the continuation of the District Property, Plant, And Equipment Levy (PPEL) on September 14, 2010 for another 10 years. With this vote, the District will continue to receive PPEL funds through fiscal year 2021.

Other Financial Information

Internal Control. District management is responsible for establishing and maintaining an internal control system designed to ensure that its assets are protected from loss, theft, or misuse and that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. Internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state, and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ending June 30, 2017 provided no instances of material weaknesses in the internal control or violations of applicable laws.

Budgetary Controls. In addition, the District maintains strong budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, Special Revenue funds, Debt Service Fund, Enterprise funds, Capital Projects Fund, and Private Purpose Trust Funds are included in the annual appropriated budget by program. Project length financial plans are adopted for Capital Projects funds and budgeted accordingly on an annual basis. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all combined funds, rather than at the individual fund level.

As demonstrated by the statements and schedules included in the financial section of this report, the District continues to meet its responsibility for sound financial management.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records materially conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Iowa Department of Education. The chart of accounts manual is updated annually, and the District is materially in compliance with these requirements.

Independent Audit. The accounting firm RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act Amendments of 1996 and related OMB Circular A-133. The auditor's report on the basic financial statements, combining and individual fund statements and other schedules, is included in the financial section of this report. The Comprehensive Annual Financial Report also includes a statistical section which is unaudited.

Awards and Acknowledgments

The District is pleased to say that for the tenth year in a row, the Government Finance Officers Association (GFOA) of the United States and Canada awarded a Certificate of Achievement for Excellence in Financial Reporting to the Des Moines Independent Public School district for its comprehensive annual financial report (CAFR) for the fiscal year that ended June 30, 2016. In order to be awarded a Certificate of Achievement, a district must publish an easily readable and efficiently organized CAFR. This report must satisfy both generally accepted accounting principles and applicable legal requirements.

In addition, the Association of School Business Officials (ASBO) International has, for the tenth year in a row, awarded a Certificate of Excellence in Financial Reporting to the district for the fiscal year that ended June 30, 2016. This award represents the highest recognition for school district operations offered by ASBO International.

Each Certificate is valid for a period of one year only, and the certificates for fiscal year 2016 are included in this report. The district believes that the current CAFR continues to meet the requirements for the GFOA and ASBO International Certificate of Achievement programs and will be submitting it to the GFOA and ASBO International to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the District's accounting and payroll staff and the auditors from RSM US LLP. The District would like to express its appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,



Dr. Thomas M. Ahart, Superintendent



Thomas L. N. Harper, Chief Financial Officer
CPA, CFM, CMA, CIA, SFO, CGFM, CITP, SBO, CGMA, CPFO

Des Moines Independent Community School District

**Board of Education and School District Officials
Year Ended June 30, 2017**

Name	Title	Term Expires
Board of Education		
Teree Caldwell-Johnson	President	2017
Cindy Elsbernd	Vice President	2019
Heather Anderson	Board Member	2019
Rob Barron	Board Member	2017
Connie Boesen	Board Member	2017
Dionna Langford	Board Member	2017
Natasha Newcomb	Board Member	2019
School District Officials		
Thomas Ahart	Superintendent	
Thomas Harper	Secretary and Treasurer	Appointed



Government Finance Officers Association

**Certificate of
Achievement
for Excellence
in Financial
Reporting**

Presented to

**Des Moines Independent
Community School District
Iowa**

For its Comprehensive Annual
Financial Report
for the Fiscal Year Ended

June 30, 2016

A handwritten signature in black ink, reading "Jeffrey R. Enen". The signature is written in a cursive style with a prominent 'J' and 'E'.

Executive Director/CEO



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

**Des Moines Independent Community
School District**

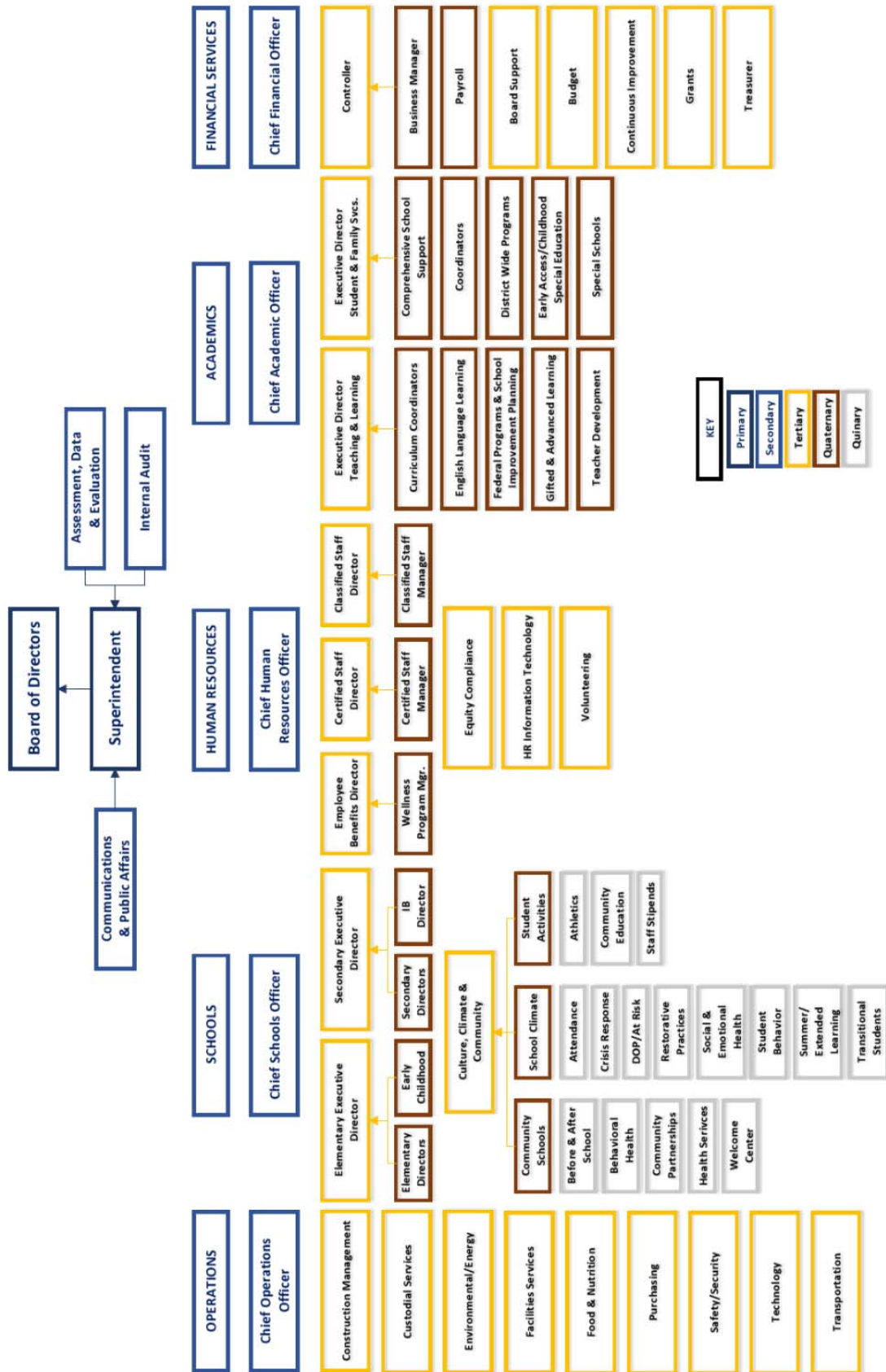
**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2016.**

The CAFR has been reviewed and met or exceeded
ASBO International's Certificate of Excellence standards.



Anthony N. Dragona, Ed.D., RSBA
President

John D. Musso, CAE, RSBA
Executive Director



Independent Auditor's Report

To the Board of Directors
Des Moines Independent Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Des Moines Independent Community School District (the District) as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the District as of June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter

As explained in Note 10 to the basic financial statements, the District adopted GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*, which restated beginning net position and net OPEB liability of the governmental activities.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis on pages 3 through 15, the schedule of changes in the District's total OPEB liability and related ratios on page 64, the Iowa Public Employees' Retirement System pension plan schedules on pages 65 through 67, the Des Moines Teachers' Retirement System pension plan schedules on pages 68 through 74 and the budgetary comparison schedule on pages 75 through 77 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The combining nonmajor fund financial statements and individual fund statements, listed in the table of contents as supplementary information, and the accompanying schedule of expenditures of federal awards, as required by the Single Audit Act and Subpart F of Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are presented for purposes of additional analysis and are not a required part of the basic financial statements. This supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections, as listed in the table of contents has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

RSM US LLP

Des Moines, Iowa
October 27, 2017

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

This Management's Discussion and Analysis is provided by the management of the Des Moines Independent Community School District (the District) to offer readers an overview and analysis of the financial activities of the District for the fiscal year that ended June 30, 2017. We encourage readers to consider the Discussion and Analysis presented here in conjunction with the financial statements, which follow.

Financial Highlights

- **Budget:** The state of Iowa legislatively approved a state supplemental aid factor of 2.25 percent for fiscal year 2017. For fiscal year 2018, the state supplemental aid rate is 1.11 percent.

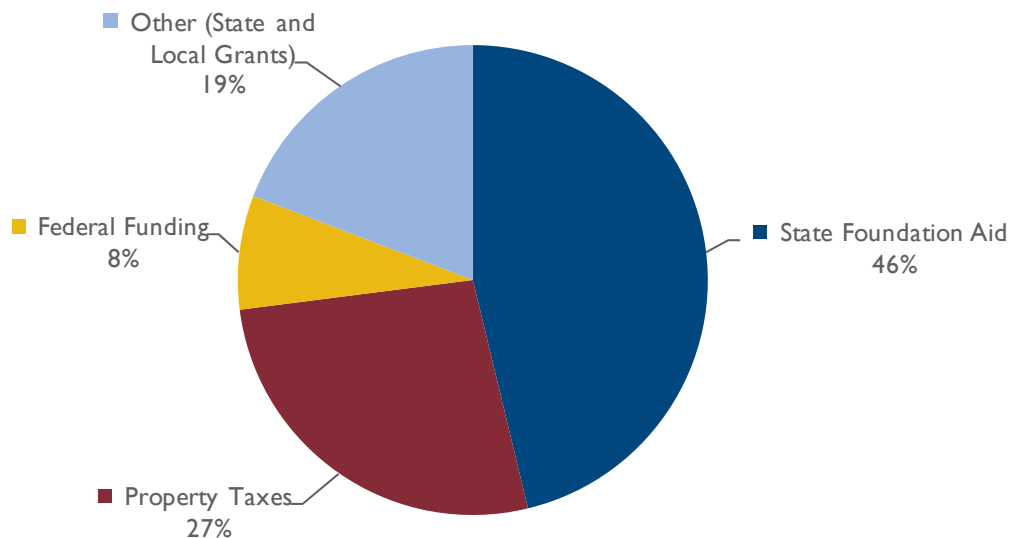
In April 2016, the board approved an expenditure budget for fiscal year 2017 for all funds of \$518.9 million (without transfers) or \$537.2 million (including transfers). In May 2017, the board approved a budget amendment to increase expenditures by \$19.7 million.

This year, actual expenditures for all funds by major function were less than anticipated, \$15.3 million less than budgeted.

- **Revenue:** Government-wide revenues were \$511.6 million, which primarily consisted of state aid, property taxes, federal grants, and local option sales taxes. General Fund revenues accounted for 84.3 percent of the Government-wide revenue. Program specific revenues in the form of charges for services and grants, and contributions accounted for 28.3 percent of total fiscal year 2017 revenues.

The General Fund had \$431.4 million in revenues for fiscal year 2017, which primarily consisted of state aid and property taxes. General Fund revenues increased 2.9 percent in fiscal year 2017, primarily due to an increase in property tax revenue and enrollment.

GENERAL FUND REVENUES



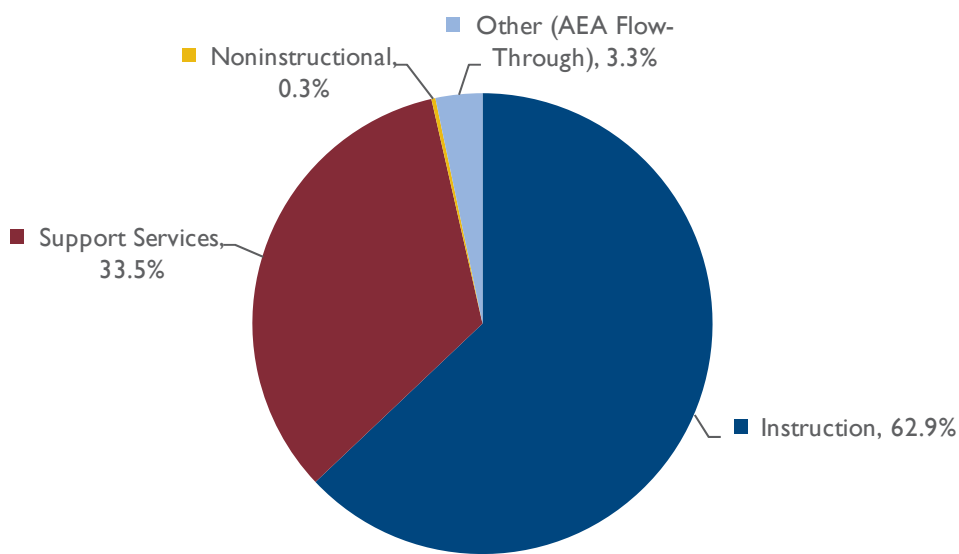
Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Expenses: Government-wide expenses, including business-type activities, were \$503.4 million related to governmental activities, of which \$145.0 million of these expenses were offset by program specific charges for services or grants and contributions. General revenues of \$366.6 million provided for the remaining costs of these programs.

The General Fund had \$430.1 million in fiscal year 2017 expenditures, which primarily consisted of instructional expenditures. General Fund expenditures increased 4.3 percent, primarily due to one-time initiatives to increase efficiency and effectiveness, the implementation of the District's Information Technology (IT) Blueprint, as well as increased benefit costs for previously-existing FTEs.

GENERAL FUND EXPENDITURES



- **General Fund Balance and Solvency Ratio:** The District's overall General Fund balance increased from \$81.0 million as of June 30, 2016 to \$82.3 million as of June 30, 2017, an increase of \$1.3 million. The District, like all school districts in the state, is required to maintain a balanced budget. In an effort to balance the district budget, one of many strategies the district employed was to ensure revenue and expenditures remained balanced.

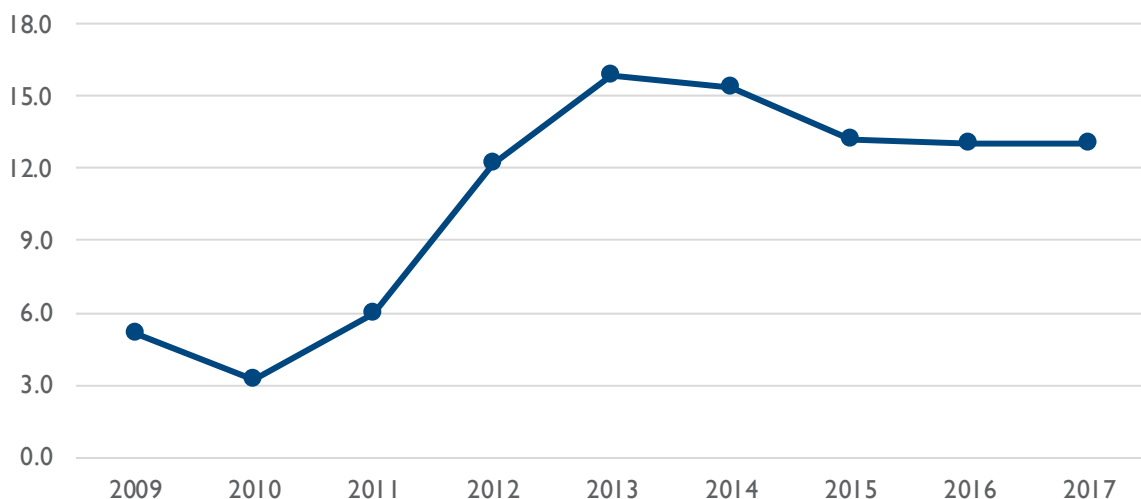
The General Fund unassigned portion of fund balance decreased from \$45.8 million as of June 30, 2016 to \$45.3 million as of June 30, 2017, a decrease of \$0.5 million.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

The District's solvency ratio also remained stable at 13.0 percent as of both June 30, 2016 and June 30, 2017.

SOLVENCY RATIO BOARD RANGE



The Board established a solvency ratio minimum of 15 percent during fiscal year 2013. The Iowa Association of School Boards (IASB) considers a solvency ratio of 0-5 percent to be adequate for short-term credit purposes, while a ratio of 5-10 percent is within "target" or "good" and, therefore, "can handle the unexpected." The GFOA recommends at least two months of expenditures of cash on hand, which equates to approximately a 17 percent solvency ratio for the District.

- **Debt:** The District's total long-term debt decreased by a net of \$13.3 million during the current fiscal year due to the issuance of refunding revenue bonds to advance refund the Series 2010 school infrastructure sales, services, and use tax revenue bonds coupled with payments of current debt balances. The total outstanding bond debt at the end of the fiscal year is approximately \$162.5 million, consisting of revenue bonds.

Overview of the Financial Statements

This Discussion and Analysis is intended to serve as an introduction to the District's basic financial statements. The District's basic financial statements comprise three components: 1) district-wide financial statements, 2) fund financial statements, and 3) notes to basic financial statements. This report also contains required supplementary information in addition to the basic financial statements themselves.

Government-wide financial statements: The Government-wide financial statements are designed to provide readers with a broad overview of the District's finances, in a manner similar to a private-sector business. These statements provide both short-term and long-term information about the District's overall financial status. That is, all of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when the cash is received or paid.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Over time, increases or decreases in the District's net position are an indicator of whether the financial position is improving or deteriorating, respectively. However, to assess the District's overall financial health, nonfinancial factors should also be considered, such as changes in the District's property tax base and the condition of District school buildings.

In the Government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** These are activities primarily supported by property taxes and intergovernmental revenues such as state aid or federal funding, and expenditures are classified by function such as instruction, support services, operation and maintenance of plant, student transportation, operation of noninstructional services, and capital construction.
- **Business-type activities:** These are supported by fees charged by the District to help cover the costs of services such as food services, child care services, home remodeling, and automotive services.

Fund financial statements: A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. These statements focus on individual parts (funds) of the District, reporting the District's operations in more detail than the Government-wide statements. Some funds are required by state law or bond covenants, and some are established to control and manage money for particular purposes.

All of the funds of the District can be divided into three categories: governmental funds, proprietary funds, and fiduciary funds.

- **Governmental funds:** Governmental funds are used to account for essentially the same functions reported as governmental activities in the Government-wide financial statements. These statements explain how basic services, such as regular program and special education, were financed in the short-term as well as what remains for future spending.

Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate the comparison between governmental funds and governmental activities.

Information is presented separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures and changes in fund balances for the General Fund and the Capital Projects Funds, which are considered to be major funds. Data from the other governmental funds are combined into a single, aggregated presentation. This aggregated information includes the Special Revenue Funds of Student Activity, Management, and DMPS (expendable trust funds); Capital Projects Funds of Physical Plant and Equipment Levy (PPEL) and Public Education and Recreation Levy (PERL); Permanent Funds; and the Debt Service Fund.

Proprietary funds: Proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, i.e. fees are charged to cover the cost of services rendered.

These funds include activities defined as enterprise funds and internal service funds. The District's enterprise funds are all considered nonmajor and include School Nutrition, Child Care, Home Construction, and Automotive.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

The District has four internal service funds: Self-Insurance, Risk Management, Collage, and Print Shop. Collage was closed during fiscal year 2017, with the services consolidated with the Print Shop. Because all of these services predominately benefit the District's governmental activities, rather than the business-type activities, they have been included in the governmental activities in the Government-wide financial statements.

- **Fiduciary funds:** Fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others. Fiduciary funds are not reflected in the Government-wide financial statements, because the resources of those funds are not available to support the District's own programs. These funds include Pension Trust, Private Purpose Trust, and Agency Funds.

Notes to basic financial statements: The financial statements also include notes that provide additional information that is essential to a full understanding of the data provided in the Government-wide and fund financial statements.

Major features of the Government-wide and fund financial statements:

Government-Wide Statements		Fund Financial Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	Activities that are not proprietary or fiduciary, such as instruction, administration, and building maintenance	Activities the District operates similar to private businesses such as school nutrition	Activities the District administers resources on behalf of someone else, such as scholarships
Required financial statements	Statement of Net Position	Balance Sheet	Statement of Net Position	Statement of Fiduciary Net Position
	Statement of Activities	Statement of Revenues, Expenditures and Changes in Fund Balances	Statement of Revenues, Expenses and Changes in Net Position Statement of Cash Flows	Statement of Changes in Fiduciary Net Position
Accounting basis	Accrual accounting	Modified accrual accounting	Accrual accounting	Accrual accounting
Measurement focus	Economic resources focus	Current financial focus	Economic resources focus	Economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital and short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term
Type of inflow/outflow information	All revenues and expenses during year, regardless of when cash is received or paid	Revenues for which cash is received during or within specified periods after year-end of the year; expenditures when goods or services are received and liability is due and payable	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Other information: In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the District's budget process and other postemployment benefit information. The District adopts an annual budget for all budgeted governmental funds, enterprise, and trust funds in total. A budgetary comparison schedule has been provided.

Government-Wide Financial Analysis

Net position: The following table presents a summary of the District's net position for the year ended June 30, 2017 with comparison totals as of June 30, 2016. The information below as of June 30, 2016, does not reflect the impact of the restatement due to the District's adoption of Governmental Accounting Standards Board (GASB) Statement No. 75, as discussed in Note 10.

	Governmental Activities 2017	(Not restated) Governmental Activities 2016	Business-Type Activities 2017	Business-Type Activities 2016	Total 2017	(Not restated) Total 2016
Current assets and other assets	\$ 393,460,615	\$ 400,142,353	\$ 4,856,668	\$ 4,553,970	\$ 398,317,283	\$ 404,696,323
Capital assets, net	530,619,908	516,451,440	2,522,174	2,411,601	533,142,082	518,863,041
Total assets	924,080,523	916,593,793	7,378,842	6,965,571	931,459,365	923,559,364
Deferred outflows of resources	73,930,469	69,821,615	2,465,552	2,220,127	76,396,021	72,041,742
Current liabilities	93,833,386	89,736,517	892,974	1,202,648	94,726,360	90,939,165
Long-term liabilities	418,639,223	358,346,330	7,868,801	6,041,222	426,508,024	364,387,552
Total liabilities	512,472,609	448,082,847	8,761,775	7,243,870	521,234,384	455,326,717
Deferred inflows of resources	144,904,710	170,594,422	92,938	1,435,617	144,997,648	172,030,039
Net position:						
Net investment in capital assets	424,605,987	409,270,357	2,522,174	2,411,601	427,128,161	411,681,958
Restricted	38,432,829	36,241,306	-	-	38,432,829	36,241,306
Unrestricted	(122,405,143)	(77,773,524)	(1,532,493)	(1,905,390)	(123,937,636)	(79,678,914)
Total net position	\$ 340,633,673	\$ 367,738,139	\$ 989,681	\$ 506,211	\$ 341,623,354	\$ 368,244,350

The District's combined net position as of June 30, 2017, was less than the combined net position as of June 30, 2016. The increase pertaining to net investment in capital assets was the result of the capitalization of school renovation, major repair projects that were completed as part of the District's Schools First and Students First Renovation Plans. It should be noted that the District uses these capital assets to provide educational services; consequently, these assets are not available for future spending. The primary reason for the overall decrease in the total net position was the District's early adoption of GASB Statement No. 75 and the continuation of accounting for the District's pension plans in accordance with GASB Statement No. 68. Statement No. 75 requires the District to report a liability for the other postemployment benefits (OPEB) they provide. Statement No. 68 requires the District to report their proportionate share of the Iowa Public Employees Retirement System (IPERS) as well as the Des Moines Teachers Retirement System (DMTRS). Please refer to Note 9 and Note 10 for further details.

At the end of the current fiscal year, the District is able to report a positive balance in total net position. The same held true for the prior year.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Changes in net position: The following schedule shows the changes in net position for the year ended June 30, 2017 with comparison totals for the year ended June 30, 2016. The difference between revenues and expenditures represents the change in net position.

	Governmental Activities 2017	Governmental Activities 2016	Business-Type Activities 2017	Business-Type Activities 2016	Total 2017	Total 2016
Revenues:						
Program revenues:						
Charges for services	\$ 25,902,653	\$ 25,113,233	\$ 6,712,750	\$ 6,327,968	\$ 32,615,403	\$ 31,441,201
Operating grants and contributions	93,119,480	89,892,845	19,222,218	18,243,464	112,341,698	108,136,309
Capital grants and contributions	-	101,867	-	-	-	101,867
General revenues:						
Property taxes	132,712,161	127,295,742	-	-	132,712,161	127,295,742
Sales tax, capital projects	31,115,408	30,991,151	-	-	31,115,408	30,991,151
Investment earnings	1,163,645	1,517,487	-	-	1,163,645	1,517,487
State aid and other state sources	199,399,080	195,304,005	-	-	199,399,080	195,304,005
Other local sources	2,260,799	1,794,570	-	-	2,260,799	1,794,570
Total revenues	485,673,226	472,010,900	25,934,968	24,571,432	511,608,194	496,582,332
Expenses:						
Instruction	299,588,285	285,545,061	-	-	299,588,285	285,545,061
Support services	155,252,094	148,966,046	-	-	155,252,094	148,966,046
Noninstructional	3,414,227	7,497,669	-	-	3,414,227	7,497,669
Other expenses	19,727,480	20,733,231	25,451,036	23,201,203	45,178,516	43,934,434
Total expenses	477,982,086	462,742,007	25,451,036	23,201,203	503,433,122	485,943,210
Increase in net position before transfers	7,691,140	9,268,893	483,932	1,370,229	8,175,072	10,639,122
Transfers	462	-	(462)	-	-	-
Change in net position	7,691,602	9,268,893	483,470	1,370,229	8,175,072	10,639,122
Net position, beginning, as restated	332,942,071	358,469,246	506,211	(864,018)	333,448,282	357,605,228
Net position, (deficit) ending	\$ 340,633,673	\$ 367,738,139	\$ 989,681	\$ 506,211	\$ 341,623,354	\$ 368,244,350

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

- The main revenue sources were state aid and other state sources, property taxes and sales taxes, which account for 71.0 percent of total revenue.
- The District's expenses primarily relate to instruction and support services which account for 90.3 percent of the total expenses.
- Overall the District had an increase in net position of \$8.2 million in 2017. The change in net position was an increase of \$10.6 million in 2016.
- Governmental activities increased the net position by \$7.7 million or 94.1 percent of the total increase in net position. The change was primarily due to the increase in property tax revenue and state aid and other state sources compared to 2016.

Governmental Activities

- State foundation aid and other state sources, property taxes and sales taxes are the primary sources of revenue for the District, 41.1 percent, 27.3 percent and 6.4 percent, respectively, of total governmental activities revenues for fiscal year 2017 compared to 41.4 percent, 27.0 percent and 6.6 percent, respectively, for fiscal year 2016. Overall revenue increased 2.9 percent primarily due to an increase in state supplemental aid revenue and property tax revenue. Instruction constitutes the largest portion of expenditures at \$299.6 million or 62.7 percent of governmental activities expenses. The District offers a wide array of programs including general and special education, vocational and college preparatory classes.
- The noninstructional and other expenses of the District accounted for 4.8 percent of total costs.

Net Cost: The following table presents the total and net cost of the District's major governmental activities including instruction, other support services, noninstructional programs and other expenses, with comparative totals for 2016:

	2017		2016	
	Total Expenses	Net (Expense) Revenue	Total Expenses	Net (Expense) Revenue
Instruction	\$ 299,588,285	\$ (206,697,349)	\$ 285,545,061	\$ (194,299,822)
Other support services	155,252,094	(142,949,563)	148,966,046	(139,189,692)
Noninstructional programs	3,414,227	(3,264,177)	7,497,669	(7,386,313)
Other expenses	19,727,480	(5,564,932)	20,733,231	(6,758,235)
Total expenses	\$ 477,982,086	\$ (358,476,021)	\$ 462,742,007	\$ (347,634,062)

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Net cost of governmental activities was financed by general revenues, which are made up of primarily property taxes and state aid. Federal and state governments and charges for services subsidized certain programs with federal funds, grants and contributions, and other local revenues of \$119.0 million or 24.9 percent of total governmental activities expenses.

Business-Type Activities – Change in Net Position:

- The School Nutrition and Child Care programs constitute the majority of the business-type activities.
- The School Nutrition's primary sources of revenue are federal revenue and student fees and the primary expenses are staff and commodities. The District's free and reduced participation decreased but the District's involvement with the federal Community Eligibility Program (CEP) continued to increase during the fiscal year; therefore, the amount of federal revenue continued to increase, while the amount of student fees decreased. The School Nutrition Fund had an increase in net position of \$0.4 million for fiscal year 2017.
- The primary source of revenue for the Child Care program is child care fees and the primary expense is staff. The Child Care Fund net position was stable with a small increase for fiscal year 2017.

Financial Analysis of the District's Funds

Governmental Funds Highlights

General Fund:

- The General Fund is the principal operating fund of the District. The increase in fund balance in the General Fund for the fiscal year was \$1.3 million. The District's solvency ratio remained stable at 13.0 percent primarily due to efforts to minimize expenditure increases throughout the General Fund.
- The increase in General Fund revenues (2.9 percent) compared to fiscal year 2016 was primarily due to an increase in state revenue of 2.1 percent and property tax revenue increases of 4.3 percent.
- The increase in General Fund expenditures (4.3 percent) compared to fiscal year 2016 was primarily due to one-time initiatives to increase efficiency and effectiveness, the implementation of the District's Information Technology (IT) Blueprint as well as increased benefit costs for previously existing FTEs.

Capital Projects Fund:

- The Capital Projects Fund has a total fund balance of \$60.1 million for 2017 and \$77.0 million for 2016. The net decrease in the Capital Projects fund for the fiscal year was primarily due to consistent expenditures from the state-wide penny projects coupled with no new additional revenue bonds offered during the year other than an issuance of bonds used to advance refund a prior issuance.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Proprietary Fund Highlights

There are no major enterprise funds. The School Nutrition Fund represents 80.9 percent of the expenses of total enterprise funds. The District's percent of students eligible for free and reduced meals increased from fiscal year 2016 (73 percent) to 2017 (67 percent). Although the percentage decreased there was an increase in nonoperating revenue from the federal government to cover these meals through the CEP. The CEP program enables the District to serve meals at no cost to the students for the entire attendance area (school). As such there was decrease in operating revenues from meal charges to students as more schools shifted to the CEP.

Budgetary Highlights

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with accounting principles generally accepted in the United States of America. As is the District's practice, the District modified its adopted budget once during fiscal year 2017.

- This year, expenditures (including transfers) for all funds by major function were less than anticipated, at \$15.3 million less than the final budget.
- The District's General Fund, its principal operating fund, continues to remain financially solvent.
- The District received 100.1 percent of budgeted General Fund revenues, property taxes collected were slightly above budget, federal revenues were 98.1 percent of budget; other revenues were 107.7 percent of budget. Overall General Fund revenue increased 2.9 percent over the prior year primarily due to increases in property tax revenue and state supplemental aid.
- The District spent 100.4 percent of budgeted General Fund expenditures based on the final budget. General Fund expenditures increased primarily due to one-time initiatives to increase efficiency and effectiveness while enhancing the district's use of technology, as well as increased benefit costs for previously existing FTEs.
- At the end of fiscal year 2017, the projected Unspent Authorized Budget (Spending Authority) ratio for the General Fund was 6.2 percent, a decrease when compared to 9.5 percent at the end of fiscal year 2015.

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

Capital Assets and Debt Administration

Capital Assets: As of June 30, 2017, the District had invested \$533.1 million in capital assets, including school buildings and major repairs, athletic facilities, buses and other vehicles, computers and other equipment. This amount represents a net increase of \$14.2 million from last year, primarily due to the accelerated spending on the Schools First and Students First school renovation plan as a result of the receipt of the proceeds of \$70 million in revenue bonds during fiscal year 2010, again in 2012 (\$71.9 million), as well as additional bonding in 2013 (\$8.78 million) and in 2014 (\$61.9 million). Refunding bonds were issued in fiscal year 2017 to refund the 2010 bonds.

The following schedule presents capital asset balances, net of accumulated depreciation, for the fiscal year ended June 30, 2017, compared with balances as of June 30, 2016:

	Governmental Activities 2017	Governmental Activities 2016	Business-Type Activities 2017	Business-Type Activities 2016	Total 2017	Total 2016
Land	\$ 4,139,994	\$ 4,113,994	\$ 143,279	\$ 122,380	\$ 4,283,273	\$ 4,236,374
Construction-in-progress	16,616,011	22,395,754	-	-	16,616,011	22,395,754
Land improvements	2,000,274	2,210,789	-	-	2,000,274	2,210,789
Buildings and improvements	495,927,456	475,985,045	-	-	495,927,456	475,985,045
Vehicles, furniture and equipment	11,936,173	11,745,858	2,378,895	2,289,221	14,315,068	14,035,079
Total	\$ 530,619,908	\$ 516,451,440	\$ 2,522,174	\$ 2,411,601	\$ 533,142,082	\$ 518,863,041

Additional information on the District's capital assets can be found in Note 5 to the Basic Financial Statements.

Debt Administration: As of June 30, 2017, the District had \$162.5 million in bonds outstanding, of which \$12.7 million is due within one year. The following table presents a summary of the District's outstanding long-term debt for the year ended June 30, 2017, with comparative information as of June 30, 2016:

	2017	2016
Sales tax revenue	\$ 162,510,000	\$ 175,785,000

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

State statutes currently limit the amount of debt a district may issue to five percent of its total assessed valuation. The current debt limitation for the District is \$574.4 million which is substantially more than the District's outstanding debt.

Additional information about the District's debt can be found in Note 6 to the basic financial statements.

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of the following existing circumstances that could affect its financial health in the future:

- District enrollment increased slightly from October 2016 to October 2017 by approximately 0.7 percent, thus remaining stable overall. The enrollment in October 2016 times the district cost per student determines the amount of state foundation aid the district will receive for fiscal year 2018 from a combination of state aid and property taxes. The cost per student from year to year increases by a factor known as state supplemental aid. Normally, state supplemental aid is set by the legislature two years prior to the year it will affect the cost per student. The state supplemental aid rate for fiscal year 2017 was 2.25 percent, state supplemental aid rate for fiscal year 2018 is 1.11 percent.
- Enrollment per modeling done by the Iowa Department of Education is projected to remain stable or increase slightly in future years.
- The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment. For fiscal year 2017, total statewide penny sales tax revenue was projected to increase to \$468,085,264 while statewide enrollment increased to 483,451, producing a statewide average tax revenue per student of \$968 for fiscal year 2017. The Iowa Department of Management anticipates the statewide average will decrease approximately 1 percent for fiscal year 2018.
- Spending Authority implications - The state controls the maximum amount each district can spend each year through the spending authority function. Under the spending authority control, it is illegal for a school district to exceed its maximum authorized budget. (To reach the maximum budget authority level, the Board would have to authorize and levy additional property taxes.) It is important to understand that the limit on spending is the amount of spending authority a district has, not the amount of cash or fund balance a district has. The District's total spending authority includes the current-year authorized budget *plus* the unspent authorized budget from the prior year (e.g., the amount of money that a district was authorized to spend in a fiscal year but did not, similar to "savings").

Spending authority is directly tied to student enrollment, and there are only three general means by which the District's spending authority can increase: (1) increased State Supplemental Aid (i.e., Allowable Growth), (2) increased enrollment, or (3) increased miscellaneous income. The District does not anticipate significant growth in any of those three areas. (Note: for budget planning purposes, the District views consistent enrollment increases of less than 1% as insignificant.)

Des Moines Independent Community School District

Management's Discussion and Analysis Year Ended June 30, 2017

In situations where spending authority is not growing, if no adjustments are made to expenses, the unspent budget is utilized to cover expenses.

The unspent spending authority ratio is a measure of the District's unbudgeted authorized spending capacity (not cash reserves) and is defined as the district's unspent spending authority divided by the district's maximum budget authority. The Iowa Association of School Boards (IASB) recommends this ratio be in the target range of 10-20%. The Board adopted guidelines in FY 2012 setting the target for the district's unspent spending authority ratio at 10%; in 2015 the Board raised this target to 15%. The unspent spending authority ratio for fiscal year 2016 was 9.5% and 6.2% for fiscal year 2017. Based on a worst-case-scenario of 1.00% growth in Supplemental State Aid (i.e., Allowable Growth), it is projected the unspent spending authority for fiscal year 2018 will continue to decline.

Contacting the District's Financial Management

This financial report is designed to provide our citizens, taxpayers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the resources it receives. If you have questions about this report or need additional information, please contact:

Thomas Harper, Chief Financial Officer
Business and Finance Department
242-7745
Des Moines Independent Community School District
2323 Grand Avenue
Des Moines, Iowa 50312

Des Moines Independent Community School District

**Statement of Net Position
June 30, 2017**

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash and investments	\$ 157,584,452	\$ 3,280,474	\$ 160,864,926
Cash held with agent	12,618,480	-	12,618,480
Property taxes receivable - current year	1,293,538	-	1,293,538
Property taxes receivable - succeeding year	130,095,935	-	130,095,935
Interest receivable	553,465	-	553,465
Other receivables, net	1,035,948	895,385	1,931,333
Due from other governments	20,926,647	43,176	20,969,823
Inventories	559,420	637,533	1,196,953
Prepaid expenses	2,287,726	100	2,287,826
Total current assets	326,955,611	4,856,668	331,812,279
Noncurrent assets:			
Restricted cash and investments	51,400,577	-	51,400,577
Net pension asset	15,104,427	-	15,104,427
	66,505,004	-	66,505,004
Capital assets:			
Capital assets - nondepreciable	20,756,005	143,279	20,899,284
Capital assets - depreciable, net	509,863,903	2,378,895	512,242,798
Total capital assets	530,619,908	2,522,174	533,142,082
Total noncurrent assets	597,124,912	2,522,174	599,647,086
Total assets	924,080,523	7,378,842	931,459,365
Deferred Outflows of Resources			
Deferred charge on refunding	1,765,015	-	1,765,015
Pension related amounts	72,165,454	2,465,552	74,631,006
Total deferred outflow of resources	73,930,469	2,465,552	76,396,021

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	10,656,875	223,462	10,880,337
Claims payable	8,276,206	-	8,276,206
Accrued payroll	23,720,559	111,605	23,832,164
Accrued interest payable	473,783	-	473,783
Other current liabilities	15,328,607	-	15,328,607
Due to other governments	15,922,568	30,268	15,952,836
Unearned revenue	64,576	374,475	439,051
Compensated absences	3,193,057	153,164	3,346,221
Special termination benefits	3,542,155	-	3,542,155
Revenue bonds	12,655,000	-	12,655,000
Total current liabilities	93,833,386	892,974	94,726,360
Noncurrent liabilities:			
Retrospective insurance rating plan	451,313	-	451,313
Compensated absences	549,874	25,264	575,138
Special termination benefits	5,161,411	-	5,161,411
Other postemployment benefits	64,589,820	-	64,589,820
Revenue bonds, net bond premiums	155,545,611	-	155,545,611
Net pension liability	192,341,194	7,843,537	200,184,731
Total noncurrent liabilities	418,639,223	7,868,801	426,508,024
Total liabilities	512,472,609	8,761,775	521,234,384
Deferred Inflows of Resources			
Property taxes	130,095,935	-	130,095,935
Pension related amounts	10,900,916	92,938	10,993,854
OPEB related amounts	3,907,859	-	3,907,859
Total deferred inflows of resources	144,904,710	92,938	144,997,648
Net Position			
Net investment in capital assets	424,605,987	2,522,174	427,128,161
Restricted for:			
DMPs expendable trust	3,269,490	-	3,269,490
Permanent trust	11,601	-	11,601
Categorical funding	14,925,734	-	14,925,734
Shared programs	817,820	-	817,820
Grants	234,168	-	234,168
Special education	4,135,552	-	4,135,552
Management levy	3,830,986	-	3,830,986
Physical plant and equipment levy	9,219,931	-	9,219,931
Public education and recreation levy	432,236	-	432,236
Student activities	1,555,311	-	1,555,311
Unrestricted (deficit)	(122,405,143)	(1,532,493)	(123,937,636)
Total net position (deficit)	\$ 340,633,673	\$ 989,681	\$ 341,623,354

Des Moines Independent Community School District

Statement of Activities Year Ended June 30, 2017

Functions/Programs	Expenses	Program Revenues		Net (Expense)
		Charges for Services	Operating Grants and Contributions	Governmental Activities
Primary Government				
Governmental activities:				
Instruction	\$ 299,588,285	\$ 10,662,079	\$ 82,228,857	\$ (206,697,349)
Student services	25,416,663	-	7,524,847	(17,891,816)
Instructional support services	26,269,291	-	2,819,187	(23,450,104)
General administration	8,078,756	-	-	(8,078,756)
Building administration	24,415,186	-	-	(24,415,186)
Business and central administration	18,899,917	-	-	(18,899,917)
Plant operation and maintenance	38,016,319	-	-	(38,016,319)
Student transportation	14,155,962	1,045,157	429,408	(12,681,397)
Noninstructional	3,414,227	32,869	117,181	(3,264,177)
AEA support	14,162,548	14,162,548	-	-
Interest and issuance costs on long-term debt	5,564,932	-	-	(5,564,932)
Total governmental activities	477,982,086	25,902,653	93,119,480	(358,959,953)
Business-type activities:				
School nutrition	20,596,296	1,810,790	19,222,218	-
Child care	4,829,288	4,858,437	-	-
Home construction	3,363	-	-	-
Automotive	22,089	43,523	-	-
Total business-type activities	25,451,036	6,712,750	19,222,218	-
Total primary government	\$ 503,433,122	\$ 32,615,403	\$ 112,341,698	(358,959,953)
General revenues:				
Property taxes:				
Levied for general purposes				115,462,200
Levied for management				8,832,673
Levied for property, plant and equipment				7,463,306
Levied for playground				953,982
Sales tax, for capital projects				31,115,408
State foundation aid, for general purposes				199,399,080
Investment earnings				1,163,645
Other local sources				2,260,799
Transfers				462
Total general revenues and transfers				366,651,555
Changes in net position				
7,691,602				
Net position, beginning of year, as restated				
332,942,071				
Net position, end of year				
\$ 340,633,673				

See notes to basic financial statements.

Revenue and Changes in Net Position

Business-Type		
Activities		Totals
\$	-	\$ (206,697,349)
	-	(17,891,816)
	-	(23,450,104)
	-	(8,078,756)
	-	(24,415,186)
	-	(18,899,917)
	-	(38,016,319)
	-	(12,681,397)
	-	(3,264,177)
	-	-
	-	(5,564,932)
	-	(358,959,953)
	436,712	436,712
	29,149	29,149
	(3,363)	(3,363)
	21,434	21,434
	483,932	483,932
	483,932	(358,476,021)
	-	115,462,200
	-	8,832,673
	-	7,463,306
	-	953,982
	-	31,115,408
	-	199,399,080
	-	1,163,645
	-	2,260,799
	(462)	-
	(462)	366,651,093
	483,470	8,175,072
	506,211	333,448,282
\$	989,681	\$ 341,623,354

Des Moines Independent Community School District

Balance Sheet Governmental Funds June 30, 2017

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Assets				
Cash and investments	\$ 111,146,880	\$ -	\$ 20,837,662	\$ 131,984,542
Restricted cash and investments	-	49,838,210	1,562,367	51,400,577
Cash held with agent	-	12,618,480	-	12,618,480
Property taxes receivable - current year	1,124,367	-	169,171	1,293,538
Property taxes receivable - succeeding year	112,844,944	-	17,250,991	130,095,935
Interest receivable	553,465	-	-	553,465
Other receivables	951,710	45,966	35,706	1,033,382
Due from other governments	16,860,722	4,065,925	-	20,926,647
Inventories	522,207	-	-	522,207
Due from other funds	9,369,774	-	-	9,369,774
Prepaid items	2,155,891	-	87,881	2,243,772
Total assets	\$ 255,529,960	\$ 66,568,581	\$ 39,943,778	\$ 362,042,319
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities:				
Accounts payable	\$ 5,259,259	\$ 3,933,439	\$ 1,312,224	\$ 10,504,922
Accrued payroll	23,567,803	-	1,086	23,568,889
Special termination benefits	-	-	2,432,096	2,432,096
Other current liabilities	14,217,622	1,088,978	21,782	15,328,382
Due to other governments	15,667,312	209	55,266	15,722,787
Compensated absences	106,921	-	11,584	118,505
Total liabilities	58,818,917	5,022,626	3,834,038	67,675,581
Deferred inflows of resources:				
Succeeding year - property taxes	112,844,944	-	17,250,991	130,095,935
Unavailable revenue - sales tax	-	1,472,043	-	1,472,043
Unavailable revenue - intergovernmental	1,562,340	-	-	1,562,340
Total deferred inflows of resources	114,407,284	1,472,043	17,250,991	133,130,318
Fund balances:				
Nonspendable	2,678,098	-	97,759	2,775,857
Restricted	20,113,274	60,073,912	18,760,990	98,948,176
Committed	11,500,000	-	-	11,500,000
Assigned	2,747,894	-	-	2,747,894
Unassigned	45,264,493	-	-	45,264,493
Total fund balances	82,303,759	60,073,912	18,858,749	161,236,420
Total liabilities, deferred inflows of resources and fund balances	\$ 255,529,960	\$ 66,568,581	\$ 39,943,778	\$ 362,042,319

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2017

Total governmental fund balances		\$	161,236,420
Amount reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported in the funds:			
Land	\$	4,139,994	
Construction-in-progress		16,616,011	
Land improvements		9,868,310	
Buildings and improvements		648,935,509	
Vehicles, furniture and equipment		28,217,913	
Accumulated depreciation		(177,170,991)	530,606,746
Other long-term assets are not available to pay for current-period expenditures and, therefore, reported as deferred inflows of resources - unavailable revenue, in the governmental funds			3,034,383
Internal service funds are used by management to charge the costs of certain activities, such as self-insurance benefits for employees and print shop services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.			11,064,697
Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows of resources - IPERS		63,127,281	
Deferred outflows of resources - DMTRS		9,038,173	
Deferred inflows of resources - IPERS		(2,296,187)	
Deferred inflows of resources - DMTRS		(8,604,729)	
Deferred inflows of resources - OPEB		(3,907,859)	57,356,679
Certain assets and liabilities, including bonds and notes payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds. These assets and liabilities at year-end consist of:			
Net pension asset - DMTRS		15,104,427	
Compensated absences		(3,617,142)	
Sales tax revenue bonds		(162,510,000)	
Bond premiums		(5,690,611)	
Accrued interest payable		(473,783)	
Deferred charge on refunding		1,765,015	
Claims payable for workers' compensation		(3,589,361)	
Retrospective insurance rating plan		(451,313)	
Other postemployment benefits		(64,589,820)	
Net pension liability - IPERS		(192,341,194)	
Special termination benefits		(6,271,470)	(422,665,252)
Net position of governmental activities		\$	340,633,673

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances Governmental Funds Year Ended June 30, 2017

	General	Capital Projects	Nonmajor Governmental Funds	Total Governmental Funds
Revenues:				
Property taxes	\$ 115,462,200	\$ -	\$ 17,249,960	\$ 132,712,160
Other local sources	22,933,749	306,000	1,061,993	24,301,742
Sales tax, for capital projects	-	31,187,038	-	31,187,038
Investment earnings (losses)	1,128,109	117,116	(81,580)	1,163,645
Intermediate sources	906,897	-	-	906,897
State foundation aid	199,399,080	-	-	199,399,080
Other state sources	57,643,587	-	-	57,643,587
Federal sources	33,821,414	-	-	33,821,414
Student activities	110,632	-	2,780,637	2,891,269
Total revenues	431,405,668	31,610,154	21,011,010	484,026,832
Expenditures:				
Current:				
Instruction	270,709,766	-	7,232,801	277,942,567
Student services	24,674,885	-	711,454	25,386,339
Instructional support services	25,963,422	-	25,261	25,988,683
General administration	7,392,242	-	639,114	8,031,356
Building administration	23,623,128	-	381,789	24,004,917
Business and central administration	16,652,678	-	1,001,264	17,653,942
Plant operation and maintenance	34,309,351	-	2,582,375	36,891,726
Student transportation	11,409,434	-	2,220,612	13,630,046
Noninstructional	1,216,046	-	1,314,034	2,530,080
AEA support	14,162,548	-	-	14,162,548
Capital outlay	-	24,152,133	3,106,606	27,258,739
Debt service:				
Principal retirement	-	-	12,495,000	12,495,000
Interest	-	-	5,878,708	5,878,708
Payment to escrow agent	-	-	5,507,264	5,507,264
Bond issuance costs	-	502,725	-	502,725
Total expenditures	430,113,500	24,654,858	43,096,282	497,864,640
Excess (deficiency) of revenues over expenditures	1,292,168	6,955,296	(22,085,272)	(13,837,808)
Other financing sources (uses):				
Proceeds from sale of capital assets	94,586	-	-	94,586
Issuance of refunding revenue bonds	-	-	53,655,000	53,655,000
Payments to escrow agent	-	-	(53,655,000)	(53,655,000)
Transfers in	462	-	23,910,402	23,910,864
Transfers out	(103,293)	(23,880,972)	-	(23,984,265)
Total other financing sources (uses)	(8,245)	(23,880,972)	23,910,402	21,185
Net change in fund balances	1,283,923	(16,925,676)	1,825,130	(13,816,623)
Fund balances, beginning of year	81,019,836	76,999,588	17,033,619	175,053,043
Fund balances, end of year	\$ 82,303,759	\$ 60,073,912	\$ 18,858,749	\$ 161,236,420

See notes to basic financial statements.

Des Moines Independent Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2017

Net change in fund balances - total governmental funds	\$	(13,816,623)
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Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which capital outlay exceeded depreciation in the current period and other transactions involving capital assets:

Capital outlay	\$	27,804,984	
Depreciation expense		(13,607,194)	
Proceeds from sale of capital assets		(94,586)	
Gain on sale of capital assets		<u>71,269</u>	14,174,473

Revenues in statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in deferred inflows of resources - unavailable revenue		903,879
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The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of the governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums, whereas this amount is reported as a liability and amortized in the statement of activities:

Repayment of bond principal	12,495,000	
Issuance of refunding revenue bonds	(53,655,000)	
Payments to escrow agent	59,162,264	
Amortization of bond premiums	916,780	
Deferred amount on refunding amortization	(273,101)	18,645,943

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Increase in compensated absences	(401,810)	
Increase in retrospective insurance rating plan	(213,448)	
Decrease in accrued interest expense	172,822	
Increase in claims payable for workers' compensation	(811,964)	
Pension expense	(5,538,487)	
OPEB expense	(6,469,945)	
Decrease in special termination benefits	<u>4,119,488</u>	(9,143,344)

Internal service funds are used by management to charge the costs of certain activities, such as self insurance benefits for employees and print shop services, to individual funds. The change in net position in the internal service funds is reported with governmental activities in the statement of activities.

(3,072,726)

Change in net position of governmental activities

\$ 7,691,602

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Net Position Proprietary Funds June 30, 2017

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Assets		
Current assets:		
Cash and cash equivalents	\$ 3,280,474	\$ 25,599,910
Other receivables, net	895,385	2,566
Due from other governments	43,176	-
Inventories	637,533	37,213
Prepaid expenses	100	43,954
Total current assets	4,856,668	25,683,643
Noncurrent assets:		
Capital assets:		
Nondepreciable	143,279	-
Depreciable, net	2,378,895	13,162
Total noncurrent assets	2,522,174	13,162
Total assets	7,378,842	25,696,805
Deferred Outflow of Resources , pension related amounts	2,465,552	-
Liabilities		
Current liabilities:		
Accounts payable	223,462	151,953
Claims payable	-	4,686,845
Accrued payroll	111,605	151,670
Due to other governments	30,268	199,781
Unearned revenue	374,475	64,576
Compensated absences	153,164	7,284
Due to other funds	-	9,369,774
Other	-	225
Total current liabilities	892,974	14,632,108
Noncurrent liabilities:		
Compensated absences	25,264	-
Net pension liability	7,843,537	-
Total noncurrent liabilities	7,868,801	-
Total liabilities	8,761,775	14,632,108
Deferred Inflow of Resources , pension related amounts	92,938	-
Net Position (Deficit)		
Investment in capital assets	2,522,174	13,162
Unrestricted	(1,532,493)	11,051,535
Total net position (deficit)	\$ 989,681	\$ 11,064,697

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2017**

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Operating revenues:		
Student activities	\$ 37,426	\$ -
Charges for services:		
Employee benefits	-	63,554,656
Sale of food	1,779,932	-
Child care	4,858,437	-
Miscellaneous	6,097	1,194,660
Total operating revenues	6,681,892	64,749,316
Operating expenses:		
Student services	20,175,301	-
Depreciation	365,807	2,833
Community services	4,832,651	-
Claims and related costs	-	66,709,767
Miscellaneous	-	1,167,213
Total operating expenses	25,373,759	67,879,813
Operating (loss)	(18,691,867)	(3,130,497)
Nonoperating revenues (expenses):		
Other local sources	30,858	-
State sources	175,800	-
Federal sources	19,046,418	-
Loss on disposal of capital assets	(77,277)	(16,092)
Total nonoperating revenues	19,175,799	(16,092)
Income (loss) before transfers	483,932	(3,146,589)
Transfers:		
Transfers in	-	73,863
Transfers out	(462)	-
Total transfers	(462)	73,863
Change in net position (deficit)	483,470	(3,072,726)
Total net position, beginning of year	506,211	14,137,423
Total net position, end of year	\$ 989,681	\$ 11,064,697

See notes to basic financial statements.

Des Moines Independent Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2017

	Nonmajor Enterprise Funds	Governmental Activities Internal Service Funds
Cash flows from operating activities:		
Cash received from user charges	\$ 6,394,925	\$ 64,722,382
Cash payments to employees for services	(13,382,030)	(332,107)
Cash payments to suppliers for goods and services	(10,483,589)	(67,633,126)
Net cash used in operating activities	(17,470,694)	(3,242,851)
Cash flows from noncapital financing activities:		
Proceeds from other funds	23,979	2,380,509
Payments to other funds	(28,764)	-
Grants and donations received	18,242,238	-
Net cash provided by noncapital financing activities	18,237,453	2,380,509
Cash flows from capital and related financing activities:		
Proceeds from sale of capital assets	-	775
Acquisition of capital assets	(563,403)	(13,695)
Net cash (used in) capital and related financing activities	(563,403)	(12,920)
Net increase (decrease) in cash and cash equivalents	203,356	(875,262)
Cash and cash equivalents, beginning of year	3,077,118	26,475,172
Cash and cash equivalents, end of year	\$ 3,280,474	\$ 25,599,910
Reconciliation of operating loss to net cash used in operating activities:		
Operating loss	\$ (18,691,867)	\$ (3,130,497)
Adjustments to reconcile operating loss to net cash used in operating activities:		
Depreciation	365,807	2,833
Commodities used	1,210,662	-
Changes in assets and liabilities:		
Receivables	(366,452)	(2,566)
Inventories	66,141	20,598
Prepaid items	1,145	(43,954)
Accounts payable and due to other governments	(132,560)	(25,968)
Claims payable	-	(47,508)
Unearned revenue	79,485	(26,935)
Accrued liabilities and compensated absences	(226,893)	11,146
Net pension liability	1,811,942	-
Deferred outflows of resources	(245,425)	-
Deferred inflows of resources	(1,342,679)	-
Net cash used in operating activities	\$ (17,470,694)	\$ (3,242,851)
Noncash items:		
Noncapital financing activities, commodities received from the U.S. Department of Agriculture	\$ 1,210,662	\$ -

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Fiduciary Net Position
Fiduciary and Agency Funds
June 30, 2017**

	Pension Trust	Private Purpose Trust	Agency Faculty and Staff
Assets			
Cash and cash equivalents	\$ -	\$ 718,577	\$ 137,082
Investments:			
Money market	4,456,474	-	-
U.S. government securities	3,074,395	-	-
Corporate equities	44,211,875	-	-
Mortgage-backed securities	18,562,974	-	-
Corporate obligations	98,206,562	-	-
Preferred stock	740,400	-	-
Municipal bonds	68,139,204	-	-
Other fixed income	5,235,999	-	-
Interest receivable	2,470,491	-	-
Other receivables	-	4,000	-
Prepaid expense	-	-	500
Total assets	245,098,374	722,577	137,582
Liabilities			
Accounts payable	-	-	6,277
Due to other governments	-	-	-
Due to other entities	-	-	131,305
Total liabilities	-	-	\$ 137,582
Net Position			
Held in trust for:			
Employees' pension benefits	245,098,374	-	
Scholarships	-	722,577	
Total net position	\$ 245,098,374	\$ 722,577	

See notes to basic financial statements.

Des Moines Independent Community School District

**Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2017**

	Pension Trust	Private Purpose Trust
Additions:		
Contributions:		
Employer	\$ 1,809,156	\$ -
Employee	1,383,568	-
Private sources	-	13,317
Total contributions	3,192,724	13,317
Investment earnings:		
Net decrease in fair value of investments	(722,444)	-
Interest	8,430,849	1,242
Dividends	1,411,421	-
Total investment earnings	9,119,826	1,242
Less investment expense	143,157	-
Net investment earnings	8,976,669	1,242
Total additions	12,169,393	14,559
Deductions:		
Benefit payments	16,558,627	-
Resignation refunds	36,876	-
Beneficiary settlements	141,630	-
Scholarship awarded	-	12,200
Administrative costs	86,307	-
Total deductions	16,823,440	12,200
Change in net position	(4,654,047)	2,359
Net position, beginning of year	249,752,421	720,218
Net position, end of year	\$ 245,098,374	\$ 722,577

See notes to basic financial statements.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

The financial statements of the Des Moines Independent Community School District (the District) have been prepared in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP) as applied to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Nature of operations: The Board of Directors (the Board) is organized under the Iowa Code. Management of the District is independent of other state or local governments. The County Treasurer collects taxes for the District, but exercises no control over its expenditures.

The membership of the Board consists of seven members elected by the public. Under existing statutes, the Board's duties and powers include, but are not limited to, the acquisition, maintenance and disposition of school property; the development and adoption of a school program; and the establishment, organization and operation of schools.

The Board also has broad financial responsibilities, including the approval of the annual budget, and the establishment of a system of accounting and budgetary controls. The District's major operations include education, pupil transportation, construction and maintenance of District facilities and food service.

Reporting entity: The District is a primary government that has a separately elected governing body, is legally separate and is fiscally independent of other state or local governments. The financial statements of the District include all District operations required to be included in accordance with GASB pronouncements concerning the reporting entity. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The GASB has set forth criteria to be considered in determining financial accountability. These criteria are: a) appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District; and b) fiscal dependency. In addition, GASB Standards, set forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units, or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the District and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. The District evaluated certain alumni foundations, booster clubs and parent-teacher organizations and determined those entities to not be significant to the District as a whole. Therefore, the District has no component units which meet the GASB criteria that should be included in these basic financial statements.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets and deferred outflows of resources and liabilities and deferred inflows of resources, with the difference reported as net position.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not required to be included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the Government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental fund types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets plus deferred outflows of resources and liabilities plus deferred inflows of resources is reported as fund balance. The following is the District's major governmental funds:

General Fund: The General Fund is used to account for and report all financial resources not accounted for and reported in another fund.

Capital Projects Fund: The Capital Projects Fund accounts for all revenues and expenditures generated through the collection of local option sales tax and expenditures attributable to the Schools First Renovation Program.

The other governmental funds of the District are considered nonmajor and are as follows:

Special revenue funds: Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management Fund: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

DMPS (Expendable Trust) Fund: This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund: Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest.

Capital projects funds: Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment (PPEL) Levy Fund: This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL) Fund: This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Permanent Trust Fund: The Permanent Trust Fund accounts for transactions that are received in trust in which only the interest earned, and not the principal itself, can be used to support the District.

Proprietary fund types: Proprietary fund types are used to account for the District's ongoing activities which are operated similar to those often found in the private sector. The measurement focus is upon income determination, financial position and cash flows.

Enterprise funds: Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

The following enterprise funds of the District are considered nonmajor:

School Nutrition Fund: This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund: This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund: This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund: This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Internal Service Funds: The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District has the following internal service funds:

Self-Insurance Fund: This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

Risk Management Fund: This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed above.

Collage Fund: This fund accounts for transactions for materials for arts and crafts and services such as laminating and other related activities. The Collage Fund was closed as of June 30, 2017. The activities have been consolidated with the Print Shop Fund.

Print Shop Fund: This fund accounts for transactions for print shop and copying services.

Fiduciary funds: Fiduciary funds account for assets held by the District in a trustee or agency capacity for the benefit of others and cannot be used to support District activities.

The District has the following fiduciary fund types:

Pension Trust Fund: The Pension Trust Fund (DMTRS) accounts for the District's retirement plan for teachers. The fund provides pension benefits to eligible District teachers and administrators.

Private Purpose Trust Funds: These funds account for transactions that are received in trust in which both the principal and interest earned can be used to support the individuals or other organizations. The District's Private Purpose Trust Funds are primarily comprised of scholarship funds to benefit students.

Agency Fund: This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

The Government-wide financial statements and the proprietary, pension trust and private purpose trust financial statements are reported using the "economic resources measurement focus." The proprietary pension trust and private purpose trust fund financial statements are reported using the accrual basis of accounting. The agency funds do not have a measurement focus but are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax when levied, intergovernmental revenues when eligibility requirements have been met (shared revenues, grants, and reimbursements from other governments), and interest associated with the current fiscal period are all considered to be measurable and are recorded as revenue, if available. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension related amounts and compensated absences are recognized as expenditures only when the liability has matured and payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. Thus, when program expenses are incurred, there are both restricted and unrestricted resources available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general resources.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses and claims, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Property tax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Directors.

Current year property tax receivable represents unpaid taxes related to the April 2016 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½ percent per month penalty for delinquent payments. This tax levy is based on January 1, 2015 assessed property valuations and is revenue for fiscal year ended June 30, 2017.

The succeeding year property tax receivable represents taxes certified by the Board of Directors in April 2017. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2018, the year for which it is levied.

Due from other governments and other receivables: Due from other governments and other receivables represents amounts due from the state of Iowa, other school districts, and other various grants, reimbursements and shared revenues. All receivables are shown net of an allowance for uncollectibles, if applicable. The District's nonmajor enterprise funds and business-type activities have reported an allowance of \$79,986 as of June 30, 2017 related to other receivables.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Inventories: Inventories are valued at the moving average cost for purchased items and contributed value (acquisition value at the date received) for government commodities and other donated items. Inventories are recorded as expenses when consumed in the Government-wide financial statements and proprietary funds' financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold. The fund balance in the governmental funds relating to inventories is reported as nonspendable.

Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the Government-wide and fund financial statements on the consumption method. The fund balance in the governmental funds relating to prepaid items is reported as nonspendable.

Investment earnings: Investment earnings are composed of interest, dividends and net changes in the fair value of applicable investments.

Investments: Most of the District's investment are stated at fair value. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value is a market-based measurement, not an entity-specific measurement. For some assets and liabilities, observable market transactions or market information might be available; for others, it might not be available. However, the objective of a fair value measurement in both cases is the same—that is, to determine the price at which an orderly transaction to sell the asset or to transfer the liability would take place between market participants at the measurement date under current market conditions. Fair value is an exit price at the measurement date from the perspective of a market participant that controls the asset or is obligated for the liability. See Note 3 for additional information regarding fair value measures. Investments in nonnegotiable certificates of deposit and money market funds are reported at amortized cost.

Capital assets: Capital assets which include land; land improvements; buildings and improvements; vehicles, furniture and equipment; and construction-in-progress are reported in the Government-wide financial statements and the proprietary funds' financial statements.

Capital assets are defined by the District as assets with an initial, individual cost of \$5,000 or more (\$1,000 or more for the School Nutrition Fund) and an estimated useful life of more than one year. Such assets are recorded at historical cost if purchased or constructed. Donated capital assets are recorded at the acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Land improvements	20 years
Buildings and improvements	20 - 50 years
Vehicles, furniture and equipment	5 - 15 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Deferred outflows of resources: Deferred outflows of resources represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of items not yet charged to pension expense and contributions from the District after the measurement date but before the end of the District's reporting period, and a deferred charge on refunding that will be recognized in interest expense over the shorter of the maturity of the refunded or refunding issuance.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected in the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from sales tax and intergovernmental revenue. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available. In the District's government-wide statements and governmental fund statements, succeeding year property tax revenues are reported as a deferred inflow of resources and will become an inflow in the year for which they are levied.

The District's government-wide statement of net position also includes pension related amounts and other postemployment benefit (OPEB) related amounts as a deferred inflow of resources. The pension related amounts consist of the unamortized portion of the net difference between projected and actual earnings on pension plan investments and unamortized portion of the net difference between expected and actual plan experience. The OPEB related amounts consist of the impact of changes in assumptions and other inputs.

Cash flows: For purpose of the statement of cash flows, the District considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities in the fund and government-wide financial statements.

Unearned revenue: Unearned revenue in the statement of net position and in the governmental fund financial statements consists primarily of unearned grant proceeds and unearned student nutrition revenue.

Compensated absences: The District's employee vacation and sick leave policies generally provide for granting vacation and sick leave with pay. Accrued sick leave is earned by all full-time employees at the rate of 15 days annually. Sick leave balances are not paid upon termination of employment. Full-time employees earn vacation in accordance with their employment agreement. The current and long-term liabilities for accumulated vacation are accrued when incurred in the Government-wide and proprietary funds' financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee leave, resignations and retirements.

Long-term obligations: In the Government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities on the statement of net position. Bond premiums are reported as a liability and amortized over the life of the bonds using the effective interest method. Bond issuance costs are reported as an outflow in the year in which the expenses were incurred.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

In the fund financial statements, governmental fund types recognize bond premiums through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Principal payments and bond issuance costs are reported as debt service expenditures.

Pensions: For purposes of measuring the net pension asset (liability), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and Des Moines Teachers' Retirement System (DMTRS) and additions to/deductions from these fiduciary net positions has been determined on the same basis as they are reported by IPERS and DMTRS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the Board through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Directors to the Chief Financial Officer and Controller, through the adoption of the budget.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of the governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's procedure is to pay the expenditure from restricted fund balance and then from less-restrictive classifications – committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources in the Government-wide financial statements. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balance of any long-term debt used to build or acquire the capital assets. Net investment in capital assets excludes unspent debt proceeds. Unspent debt proceeds (which includes proceeds reserved for debt retirement) for the Capital Projects Fund was \$62,456,690. Net position is reported as restricted in the Government-wide financial statements when there are limitations imposed on their use through external restrictions imposed by creditors, grantors, or laws or regulations of other governments.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Net position restricted through enabling legislation as of June 30, 2017 consists of \$3,830,986 for management levy, \$9,219,931 for physical plant and equipment levy, and \$432,236 for public education and recreation levy.

Donor restricted net position include \$3,269,490 for net position in the DMPS (Expendable Trust) Fund which is to be used mainly for the Smouse School and \$11,601 in the Permanent Fund to be used for teacher education and training.

Net position restricted for other purposes consists of \$21,668,589 restricted for categorical funding, various grants and sponsored programs, including student activity balances.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" or "advances to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Note 2. Legal Compliance

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The District adopts its annual program budget on a GAAP basis of accounting.

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules – Perspective Differences*, the District presents budgetary comparison as required supplementary information based on the program structure as required by state statute for its legally adopted budget.

The Child Care Fund had a deficit balance as of June 30, 2017, of \$1,007,071. The District will analyze the fund's activity and take the necessary steps to reduce the negative fund balance. The primary cause of the deficit balance is due to accounting for the Child Care Fund's share of the District's proportionate share of deferred outflows of resources, deferred inflows of resources, and net pension liability related to IPERS.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments

As of June 30, 2017, the District's cash, cash equivalents and investments (including fiduciary fund assets) were as follows:

Cash and other deposits	\$ 132,654,427
Investments, primarily pension trust	323,094,618
	<u>\$ 455,749,045</u>

In addition, the District has cash held with agent of \$12,618,480.

Investments:

Authorized investments: The District is authorized by statute to invest public funds not currently needed for operating expenses in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured Iowa depository institutions approved by the Board; prime eligible bankers' acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; and certain joint investment trusts. However, the District's investment policy additionally limits investments in commercial paper to obligations at the time of purchase rated within the two highest ratings issued by nationally recognized statistical rating organizations with a maturity less than 270 days, with no more than 5 percent at the time of purchase placed in the second highest classification. The District's investment policy additionally limits investments in prime bankers' acceptances that mature within 270 days and that are eligible for purchase by a federal reserve bank. Investment income interest is spent according to the fund parameters as outlined by the District.

The above description of authorized investments does not apply to the Des Moines Teachers' Retirement System (DMTRS) Pension Trust Fund, whose investments are governed by the underlying Plan document, or investments donated to the District. The Plan's investment policy authorizes investment in cash, fixed income securities rated AAA to BBB-, investment grade preferred stock, large-, mid-, and small-cap domestic equity securities, international stocks, and domestic real estate. The investment policy also establishes allocation and exposure limitations for each class of investments authorized.

Interest rate risk: Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Deposits: The District's deposits consist of balances held with financial institutions, including nonnegotiable certificates of deposit and money market funds.

Custodial credit risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized. As of June 30, 2017, the District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds.

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations is provided by the following table that shows the distribution of the District's investments by maturity:

Des Moines Independent Community School District (without DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Corporate equities - donated	\$ 1,562,367	N/A	N/A	N/A	N/A
Commercial paper	22,434,925	\$ 22,434,925	\$ -	\$ -	\$ -
U.S. Government securities	44,621,278	44,621,278	-	-	-
U.S. Government agency securities	11,848,165	11,848,165	-	-	-
	<u>\$ 80,466,735</u>	<u>\$ 78,904,368</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

Des Moines Teachers' Retirement System (DMTRS)

	Fair Value	Investment Maturities (in Years)			
		Less than 1	1 - 5	6 - 10	More than 10
Money market mutual funds	\$ 3,965,396	N/A	N/A	N/A	N/A
Certificates of deposit	491,078	\$ 244,760	\$ 246,318	\$ -	\$ -
U.S. Government securities	3,074,395	-	398,140	1,160,390	1,515,865
Corporate equities	44,211,875	N/A	N/A	N/A	N/A
Mortgage-backed securities	18,562,974	-	158,660	4,783,459	13,620,855
Corporate obligations	98,206,562	4,079,250	11,172,725	27,987,376	54,967,211
Preferred stock	740,400	N/A	N/A	N/A	N/A
Municipal bonds	68,139,204	1,114,193	3,449,209	23,484,769	40,091,033
Other fixed income	5,235,999	-	-	2,831,310	2,404,689
	<u>\$ 242,627,883</u>	<u>\$ 5,438,203</u>	<u>\$ 15,425,052</u>	<u>\$ 60,247,304</u>	<u>\$ 112,599,653</u>

Credit risk: Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investment policy does not formally address credit risk. The credit ratings for the District's investments are included in the table below. Investments issued or explicitly guaranteed by the U.S. government are not subject to credit risk in accordance with GASB Statement No. 40.

Fair value measurements. The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. The fair value hierarchy categorizes the inputs to valuation techniques used to measure fair value into three levels. Level 1 inputs are quoted prices (unadjusted) for identical assets or liabilities in active markets that a government can access at the measurement date. Level 2 inputs are inputs—other than quoted prices included within Level 1—that are observable for an asset or liability, either directly or indirectly. Level 3 inputs are unobservable inputs for an asset or liability. The fair value hierarchy gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Des Moines Independent Community School District (without DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Corporate entities - donated	\$ 1,562,367	\$ -	\$ -	\$ 1,562,367	Not Rated
Commercial paper	-	22,434,925	-	22,434,925	A-1
U.S. Government securities	-	44,621,278	-	44,621,278	AA+
U.S. Government agency securities	-	11,848,165	-	11,848,165	
	<u>\$ 1,562,367</u>	<u>\$ 78,904,368</u>	<u>\$ -</u>	<u>\$ 80,466,735</u>	

Des Moines Teachers' Retirement System (DMTRS)

	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value	S&P Rating
Money market mutual fund	\$ -	\$ 3,965,396	\$ -	\$ 3,965,396	Not Rated
Certificates of deposit	-	491,078	-	491,078	Not Rated
U.S. Government securities	398,140	2,676,255	-	3,074,395	AA+
Corporate equities	43,377,090	834,785	-	44,211,875	Not Rated
Mortgage-backed securities	-	18,562,974	-	18,562,974	Not Rated
Corporate obligations	-	81,908,910	-	81,908,910	A- - AAA
Corporate obligations	-	16,297,652	-	16,297,652	BBB, BBB+
Preferred stock	-	740,400	-	740,400	Not Rated
Municipal bonds	-	61,972,440	-	61,972,440	AA- - AAA
Municipal bonds	-	6,166,764	-	6,166,764	Not Rated
Other fixed income	-	5,235,999	-	5,235,999	A+
	<u>\$ 43,775,230</u>	<u>\$ 198,852,653</u>	<u>\$ -</u>	<u>\$ 242,627,883</u>	

Corporate equities and mutual funds: Corporate equities and mutual funds are reported at fair value based on quoted market prices obtained from exchanges.

Commercial paper, corporate obligations, U.S. government agency securities, other fixed income:

These investments are reported at fair value based on evaluation using market sources and integrating relative credit information, observed market movements, and sector news into the evaluated pricing applications and models.

U.S. Government securities: U.S. Government securities are reported at fair value based on a bullet (non-call) spread scale for each issuer for maturities going out to forty years. These spreads represent credit risk and are obtained from the new issue market, secondary trading, and dealer quotes. An Option Adjusted Spread (OAS) model is incorporated to adjust spreads of issues that have early redemption features. Final spreads are added to a U.S. Treasury curve. A special cash discounting yield/price routine calculates prices from final yields to accommodate odd coupon payment dates typical of medium-term notes.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 3. Deposits and Investments (Continued)

Certificates of deposit: Certificates of deposit are reported at fair value based on a multi-dimensional relational model and/or Option Adjusted Spread (OAS).

Mortgage-backed securities: Mortgage-backed securities are reported at fair value via model using various inputs such as but not limited to daily cash flow, snapshots of the TBA market and the US Treasury market, floating rate Indices such as LIBOR, CMT, and Prime as a benchmark yield, spread over index, periodic and life caps, next coupon adjustment date, and convertibility of the bond.

Municipal bonds: Municipal bonds are reported at fair value based on trades, bid price or spread, two-sided markets, quotes, benchmark curves including but not limited to treasury benchmarks and LIBOR and swap curves, market data feeds such as MSRB, financial statements, discount rate, capital rates, and trustee reports.

Preferred stock: Preferred stock is reported at fair value by calculating the appropriate spread over a comparable U.S. Treasury security for each issue. These spreads represent the amount of additional yield required to account for the risks inherent with preferred stocks, including credit, refunding and liquidity. Evaluators obtain benchmark quotes on liquid issues, follow both the listed and new issue market, and focus on changing market conditions.

The District has no assets reported at fair value on a nonrecurring basis and no other investments meeting the fair value disclosure requirements of Governmental Accounting Standards Board (GASB) Statement No. 72.

Concentration of credit risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements. The District's policy further restricts investments in prime bankers' acceptances and commercial paper to no more than 10 percent of the investment portfolio for each type of investment, excluding DMTRS investments and no more than 5 percent of the investment portfolio can be invested in the securities of a single issuer.

More than 5 percent of the District's investments are with Bank of China-Hong Kong, discounted commercial paper, Natixis, and Federal Home Loan Mortgage Corporation. These investments are approximately 14 percent, 14 percent, and 15 percent, respectively of the District's total investments. The investments in U.S. Government Securities, Corporate Equities and Corporate obligations, are not subject to concentration of credit risk due to either being guaranteed by the U.S. government, considered a pooled investment, or none of the securities underlying the total investment type is more than 5 percent in any one issuer.

Custodial credit risk: The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party.

As of June 30, 2017, none of the District's investments were insured, but they were all registered in the District's name and held by the counterparty or the counterparty's trust department.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 4. Interfund Receivables/Payables and Transfers

Due to and from other funds as of June 30, 2017 are as follows:

	Due To Other Funds	Due From Other Funds
General fund	\$ -	\$ 9,369,774
Internal service fund, self insurance	9,369,774	-
	<u>\$ 9,369,774</u>	<u>\$ 9,369,774</u>

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$9,369,774 due to other funds in the internal service funds is attributable to a return of premium. Through analysis performed internally and externally, the Self Insurance Fund net position was deemed high compared to the forecast for future claims. As a result, the portion of premium charged through the general fund has been reduced to yield a fund balance more in line with the District's actual experiences and forecasted claims. Over the course of time, these items will level-set and return to normalized premium levels between the general fund and self-insurance fund.

The balances are expected to be collected in the subsequent year.

Advances to and from other funds as of June 30, 2017 are as follows:

	Advances To Other Funds	Advances From Other Funds
Nonmajor enterprise funds	\$ 28,302	\$ 28,302

Interfund balances result from the time lag between the dates that 1) interfund goods or services are provided or reimbursable expenditures occur, 2) transactions are recorded and 3) payments between funds are made.

The \$28,302 of advances from other funds in the nonmajor enterprise funds is attributable to the Home Construction fund. This advance will be repaid when the fund is solvent, but it is not expected to be paid in the subsequent year.

The following is a schedule of transfers as included in the basic financial statements of the District:

	Transfers In	Transfers Out
Major funds:		
General fund	\$ 462	\$ 103,293
Capital projects fund	-	23,880,972
Nonmajor governmental funds	23,910,402	-
Nonmajor enterprise funds, school nutrition	-	462
Nonmajor enterprise fund, collage	73,863	-
	<u>\$ 23,984,727</u>	<u>\$ 23,984,727</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 4. Interfund Receivables/Payables and Transfers (Continued)

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them or (2) use unrestricted revenues collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization or Board approval.

Note 5. Capital Assets

A summary of capital asset activity for the year ended June 30, 2017 is as follows:

Governmental Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated:				
Land	\$ 4,113,994	\$ 26,000	\$ -	\$ 4,139,994
Construction-in-progress	22,395,754	25,596,172	31,375,915	16,616,011
Total capital assets, not being depreciated	26,509,748	25,622,172	31,375,915	20,756,005
Capital assets, being depreciated:				
Land improvements	9,868,310	-	-	9,868,310
Buildings and improvements	617,542,894	31,392,615	-	648,935,509
Vehicles, furniture and equipment	26,664,155	2,179,807	612,356	28,231,606
Total capital assets, being depreciated	654,075,359	33,572,422	612,356	687,035,425
Less accumulated depreciation for:				
Land improvements	(7,657,521)	(210,515)	-	(7,868,036)
Buildings and improvements	(141,557,849)	(11,450,204)	-	(153,008,053)
Vehicles, furniture and equipment	(14,918,297)	(1,949,308)	(572,172)	(16,295,433)
Total accumulated depreciation	(164,133,667)	(13,610,027)	(572,172)	(177,171,522)
Total capital assets, being depreciated, net	489,941,692	19,962,395	40,184	509,863,903
Governmental activities capital assets, net	\$ 516,451,440	\$ 45,584,567	\$ 31,416,099	\$ 530,619,908
Business-Type Activities	Beginning Balance	Additions and Transfers In	Deletions and Transfers Out	Ending Balance
Capital assets, not being depreciated, construction-in-progress	\$ 122,380	\$ 20,899	\$ -	\$ 143,279
Capital assets, being depreciated:				
Vehicles, furniture and equipment	6,427,620	543,273	726,272	6,244,621
Less accumulated depreciation	(4,138,399)	(365,807)	(638,480)	(3,865,726)
Total capital assets, being depreciated, net	2,289,221	177,466	87,792	2,378,895
Business-type activities capital assets, net	\$ 2,411,601	\$ 198,365	\$ 87,792	\$ 2,522,174

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets (Continued)

Depreciation expense was charged to the District's functions as follows:

Governmental activities:

Instruction	\$ 11,626,796
Noninstructional	794,241
Business and central administration	253,115
Plant operation and maintenance	662,762
Student transportation	270,280
Capital assets held by the District's internal service funds are charged to the various functions based on their usage of the assets	2,833
Total	<u>\$ 13,610,027</u>

Business-type activities:

School nutrition	\$ 364,662
Automotive	1,145
	<u>\$ 365,807</u>

Note 6. Long-Term Liabilities and Bonds Payable

The following is a summary of changes in bonded and other long-term liabilities for the year ended June 30, 2017:

	Beginning Balance (As Restated)	Additions	Reductions	Ending Balance	Due Within One Year
Governmental activities:					
Sales tax revenue bonds	\$ 175,785,000	\$ 53,655,000	\$ 66,930,000	\$ 162,510,000	\$ 12,655,000
Bond premiums	9,296,539	-	3,605,928	5,690,611	-
Retrospective insurance rating plan	237,865	219,770	6,322	451,313	-
Special termination benefits	13,245,272	-	4,541,706	8,703,566	3,542,155
Compensated absences	3,552,552	4,265,307	4,074,928	3,742,931	3,193,057
Other postemployment benefits	62,027,734	8,900,794	6,338,708	64,589,820	-
Net pension liability	147,573,636	44,767,558	-	192,341,194	-
Long-term liabilities	<u>\$ 411,718,598</u>	<u>\$ 111,808,429</u>	<u>\$ 85,497,592</u>	<u>\$ 438,029,435</u>	<u>\$ 19,390,212</u>
Business-type activities:					
Compensated absences	\$ 268,737	\$ 215,973	\$ 306,282	\$ 178,428	\$ 153,164
Net pension liability	6,031,595	1,811,942	-	7,843,537	-
Long-term liabilities	<u>\$ 6,300,332</u>	<u>\$ 2,027,915</u>	<u>\$ 306,282</u>	<u>\$ 8,021,965</u>	<u>\$ 153,164</u>

Compensated absences are generally liquidated by the General Fund and the retrospective insurance rating plan liability is liquidated by the Management Fund, a nonmajor governmental fund. Net pension liabilities will generally be liquidated by the General Fund, School Nutrition and Child Care Funds.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

The District has pledged future statewide penny school infrastructure, services and use tax revenues to repay the \$71,900,000 of bonds issued May 2012 with an interest rate of 4 percent, \$8,780,000 of bonds issued December 2013 with interest rates ranging from 3 percent to 5 percent, and \$61,940,000 of bonds issued May 2014 with interest rates ranging from 3 percent to 5 percent and \$53,655,000 of bonds issued July 2016 with an interest rate of 2 percent. The bonds were issued for the purpose of financing costs of school infrastructure improvement projects. The bonds are payable solely from the proceeds of the statewide penny school infrastructure, services and use tax revenue received by the District and are payable through 2029. The bonds are not a general obligation of the District; however, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds were expected to require less than 50 percent of the statewide penny school infrastructure, services and use tax revenues. For the current year, principal and interest paid and total statewide penny school infrastructure, services and use tax revenue were \$18,373,708 and \$31,115,408, respectively.

On July 22, 2016, the District issued School Infrastructure Sales, Service and Use Tax Revenue Refunding Bonds, Series 2016 totaling \$53,655,000 with an interest rate of 2 percent. The bonds were issued to advance refund the School Infrastructure Sales, Services and Use Tax Revenue Bonds, Series 2010. The District paid \$6,008,000 of existing debt service reserve fund resources into escrow as a result of the issuance. As a result of the refunding, the District reduced its debt service requirements by \$14,727,384 for a net present value savings of \$6,246,714 after considering the payment of existing resources from the debt service reserve fund.

Annual debt service requirements to maturity as of June 30, 2017 for the outstanding sales tax revenue bonds are summarized as follows:

Year Ending June 30:	Governmental Activities		
	Principal	Interest	Total
2018	\$ 12,655,000	\$ 5,594,571	\$ 18,249,571
2019	12,105,000	5,148,005	17,253,005
2020	12,445,000	4,711,200	17,156,200
2021	12,695,000	4,251,030	16,946,030
2022	13,075,000	3,781,647	16,856,647
2023 - 2027	72,000,000	11,985,510	83,985,510
2027 - 2029	27,535,000	1,467,640	29,002,640
	<u>\$ 162,510,000</u>	<u>\$ 36,939,603</u>	<u>\$ 199,449,603</u>

As of June 30, 2017, the District did not exceed its legal debt margin, computed as follows:

Total assessed valuation	<u>\$ 11,346,962,433</u>
Debt limit of 5% of total assessed valuation	\$ 567,348,122
Amount of debt applicable to debt limit, total general obligation bonded debt	<u>162,510,000</u>
Excess of debt limit over bonded debt issued, legal debt margin	<u>\$ 404,838,122</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities and Bonds Payable (Continued)

Special termination benefits: The District offered a special termination benefit to certified teachers and administrators. To be eligible to participate in this Plan, an employee must (1) have attained age 55; (2) have at least 10 consecutive contract years of employment with the District; (3) have worked a minimum of 100 days during the contract year in which he or she elects to participate in this Plan; (4) have not received an official notice of lay off or termination; (5) not be subject to termination pursuant to Iowa Code Section 279.15 or Section 279.27, whether such termination occurs before or after the acceptance of his or her application and (6) otherwise meet the requirements of this Plan. The special termination benefit allows an eligible employee to (1) if at the time of retirement has health insurance, to use the value of their accumulated sick leave benefit and annual special leave to pay for health insurance until they reach the age of 65 and opt for Medicare benefits, with any remaining funds at that time paid out in a single lump sum payment, or (2) if at the time of retirement has no health insurance, or already reached the age of 65, to pay out the value of their accumulated sick leave benefit and annual special leave over five equal annual payments into a tax sheltered annuity of their choice. As of June 30, 2017, the District has \$2,432,096 accrued in the Management Fund relating to employees over age 65 as they are considered due and expected to be liquidated with expendable available financial resources, plus an additional amount not considered due of \$6,271,470 recorded only in the government-wide financial statements. The current year amount paid by the District was \$4,541,706 which consisted of 319 participants in the plan. The special termination benefits are generally liquidated by the Management Fund.

Note 7. Commitments and Contingencies

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. The amount, if any, of expenditures that may be disallowed by the grantor cannot be determined at this time, although the District expects such amounts, if any, to be immaterial.

As of June 30, 2017, the District was involved in construction projects with an estimated cost to complete the construction projects of \$10,159,790.

The District leases technology equipment for District schools and administrative offices on a long-term basis. Rental expense for the year ended June 30, 2017 is \$4,039,097. Following is a schedule of minimum future rentals for noncancelable operating leases in effect at June 30, 2017:

During the year ending June 30:

2018	\$ 5,750,094
2019	4,264,495
2020	2,753,598
2021	1,710,997
	<u>\$ 14,479,184</u>

The above schedule represents operating leases in effect at June 30, 2017. As part of the normal course of business, the District continues to negotiate and/or renegotiate various operating leases.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 8. Risk Management

The District has chosen to establish a risk financing fund for risks associated with the self-insurance plan for medical, dental and vision benefits. The risk financing fund is accounted for as an internal service fund where assets are set aside for claim settlements. The total charge allocated to each of the funds (based upon the percentage of each fund's current year payroll of the District) is calculated using trends in actual claims experience. Losses on medical claims are limited through the purchase of stop-loss insurance to \$75,000 per accident or disease, and 120 percent of actuarially projected claims for the District in total.

The claims liability of \$4,686,845 in the Self Insurance fund is based on the requirements of the Governmental Accounting Standards Board Statement No. 10, *Accounting and Financial Reporting for Risk Financing and Related Insurance Issues*, which requires that a liability for claims be reported if information indicates that it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an estimated amount for claims that have been incurred but not reported (IBNR) which represent estimates of the eventual loss on claims arising prior to year-end. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Year Ended June 30,	
	2017	2016
Unpaid claims, beginning of year	\$ 4,734,353	\$ 4,490,905
Current year claims and changes in estimates	65,776,295	62,168,336
Claim payments	(65,823,803)	(61,924,888)
Unpaid claims, end of year	<u>\$ 4,686,845</u>	<u>\$ 4,734,353</u>

As of June 30, 2017, the unpaid claims payable of \$4,686,845 is net of \$2,031,973 of reimbursement receivable that the District expects to receive as it has exceeded its individual stop-loss amount. A total of \$2,031,973 reinsurance revenue to be received is netted against claims expense.

The District self insures its workers' compensation exposures. As of June 30, 2017, the amount of liabilities recorded for estimated claims payable for workers' compensation was \$4,061,956 of which \$472,595 was recorded in the Management Fund in accounts payable, a nonmajor governmental fund, as that portion of the liability has matured, and an additional \$3,589,361 was recorded in the government-wide statements. Losses on workers' compensation claims are limited through the purchase of stop-loss insurance to \$500,000 per occurrence. Liabilities are reported in the financial statements in accounts payable. Changes in the balances of claims liabilities during the past two fiscal years are as follows:

	Year Ended June 30,	
	2017	2016
Unpaid claims, beginning of year	\$ 3,193,733	\$ 2,882,624
Current year claims and changes in estimates	3,033,420	4,138,067
Claim payments	(2,165,197)	(3,826,958)
Unpaid claims, end of year	<u>\$ 4,061,956</u>	<u>\$ 3,193,733</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

The District's general liability and automobile liability policies are written under a retrospective rating plan where final premium costs are within a specified minimum and maximum premium. For the policy year ended June 30, 2017, various liability claims remain unsettled; therefore, the District has accrued a liability for the maximum potential additional premium that could be payable under the retrospective rating plan of \$451,313. The liability is recorded in the Government-wide financial statements.

The District continues to carry commercial insurance for all other risks of loss. The District has a \$100,000 deductible on property insurance. Settled claims from these risks have not exceeded the planned coverage during any of the past three years.

Note 9. Retirement Systems

Iowa Public Employees' Retirement System:

Plan description: IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, anytime after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier (based on years of service).
- The member's highest five-year average salary. For members with service before June 30, 2012, the highest three-year average salary as of that date will be used if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions: Effective July 1, 2012, as a result of a 2010 law change, the contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. Statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2017, pursuant to the required rate, Regular members contributed 5.95 percent of pay and the District contributed 8.93 percent for a total rate of 14.88 percent.

The District's contributions to IPERS for the year ended June 30, 2017 were \$21,525,434.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: At June 30, 2017, the District reported a liability of \$200,184,731 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2016, the District's collective proportion was 3.180910 percent, which was an increase of 0.071797 percent from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized an overall credit to pension expense of \$5,754,160 and reported deferred outflows of resources and deferred inflows of resources related to the IPERS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,769,239	\$ 2,389,125
Changes of assumptions	3,054,197	-
Net difference between projected and actual earnings on pension plan investments	28,519,998	-
Changes in proportion and differences between District contributions and proportionate share of contributions	10,723,965	-
Total deferred amounts to be recognized in pension expense in future periods	44,067,399	2,389,125
District contributions subsequent to the measurement date	21,525,434	-
Total deferred amounts related to pensions	<u>\$ 65,592,833</u>	<u>\$ 2,389,125</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

The \$21,525,434 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2017. Deferred outflows of resources are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was 5.32 years and 5.26 years as of June 30, 2016 and 2015, respectively. The deferred inflows relates to the difference between expected and actual investment earnings is being amortized over a closed 5-year period as of the beginning of each measurement period. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Net
Year Ending June 30:	
2018	\$ 7,105,881
2019	7,105,881
2020	17,506,799
2021	9,775,139
2022	184,574
	<u>\$ 41,678,274</u>

There were no non-employer contributing entities at IPERS.

Actuarial assumptions: The total pension liability in the June 30, 2016 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	3.00 percent
Salary increases	4.00 to 17.00 percent, average, including inflation
Investment rate of return	7.50 percent, net of pension plan investment expense, including inflation

The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Mortality rates were based on the RP-2000 Mortality Table for Males or Females, as appropriate, with adjustments for mortality improvements based on Scale AA.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	28%	1.90%
Domestic equity	24	5.85
International equity	16	6.32
Private equity/debt	11	10.31
Real estate	8	3.87
Credit opportunities	5	4.48
U.S. TIPS	5	1.36
Other real estate	2	6.42
Cash	1	(0.26)
	<u>100%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate.

	1% Decrease (6.50%)	Discount Rate (7.50%)	1% Increase (8.50%)
District's proportionate share of the net pension liability	\$ 323,871,802	\$ 200,184,731	\$ 95,791,222

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Payables to the pension plan: At June 30, 2017, the District reported payables to the defined benefit pension plan of \$1,769,141 for legally required employer contributions and \$1,178,768 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Des Moines Teachers' Retirement System:

Plan description: The Des Moines Teachers' Retirement System (DMTRS) Plan and Trust is a single employer pension plan administered by Bankers Trust Capital Management with Wells Fargo Bank, N.A. as custodian of the Plan. The Plan was established in 1953 to offer employees of the school district a choice in planning for their retirement and is a uniquely designed hybrid pension plan as it contains features of both a traditional defined benefit plan, which is very common in the public sector, and a defined contribution plan. The Plan is considered a hybrid plan because investment risk is borne by the participant in the form of a variable account balance, implying a defined contribution plan, however, mortality risk is maintained by the District, which is a defined benefit plan feature. Due to this hybrid feature, the benefit terms cannot be modified.

The District's board of directors is also the Plan's board and constitutes the trustees. The Plan does not issue a stand-alone financial report.

Basis of accounting: The DMTRS financial statements are prepared on the accrual basis of accounting. Member contributions are recognized in the period in which the contributions are due. The District's contributions are recognized when due and a formal commitment to provide the contributions is made. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan. All plan investments are reported at fair value. Administrative costs of DMTRS are financed through investment earnings.

Employees of the District who are teachers as defined under the Plan are eligible to participate in the Plan. Each teacher may choose to participate in either the Plan or in the Iowa Public Employees Retirement System. The election is made within 30 days of hire. If no election is made, the default is to participate in IPERS. The membership data as of the most recent actuarial valuation date was:

Active members	300
Retirees and beneficiaries currently receiving benefits	875
Inactive members entitled to but not yet receiving benefits	145
	<u>1,320</u>

Plan benefits and death benefits: Upon retirement on or after age 55, the account balance is converted to one of various available forms of monthly benefits payable to the participant, and if elected, a continuing benefit to a surviving spouse.

Contributions: Participants electing to participate in the Plan will have contributions deducted on a pre-tax basis. The contribution will be based on the participant's age at hire and will remain constant for that participant thereafter. The older the participant, the higher the contribution. The Plan's contribution rates range from 6.31 percent to 9.14 percent, dependent on the entry age of the participant. The contribution rates have increased between 30 percent to 45 percent from 2007 to 2015.

An "Employer Matching Contribution" ranging from 7.83 percent to 11.00 percent (120 percent to 124 percent of the employee contribution) will also be made. Both employee and employer contributions are credited to an employee's account balance. The account balance is also credited with plan investment earning allocations.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Investments: The board of directors established an investment policy guiding the allocation of invested assets. This policy may be amended by the board of directors. Plan assets are managed on a total return basis with a long-term objective of achieving and maintaining a fully funded status for the benefits provided through the Plan. See additional information about the DMTRS investments in Note 3.

The pension plan shall diversify the investments so as to minimize the risk of large losses unless under the circumstances, it is clearly prudent not to do so.

Asset Class	Asset Allocation	Long-Term Expected Rate of Return
Certificates of deposit	0.2%	1.2%
Money market mutual funds	1.6	1.2
U.S. Government securities	1.4	1.2
Corporate equities	18.1	2.9
Mortgage-backed securities	7.1	2.8
Corporate obligations	42.7	3.2
Preferred stock	0.3	4.0
Municipal bonds	28.0	3.8
Other fixed income	0.6	2.9
	<u>100.0%</u>	

There are no investments in any one organization representing more than 5 percent or more of DMTRS' net position. There are no investments in, loans to, or leases with related parties.

Rate of return: For the year ended June 30, 2017, the annual weighted rate of return on pension plan investments, net of pension plan investment expense was 3.7 percent. The money weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

Net pension (asset): The total pension liability was determined using an actuarial valuation date of June 30, 2016 rolled forward from the valuation date to the plan's year-end of June 30, 2017 using generally accepted actuarial principals and methods.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

A schedule of the District's changes in its net pension asset for DMTRS for the year ended June 30, 2017 is as follows:

Total pension liability	
Service cost	\$ 3,170,939
Interest	11,061,733
Differences between expected and actual experience	(659,353)
Changes of assumptions	(6,051,814)
Benefit payments, including refunds of member contributions	(16,737,133)
Net change in total pension liability	(9,215,628)
 Total pension liability - beginning	 239,209,575
Total pension liability - ending (a)	\$ 229,993,947
 Plan fiduciary net position	
Contributions - employer	\$ 1,809,156
Contributions - members	1,383,568
Net investment income	8,976,669
Benefit payments, including refunds of member contributions	(16,737,133)
Administrative expense	(86,307)
Net change in plan fiduciary net position	(4,654,047)
 Plan fiduciary net position - beginning	 249,752,421
Plan fiduciary net position - ending (b)	\$ 245,098,374
 Net pension (asset) - ending (a) - (b)	 \$ (15,104,427)
 Plan fiduciary net position as a percentage of the total pension liability	 106.6%

Actuarial assumptions: The total pension liability in the June 30, 2016 actuarial valuation was determined using a 4.75 percent investment rate of return with mortality rates based on the RP-2014 Mortality Table for Males or Females, as appropriate, with adjustments for MP-2016 projections. The actuarial assumptions used in the June 30, 2016 valuation were based on the results of actuarial experience studies with dates corresponding to those listed above.

Discount rate: The discount rate used to measure the total pension liability was 4.75 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the contractually required rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Sensitivity of the District's net pension (asset) to changes in the discount rate: The following presents the District's net pension (asset) calculated using the discount rate of 4.75 percent, as well as what the District's net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (3.75 percent) or 1-percentage-point higher (5.75 percent) than the current rate.

	1% Decrease (3.75%)	Discount Rate (4.75%)	1% Increase (5.75%)
District's net pension liability (asset) as of June 30, 2017	\$ (3,876,896)	\$ (15,104,427)	\$ (24,775,813)

Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions: For the year ended June 30, 2017, the District recognized an overall credit to pension expense of \$8,165. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to the DMTRS pension from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 3,537,560	\$ 1,496,718
Changes of assumptions	5,500,613	5,187,269
Net difference between projected and actual earnings on pension plan investments	-	1,920,742
Total deferred amounts related to pensions	<u>\$ 9,038,173</u>	<u>\$ 8,604,729</u>

Deferred outflows of resources and deferred inflows of resources related to the differences between expected and actual experience and changes of assumptions are being amortized over a closed period equal to the average of the expected service lives of all employees as of the beginning of the measurement period, which was 7 years as of both June 30, 2017 and 2016. The deferred inflows of resources related to the difference between expected and actual investment earnings is being amortized over a closed 5-year period as of the beginning of each measurement period. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

	Deferred Outflows (Inflows) of Resources
Year Ending June 30:	
2018	\$ (727,691)
2019	1,285,364
2020	883,176
2021	233,916
2022	(282,582)
Thereafter	(958,739)
	<u>\$ 433,444</u>

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 9. Retirement Systems (Continued)

Aggregate pension related amounts for all plans are as follows:

	IPERS	DMTRS	Net
Net pension liability	\$ 200,184,731	\$ -	\$ 200,184,731
Net pension asset	-	15,104,427	15,104,427
Deferred outflows of resources, pension related amounts	65,592,833	9,038,173	74,631,006
Deferred inflows of resources, pension related amounts	2,389,125	8,604,729	10,993,854
Pension expense	(5,754,160)	(8,165)	(5,762,325)
	<u>Net</u>		
Year Ended June 30:			
2018	\$ 6,378,190		
2019	8,391,245		
2020	18,389,975		
2021	10,009,055		
2022	(98,008)		
Thereafter	(958,739)		
	<u>42,111,718</u>		
Deferred outflows of resources, pension related amounts - District contributions to IPERS subsequent to the measurement date	21,525,434		
	<u>\$ 63,637,152</u>		

Note 10. Other Postemployment Benefits

As a result of the adoption of GASB Statement No. 75, the beginning net position of the governmental activities was restated. The Statement replaces the requirements of GASB Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. The net OPEB obligation recorded in accordance with GASB Statement No. 45 was removed and the total OPEB liability was recorded in accordance with GASB Statement No. 75. The effect on the beginning net position is as follows:

	Governmental Activities
Net position June 30, 2016, as previously reported	\$ 367,738,139
Total OPEB liability	(62,027,734)
Removal of net OPEB obligation	27,231,666
Net position June 30, 2016, as restated	<u>\$ 332,942,071</u>

Plan description: The District sponsors a single-employer health care plan that provides three self-funded medical plans including prescription drug benefits to all active and retired employees and their eligible dependents. Retiree coverage begins for employees who have attained age 55 prior to the beginning of the subsequent contract year and have at least 10 consecutive contract years of employment and continues until the retiree is Medicare eligible at age 65. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements within the sections of the Code. The plan does not issue a stand-alone financial report.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

Funding policy: The current funding policy of the District is to pay health claims as they occur through internal allocated funds. For employees who retired on or before June 30, 2002, the District provides a 100 percent subsidy to the full cost of coverage for both retiree and dependent coverage. For employees who retire on or after June 30, 2002, Des Moines School District provides no subsidy. The health insurance plan contributions on behalf of employees are established and amended through negotiation by management and the union and governed by the District's union contracts.

The required contribution is based on projected pay-as-you-go financing. For fiscal year 2017, the District contributed \$2,091,035. Retiree and active members receiving benefits contributed through their required monthly contributions of:

Rate Tier	Fiscal Year 2017 Alliance Select	Fiscal Year 2017 Blue Access
Employee	\$ 557.06	\$ 549.90
Employee + One	1,062.31	1,048.66
Family	1,693.46	1,671.70

Employees covered by benefit terms: At June 30, 2017, the following employees were covered by the benefit terms:

Current retirees, beneficiaries and dependents	193
Current active members, fully eligible for benefits	1,007
Current active members, not yet fully eligible for benefits	3,949
	<u>5,149</u>

Total OPEB Liability: The District's total OPEB liability of \$64,589,820 was measured as of June 30, 2017, and was determined by an actuarial valuation as of that date.

The total OPEB liability in the June 30, 2017 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	3.00%
Salary increases	2.00%
Discount rate	3.58%
Healthcare cost trend rates	7.00 percent for medical and perscription benefits for 2017 and 4.50 percent for administrative fees for 2017, decreasing 0.50 percent per year to an ultimate rate of 4.50 percent for 2022 and later years

The discount rate was based on the Bond Byer 20-Bond GO Index.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

Mortality rates were based on the RP-2014 generational table scaled using MP-16 and applied on a gender-specific basis. It is assumed that 50 percent of future retirees cover a spouse at retirement. This is based on the current retiree spouse election percentages. All current and future retirees are assumed to be eligible for Medicare at age 65. The participation percentage is the assumed rate of future eligible retirees who elect to continue health coverage at retirement. It is assumed that 70 percent of all employees and their dependents who are eligible for early retiree benefits will participate in the retiree medical plan.

Based on current retiree plan elections, future retirees are assumed to elect plan coverage at the following rates:

Alliance Select	52%
Blue Access	48%

Changes in the Total OPEB Liability:

	Total OPEB Liability
Balance as of June 30, 2016	\$ 62,027,734
Changes for the year:	
Service cost	6,485,451
Interest	2,415,343
Changes in assumptions or other inputs	(4,247,673)
Contributions and payments made	(2,091,035)
Net changes	2,562,086
Balance as of June 30, 2017	\$ 64,589,820

Changes of assumptions and other inputs reflect a change in the discount rate from 2.85 percent in 2016 to 3.58 percent in 2017.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the approximate total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.58 percent) or 1-percentage-point higher (4.58 percent) than the current discount rate:

	1% Decrease (2.58%)	Discount Rate (3.58%)	1% Increase (4.58%)
Total OPEB liability	\$ 54,891,000	\$ 64,590,000	\$ 74,833,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the approximate total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (6.00 percent decreasing to 3.50 percent) or 1-percentage-point higher (8.00 percent decreasing to 5.50 percent) than the current healthcare cost trend rates:

	1% Decrease (6.00% decreasing to 3.50%)	Healthcare Cost Trend Rates (7.00% decreasing to 4.50%)	1% Increase (8.00% decreasing to 5.50%)
Total OPEB liability	\$ 54,601,000	\$ 64,590,000	\$ 75,478,000

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 10. Other Postemployment Benefits (Continued)

OPEB expense and deferred outflows of resources and deferred inflows of resources related to

OPEB: For the year ended June 30, 2017, the District recognized OPEB expense of \$6,469,945. At June 30, 2017, the District reported deferred inflows of resources related to OPEB from the following source:

	<u>Deferred Inflow of Resources</u>
Changes in assumptions or other inputs	\$ 3,907,859

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

	<u>Deferred Inflows of Resources</u>
Year Ending June 30:	
2018	\$ (339,814)
2019	(339,814)
2020	(339,814)
2021	(339,814)
2022	(339,814)
Thereafter	(2,208,789)
	<u>\$ (3,907,859)</u>

Note 11. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2017 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Des Moines, Iowa	Urban renewal and economic development projects	\$ 4,045,443
City of Pleasant Hill, Iowa	Urban renewal and economic development projects	375
City of Windsor Heights, Iowa	Urban renewal and economic development projects	15,480
		<u>\$ 4,061,298</u>

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2017, the District received \$1,392,078 of State Foundation Aid Replacement from the State of Iowa to replace \$5.40/per \$1,000 of assessed valuation lost due to tax increment financing tax abatements paid by the above listed municipalities.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications and clarifies definitions for governmental fund types. The details for the District's fund balance as of June 30, 2017 are as follows:

Fund Balances:	General	Capital Projects	Nonmajor Governmental	Total
Nonspendable:				
Inventories	\$ 522,207	\$ -	\$ -	\$ 522,207
Prepays	2,155,891	-	87,881	2,243,772
Permanent Trust	-	-	9,878	9,878
Total Nonspendable	2,678,098	-	97,759	2,775,857
Restricted:				
Student activities	-	-	1,555,311	1,555,311
Management levy purposes	-	-	4,282,299	4,282,299
Physical plant and equipment	-	-	9,219,931	9,219,931
Public education and recreation	-	-	432,236	432,236
DMPS expendable trust	-	-	3,269,490	3,269,490
Capital projects	-	60,073,912	-	60,073,912
Permanent trust	-	-	1,723	1,723
Categorical funding	14,925,734	-	-	14,925,734
Shared programs	817,820	-	-	817,820
Special education	4,135,552	-	-	4,135,552
Grants	234,168	-	-	234,168
Total restricted	20,113,274	60,073,912	18,760,990	98,948,176
Committed:				
Common core projects	5,000,000	-	-	5,000,000
Technology	6,500,000	-	-	6,500,000
Total committed	11,500,000	-	-	11,500,000
Assigned:				
Technology	1,350,628	-	-	1,350,628
Parent pay reserve	1,397,266	-	-	1,397,266
Total assigned	2,747,894	-	-	2,747,894
Unassigned	45,264,493	-	-	45,264,493
Total fund balances	\$ 82,303,759	\$ 60,073,912	\$ 18,858,749	\$ 161,236,420

Nonspendable:

Inventories: These dollars have been committed and spent on inventories that have yet to be consumed.

Prepaid items: These dollars have been spent on expenditures that relate to subsequent fiscal years.

Permanent trust: The principal of the District's permanent fund is legally or contractually required to be maintained intact.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances (Continued)

Restricted:

The following list of funds are restricted per Department of Ed policy or explicitly stated in Iowa code. Please refer to Note 1 on page 31 to reference each fund and a description of its restricted purpose:

- Student Activities
- Management Levy Purposes
- Physical Plant and Equipment (PPEL)
- Public Education and Recreation (PERL)
- DMPS Expendable Trust
- Capital Projects
- Permanent Trust

Categorical funding: These are funds that Des Moines Public Schools has received from State and Federal sources. These dollars have to be spent in accordance with the guidelines defined by each of these categories. These programs include:

- 4-Year Old Preschool
- Early Childhood
- English Language Learners (Students that English is not their first language)
- Nonpublic Textbooks
- Professional Development
- Professional Development specifically for the Common Core implementation
- Success Early Readers
- Gifted & Talented
- Teacher Leadership/Teacher Mentoring
- Medicaid Reimbursement
- Special Education Reserve to be utilized for special education related expenditures

Grants: These are funds that have been granted to Des Moines Public Schools from Federal, State or Local sources. These funds can only be spent as defined by the grant.

Shared Programs Reserve: These funds have been set aside to allow students to take classes outside of their core classes. These courses allow students to take college level courses and Career courses that will help transfer these credits to a college after graduation.

Committed:

Curriculum: These funds have been set aside to help Des Moines Public Schools continue to develop Common Core Strategies across the district now and in future years. This initiative will require significant resources and manpower to help the District move forward to this goal.

Curriculum Technology: These funds have been set aside for Curriculum Technology as we move toward the Common Core Strategies and continue to move Des Moines Public Schools into the future state of learning in the 21st Century.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 12. Fund Balances (Continued)

Assigned:

Technology: These are funds that have been set aside to make sure that Des Moines Public Schools can maintain and improve its current technology infrastructure. This enables the students and employees to have access to the technology needs for the present and the future.

Parent Pay Reserve: The District has several pre-school programs serving more than 1,900 students, including multiple funding sources. In most cases, half of the school day is covered through the state-funded Universal Preschool Program. The remaining portion of the day is often covered by fees charged to parents (referred to as parent pay revenue). As a result, the District assigned the remaining funds in the parent pay account to be utilized for future pre-school needs.

Note 13. Subsequent Event

The District is currently in ongoing discussions with IPERS to transfer all active DMTRS members. The transfer would result in all active DMTRS members shifting from the DMTRS plan to the IPERS plan, and would also stop any new members from enrolling in the DMTRS plan going forward. At the time of the issuance of this report, the District is unable to determine the final amount that would be needed from the DMTRS plan to transfer the active employees as negotiations are ongoing. House File 89 (HF 89) was passed by the Iowa House of Representatives and Iowa Senate in March 2017 and April 2017, respectively. HF 89 was signed by the Governor in May 2017. The bill authorizes the Board to adopt a resolution to authorize the merger. The bill authorizes, but does not require, IPERS to accept the proposal to merge. The District would continue to administrate the retired members of the DMTRS plan.

Note 14. Pending Governmental Accounting Standards Board (GASB) Pronouncements

The GASB has issued several statements not yet implemented by the District. The Statements which might impact the District are as follows:

- GASB Statement No. 83, *Certain Asset Retirement Obligations*, issued December 2016, will be effective for the District beginning with its fiscal year ending June 30, 2019. Under Statement No. 83, a government that has legal obligations to perform future asset retirement activities related to its tangible capital assets is required to recognize a liability and a corresponding deferred outflow of resources. The Statement identifies the circumstances that trigger the recognition of these transactions. The Statement also requires the measurement of an asset retirement obligation to be based on the best estimate of the current value of outlays expected to be incurred while the deferred outflow of resources associated with the asset retirement obligation will be measured at the amount of the corresponding liability upon initial measurement and generally recognized as an expense during the reporting periods that the asset provides service. The Statement requires disclosures including a general description of the asset retirement obligation and associated tangible capital assets; the source of the obligation to retire the assets; the methods and assumptions used to measure the liability; and other relevant information.
- GASB Statement No. 84, *Fiduciary Activities*, issued January 2017, will be effective for the District beginning with its fiscal year ending June 30, 2020. Statement No. 84 is designed to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.

Des Moines Independent Community School District

Notes to Basic Financial Statements

Note 14. Pending Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

- GASB Statement No. 85, *Omnibus 2017*, issued March 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. Statement No. 85 is designed to address practice issues that have been identified during implementation and application of certain GASB Statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits [OPEB])
- GASB Statement No. 86, *Certain Debt Extinguishment Issues*, issued May 2017, will be effective for the District beginning with its fiscal year ending June 30, 2018. Statement No. 86 is designed to improve consistency in accounting and financial reporting for in-substance defeasance of debt by providing guidance for transactions in which cash and other monetary assets acquired with only existing resources—resources other than the proceeds of refunding debt—are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also improves accounting and financial reporting for prepaid insurance on debt that is extinguished and notes to financial statements for debt that is defeased in substance.
- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. Statement No 87, is designed to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Des Moines Independent Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Total OPEB Liability:	
Service cost	\$ 6,485,451
Interest	2,415,343
Changes of assumptions and other inputs	(4,247,673)
Contributions and payments made	<u>(2,091,035)</u>
Net change in total OPEB liability	2,562,086
Total OPEB liability, beginning	<u>62,027,734</u>
Total OPEB liability, ending	<u><u>\$ 64,589,820</u></u>
 Covered employee payroll	 <u><u>\$ 262,230,859</u></u>
 Total OPEB liability as a percentage of covered-employee payroll	 <u><u>24.63%</u></u>

Notes to schedule:

Changes of assumptions. Changes of assumptions and other inputs reflect the changes in the discount rate each period. The following are discount rates used in each period.

2016	2.85%
2017	3.85

GASB 75 requires the presentation of 10 years of information. However, until a full 10-year trend is compiled, the District will present information for those years which information is available.

Des Moines Independent Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

	June 30, 2017	June 30, 2016	June 30, 2015
District's proportion of the net pension liability	3.180910%	3.109113%	2.990126%
District's proportionate share of the net pension liability	\$ 200,184,731	\$ 153,605,231	\$ 121,012,958
District's covered-employee payroll	\$ 228,344,150	\$ 213,014,784	\$ 199,662,244
District's proportionate share of the net pension liability as a percentage of its covered payroll	87.67%	72.11%	60.61%
Plan fiduciary net position as a percentage of the total pension liability	81.82%	85.19%	87.61%

Note: GASB Statement No. 68 requires ten years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present information for those years for which information is available.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of the District's Contributions
Iowa Public Employees' Retirement System**

Fiscal Year Ended June 30,	Actuarially Determined Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Valuation Payroll	Actual Contribution as a Percentage of Covered Valuation Payroll
2017	\$ 21,139,663	\$ 21,139,663	\$ -	\$ 236,726,377	8.93%
2016	20,391,133	20,391,133	-	228,344,150	8.93
2015	19,022,220	19,022,220	-	213,014,784	8.93
2014	17,947,600	17,947,600	-	199,662,244	8.99
2013	16,364,515	16,364,515	-	N/A	N/A
2012	14,947,018	14,947,018	-	N/A	N/A
2011	12,599,247	12,599,247	-	N/A	N/A
2010	12,066,415	12,066,415	-	N/A	N/A
2009	11,531,747	11,531,747	-	N/A	N/A
2008	10,259,449	10,259,449	-	N/A	N/A

N/A - information is not available for this fiscal year.

Des Moines Independent Community School District

Note to Required Supplementary Information Iowa Public Employees' Retirement System

The information presented in the required supplementary schedule was determined as part of the June 30, 2016 and 2015 actuarial valuations.

Actuarial valuation:

Frequency	Annual
Cost method	Entry age normal

Amortization	The amortization method uses a level percentage of payroll over a closed 30-year period.
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Assumptions:

Long-term rate of return	7.5% per year
Salary increases	4% to 17% per year, average, including inflation
Inflation rate	3.0% per year
Retirement age	Normal retirement age begins at 55. 65th birthday or age 62 with 20 years of service or rule of 88, with a minimum age of 55.

Mortality	RP-2000 General Mortality Tables, with age setbacks and age set forwards as well as other adjustments based on different membership groups.
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Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Changes in Net Pension (Asset)
Des Moines Teachers' Retirement System**

	2017	2016	2015
Total Pension Liability			
Interest	\$ 11,061,733	\$ 13,296,891	\$ 11,540,872
Service cost	3,170,939	3,406,928	3,540,132
Benefit payments	(16,737,133)	(16,089,811)	(15,741,167)
Difference between expected and actual experience	(659,353)	4,733,074	-
Changes in assumptions	(6,051,814)	-	-
Unadjusted difference to statement of net position	-	-	(2,395,304)
Net change in total pension liability	(9,215,628)	5,347,082	(3,055,467)
Total pension liability - beginning of year	239,209,575	233,862,493	236,917,960
Total pension liability - end of year	<u>\$ 229,993,947</u>	<u>\$ 239,209,575</u>	<u>\$ 233,862,493</u>
Plan Net Position			
Contributions - employer	\$ 1,809,156	\$ 1,880,180	\$ 1,940,452
Contributions - members	1,383,568	1,526,748	1,599,680
Investment income, net of investment expenses	8,976,669	15,786,080	9,342,942
Benefit payments	(16,737,133)	(16,089,811)	(15,741,167)
Administrative expenses	(86,307)	(92,792)	(197,373)
Net change in plan net position	(4,654,047)	3,010,405	(3,055,466)
Total plan net position - beginning of year	249,752,421	246,742,016	249,797,482
Total plan net position - end of year	<u>\$ 245,098,374</u>	<u>\$ 249,752,421</u>	<u>\$ 246,742,016</u>
Net pension (asset)	<u>\$ (15,104,427)</u>	<u>\$ (10,542,846)</u>	<u>\$ (12,879,523)</u>

No information available prior to June 30, 2009.

See note to required supplementary information.

2014	2013	2012	2011	2010	2009
\$ 10,694,208	\$ 11,114,714	\$ 11,108,011	\$ 10,494,061	\$ 10,693,221	\$ 11,442,310
3,486,593	3,378,539	3,688,025	4,002,473	4,146,141	4,093,191
(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)	(13,981,258)	(14,013,785)
(2,173,638)	548,767	(457,090)	2,229,875	1,438,977	717,089
12,834,761	-	-	-	-	-
-	-	-	-	-	-
9,314,716	257,260	113,184	2,219,012	2,297,081	2,238,805
227,603,244	227,345,984	227,232,800	225,013,788	222,716,707	220,477,902
\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800	\$ 225,013,788	\$ 222,716,707
\$ 1,766,655	\$ 1,707,967	\$ 1,990,777	\$ 2,161,435	\$ 2,228,161	\$ 2,188,015
1,719,938	1,670,572	1,697,248	1,841,038	1,917,980	1,905,176
20,652,265	5,954,025	25,620,970	18,665,905	25,353,987	4,467,082
(15,527,208)	(14,784,760)	(14,225,762)	(14,507,397)	(13,981,258)	(14,013,785)
(201,969)	(307,487)	(281,635)	(258,575)	(251,656)	(238,037)
8,409,681	(5,759,683)	14,801,598	7,902,406	15,267,214	(5,691,549)
241,387,802	247,147,485	232,345,887	224,443,481	209,176,267	214,867,816
\$ 249,797,483	\$ 241,387,802	\$ 247,147,485	\$ 232,345,887	\$ 224,443,481	\$ 209,176,267
\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)	\$ 570,307	\$ 13,540,440

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Net Pension Liability (Asset) and Related Ratios
Des Moines Teachers' Retirement System**

	2017	2016	2015
Total pension liability - end of year	\$ 229,993,947	\$ 239,209,575	\$ 233,862,493
Plan net position - end of year	245,098,374	249,752,421	246,742,016
Net pension liability (asset)	\$ (15,104,427)	\$ (10,542,846)	\$ (12,879,523)
Plan net position as a percentage of the total pension liability	106.6%	104.4%	105.5%
Covered employee payroll	\$ 19,420,566	\$ 19,971,785	\$ 25,125,460
Net pension liability (asset) as a percentage of covered payroll	(77.8)%	(52.8)%	(51.2)%

No information available prior to June 30, 2009.

See note to required supplementary information.

2014	2013	2012	2011	2010	2009
\$ 236,917,960	\$ 227,603,244	\$ 227,345,984	\$ 227,232,800	\$ 225,013,788	\$ 222,716,707
249,797,483	241,387,802	247,147,485	232,345,887	224,443,481	209,176,267
\$ (12,879,523)	\$ (13,784,558)	\$ (19,801,501)	\$ (5,113,087)	\$ 570,307	\$ 13,540,440
105.4%	106.1%	108.7%	102.3%	99.7%	93.9%
\$ 26,211,873	\$ 27,639,623	\$ 29,907,522	\$ 32,622,539	\$ 35,954,555	\$ 35,852,865
(49.1)%	(49.9)%	(66.2)%	(15.7)%	1.6%	37.8%

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Money-Weighted Rate of Return
Des Moines Teachers' Retirement System**

Plan Year Ended June 30:

2009	2.1%
2010	12.4
2011	8.5
2012	11.3
2013	2.5
2014	8.8
2015	3.8
2016	6.6
2017	3.7

No information available prior to June 30, 2009.

See note to required supplementary information.

Des Moines Independent Community School District

**Required Supplementary Information
Schedule of Contributions From the District
Des Moines Teachers' Retirement System**

Plan Year Ended June 30,	Annual Required Contribution	Actual Contribution	Contribution Deficiency (Excess)	Covered Payroll	Actual Contributions as a Percent of Covered Payroll
2009	\$ 4,093,191	\$ 4,093,191	\$ -	\$ 35,852,865	11.4%
2010	4,146,141	4,146,141	-	35,954,555	11.5
2011	4,002,473	4,002,473	-	32,622,539	12.3
2012	3,688,025	3,688,025	-	29,907,522	12.3
2013	3,378,539	3,378,539	-	27,639,623	12.2
2014	3,486,593	3,486,593	-	26,211,873	13.3
2015	3,540,132	3,540,132	-	25,125,460	14.1
2016	3,406,928	3,406,928	-	19,971,785	17.1
2017	3,192,724	3,192,724	-	19,420,566	16.4

No information available prior to June 30, 2009.

See note to required supplementary information.

Des Moines Independent Community School District

Note to Required Supplementary Information Des Moines Teachers' Retirement System

The information presented in the required supplementary schedule was determined as part of the June 30, 2016 actuarial valuation.

Actuarial valuation:

Frequency	Annual
Cost method	Not applicable

Amortization The amortization method used is Level Dollar Over a Closed Period.
The weighted average remaining period is 15 years.

Assumptions:

Long-term rate of return	4.75% to 5.5%
Salary increases	Not applicable
Retirement age	Normal retirement age begins at 55.

Mortality RP-2014 Mortability with Scale MP-2016 - Generational Annuitant and
Nonannuitant, male and female.

Disability Not applicable

The information presented in the required supplementary schedule was determined as part of the June 30, 2015 actuarial valuation.

Actuarial valuation:

Frequency	Annual
Cost method	Not applicable

Amortization The amortization method used is Level Dollar Over a Closed Period.
The weighted average remaining period is 15 years.

Assumptions:

Long-term rate of return	4.75%
Salary increases	Not applicable
Retirement age	Normal retirement age begins at 55.

Mortality RP-2014 Mortability with Scale MP-2015 - Generational Annuitant and
Nonannuitant, male and female.

Disability Not applicable

Des Moines Independent Community School District

**Required Supplementary Information - Budgetary Comparison Schedule -
All Governmental Funds, Enterprise Funds and Private Purpose Trust Funds
Year Ended June 30, 2017**

	Actual			
	Governmental Fund Types	Enterprise Funds	Private Purpose Trust Funds	Total
Revenues:				
Local sources	\$ 161,068,816	\$ 6,712,750	\$ 14,559	\$ 167,796,125
Intermediate sources	906,897	-	-	906,897
State sources	288,229,705	175,800	-	288,405,505
Federal sources	33,821,414	19,046,418	-	52,867,832
Total revenues	484,026,832	25,934,968	14,559	509,976,359
Expenditures/Expenses:				
Instruction	277,942,567	-	-	277,942,567
Support services	151,587,009	4,257	-	151,591,266
Noninstructional	2,530,080	25,446,779	12,200	27,989,059
Other	65,804,984	-	-	65,804,984
Total expenditures/expenses	497,864,640	25,451,036	12,200	523,327,876
Excess (deficiency) of revenues over expenditures/expenses	(13,837,808)	483,932	2,359	(13,351,517)
Other financing sources (uses):				
Proceeds from sale of capital assets	94,586	-	-	94,586
Transfers in	23,910,864	-	-	23,910,864
Transfers (out)	(23,984,265)	(462)	-	(23,984,727)
Net change in fund balances/net position	\$ (13,816,623)	\$ 483,470	\$ 2,359	\$ (13,330,794)

Note: Capital project expenditures have been classified according to function for budgetary comparison purposes.

See note to required supplementary information.

Budget		
Original	Final	Final Budget to Actual Variance
\$ 160,220,985	\$ 160,220,985	\$ 7,575,140
705,000	705,000	201,897
288,249,991	288,249,991	155,514
54,086,695	54,086,695	(1,218,863)
503,262,671	503,262,671	6,713,688
272,696,610	278,681,311	(738,744)
147,378,680	152,966,999	(1,375,733)
26,166,187	27,990,315	(1,256)
72,608,648	78,956,890	(13,151,906)
518,850,125	538,595,515	(15,267,639)
(15,587,454)	(35,332,844)	21,981,327
15,000	15,000	79,586
18,375,170	18,375,170	5,535,694
(18,375,170)	(18,375,170)	(5,609,557)
\$ (15,572,454)	\$ (35,317,844)	\$ 21,987,050

Des Moines Independent Community School District

Note to Required Supplementary Information – Budgetary Comparison Schedule

Note 1. Basis of Presentation

The District operates within the budget requirements for school districts as specified by state law and as prescribed by the Iowa Department of Management. Budgets are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP).

For the fiscal year beginning July 1, a proposed budget is adopted by the Board and filed with the County Auditor no later than April 15. The budget is certified by the County Auditor to the Department of Management.

Once adopted, the budget can be amended by the Board. The amendment must be published and a public hearing conducted prior to the amendment. Any amendments must be certified to the County Auditor no later than May 31. The proposed expenditure budget is advertised in the local newspaper, together with a notice of public hearing.

The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is the functional area for budgeted governmental, enterprise, and private purpose trust funds in total, rather than by individual fund type. Formal and legal budgetary control is based on four major classes of expenditures known as functional areas. These four functional areas are instruction, support services, noninstructional programs and other expenditures. During the year ended June 30, 2017, the District was below budget in all four functional areas. Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. Authorized expenditures cannot exceed the lesser of the certified budget plus any allowable amendments, or the authorized budget, which is the sum of the District's cost for that year plus the actual miscellaneous income received for that year plus the actual unspent balance from the preceding year. Appropriations as adopted and amended lapse at the end of the fiscal year.

During the year, one budget amendment increased budgeted expenditures by \$19,745,390.

The District is required by the Code of Iowa to budget for its share of media, educational services and special education support provided through the local area education agency. The District's actual amount for this purpose totaled \$14,162,548 for the year ended June 30, 2017.

NONMAJOR GOVERNMENTAL FUNDS

Special Revenue Funds

Account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects.

Student Activity Funds: This fund accounts for transactions that occur due to student-related activities from groups and organizations such as athletic and activity events, fundraising and other extracurricular or cocurricular activities.

Management: This fund is authorized by Iowa Code Section 298.4 and accounts for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

DMPS (expendable trust funds): This fund accounts for transactions that are received in trust in which both the principal and interest earned can be used to support the District.

Debt Service Fund

Accounts for and reports financial resources that are restricted, committed or assigned to expenditure for principal and interest.

Capital Projects Funds

Accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Physical Plant and Equipment Levy (PPEL): This capital projects fund is authorized by Iowa Code Section 298.2 and accounts for transactions related to the improvement of facilities and grounds, construction of schoolhouses, certain equipment expenditures and other expenditures authorized in Iowa Code Section 298.3.

Public Education and Recreation Levy (PERL): This fund is authorized by Iowa Code Section 300.2 and accounts for transactions related to schoolhouse playgrounds and recreational activities within the District. This fund also accounts for community education activity.

Permanent Funds

The Permanent Trust Fund accounts for transactions that are received in trust in which only the interest earned, and not the principal itself, can be used to support the District.

Des Moines Independent Community School District

**Combining Balance Sheet
All Nonmajor Governmental Funds
June 30, 2017**

	Special Revenue		
	Student Activity	Management	DMPS
Assets			
Cash and investments	\$ 1,778,444	\$ 7,140,867	\$ 1,728,710
Restricted investments	-	-	1,562,367
Property taxes receivable - current year	-	85,799	-
Property taxes receivable - succeeding year	-	8,964,969	-
Other receivables	7,000	7,792	-
Prepaid items	9,064	-	-
Total assets	\$ 1,794,508	\$ 16,199,427	\$ 3,291,077
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 221,549	\$ 472,595	\$ 21,587
Accrued payroll	1,086	-	-
Special termination benefits	-	2,432,096	-
Other current liabilities	-	-	-
Due to other governments	7,498	47,468	-
Compensated absences	-	-	-
Total liabilities	230,133	2,952,159	21,587
Deferred inflows of resources, succeeding year, property taxes	-	8,964,969	-
Fund balances:			
Nonspendable	9,064	-	-
Restricted	1,555,311	4,282,299	3,269,490
Total fund balances	1,564,375	4,282,299	3,269,490
Total liabilities, deferred inflows of resources and fund balances	\$ 1,794,508	\$ 16,199,427	\$ 3,291,077

Capital Projects			
Physical Plant and Equipment Levy	Public Education and Recreation Levy	Permanent	Total Nonmajor Governmental Funds
\$ 9,743,915	\$ 434,125	\$ 11,601	\$ 20,837,662
-	-	-	1,562,367
73,996	9,376	-	169,171
7,355,044	930,978	-	17,250,991
19,702	1,212	-	35,706
78,817	-	-	87,881
<u>\$ 17,271,474</u>	<u>\$ 1,375,691</u>	<u>\$ 11,601</u>	<u>\$ 39,943,778</u>

\$ 595,900	\$ 593	\$ -	\$ 1,312,224
-	-	-	1,086
-	-	-	2,432,096
21,782	-	-	21,782
-	300	-	55,266
-	11,584	-	11,584
<u>617,682</u>	<u>12,477</u>	<u>-</u>	<u>3,834,038</u>

<u>7,355,044</u>	<u>930,978</u>	<u>-</u>	<u>17,250,991</u>
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78,817	-	9,878	97,759
9,219,931	432,236	1,723	18,760,990
<u>9,298,748</u>	<u>432,236</u>	<u>11,601</u>	<u>18,858,749</u>

<u>\$ 17,271,474</u>	<u>\$ 1,375,691</u>	<u>\$ 11,601</u>	<u>\$ 39,943,778</u>
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Des Moines Independent Community School District

**Combining Statement of Revenues, Expenditures and Changes in Fund Balances
All Nonmajor Governmental Funds
Year Ended June 30, 2017**

	Special Revenue		
	Student Activity	Management	DMPS
Revenues:			
Property taxes	\$ -	\$ 8,832,672	\$ -
Other local sources	-	-	76,463
Investment earnings (losses)	2,925	-	(97,843)
Student activities	2,722,962	-	24,806
Total revenues	2,725,887	8,832,672	3,426
Expenditures:			
Current:			
Instruction	2,851,195	4,123,989	155,917
Student services	-	711,454	-
Instructional support services	-	-	25,261
General administration	-	639,114	-
Building administration	-	216,465	-
Business and central administration	-	445,873	-
Plant operation and maintenance	-	1,408,010	9,584
Student transportation	-	1,273,305	-
Noninstructional	-	517,340	-
Capital outlay	-	-	-
Debt service:			
Principal retirement	-	-	-
Interest	-	-	-
Payment to escrow agent	-	-	-
Total expenditures	2,851,195	9,335,550	190,762
Excess (deficiency) of revenues over expenditures	(125,308)	(502,878)	(187,336)
Other financing sources (uses):			
Issuance of refunding revenue bonds	-	-	-
Payments to escrow agent	-	-	-
transfers in	29,430	-	-
Total other financing sources (uses)	29,430	-	-
Net change in fund balances	(95,878)	(502,878)	(187,336)
Fund balances, beginning of year	1,660,253	4,785,177	3,456,826
Fund balances, end of year	\$ 1,564,375	\$ 4,282,299	\$ 3,269,490

Debt Service	Capital Projects		Permanent	Total Nonmajor Governmental Funds
	Physical Plant and Equipment Levy	Public Education and Recreation Levy		
\$ -	\$ 7,463,306	\$ 953,982	\$ -	\$ 17,249,960
-	628,315	357,215	-	1,061,993
-	13,320	-	18	(81,580)
-	-	32,869	-	2,780,637
-	8,104,941	1,344,066	18	21,011,010
-	100,000	1,700	-	7,232,801
-	-	-	-	711,454
-	-	-	-	25,261
-	-	-	-	639,114
-	-	165,324	-	381,789
-	503,918	51,473	-	1,001,264
-	1,164,781	-	-	2,582,375
-	947,307	-	-	2,220,612
-	-	796,694	-	1,314,034
-	2,948,924	157,682	-	3,106,606
12,495,000	-	-	-	12,495,000
5,878,708	-	-	-	5,878,708
5,507,264	-	-	-	5,507,264
23,880,972	5,664,930	1,172,873	-	43,096,282
(23,880,972)	2,440,011	171,193	18	(22,085,272)
53,655,000	-	-	-	53,655,000
(53,655,000)	-	-	-	(53,655,000)
23,880,972	-	-	-	23,910,402
23,880,972	-	-	-	23,910,402
-	2,440,011	171,193	18	1,825,130
-	6,858,737	261,043	11,583	17,033,619
\$ -	\$ 9,298,748	\$ 432,236	\$ 11,601	\$ 18,858,749

NONMAJOR ENTERPRISE FUNDS

Enterprise funds are used to account for those operations that are financed and operated in a manner similar to private business or where the District has decided that the determination of revenues earned, costs incurred and/or net income is necessary for management accountability.

School Nutrition Fund

This fund accounts for transactions related to the school lunch, breakfast and summer food programs authorized by Iowa Code Section 283A.

Child Care Fund

This fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 298A.12 and 279.49.

Home Construction Fund

This fund accounts for transactions for the home building activity performed by students as part of their instructional or extracurricular program. This fund also accounts for the sale of those homes.

Automotive Fund

This fund accounts for transactions for the service and repair of automobiles performed by students as part of their instructional or extracurricular program.

Des Moines Independent Community School District

**Combining Statement of Net Position
All Nonmajor Enterprise Funds
June 30, 2017**

	School Nutrition	Child Care	Home Construction
Assets			
Current assets:			
Cash and cash equivalents	\$ 2,986,001	\$ 238,107	\$ -
Other receivables, net	252,698	642,180	-
Due from other governments	43,176	-	-
Advanced to other funds	-	-	-
Inventories	637,533	-	-
Prepaid expenses	-	100.00	-
Total current assets	3,919,408	880,387	-
Noncurrent assets:			
Capital assets:			
Nondepreciable	-	-	143,279
Depreciable, net	2,368,294	-	-
Total noncurrent assets	2,368,294	-	143,279
Total assets	6,287,702	880,387	143,279
Deferred Outflow of Resources,			
Pension related amounts	1,853,949	611,603	-
Liabilities			
Current liabilities:			
Accounts payable	172,183	48,853	1,046
Accrued payroll	19,747	91,858	-
Due to other governments	10,094	20,140	34
Unearned revenue	351,703	22,772	-
Compensated absences	108,314	44,850	-
Total current liabilities	662,041	228,473	1,080
Noncurrent liabilities:			
Advances from other funds	-	-	28,302
Compensated absences	18,090	7,174	-
Net pension liability	5,606,643	2,236,894	-
Total noncurrent liabilities	5,624,733	2,244,068	28,302
Total liabilities	6,286,774	2,472,541	29,382
Deferred Inflow of Resources,			
pension related amounts	66,418	26,520	-
Net Position (Deficit)			
Investment in capital assets	2,368,294	-	143,279
Unrestricted (deficit)	(579,835)	(1,007,071)	(29,382)
Total net position (deficit)	\$ 1,788,459	\$ (1,007,071)	\$ 113,897

Automotive		Total	
\$	56,366	\$	3,280,474
	507		895,385
	-		43,176
	28,302		28,302
	-		637,533
	-		100
	85,175		4,884,970
	-		143,279
	10,601		2,378,895
	10,601		2,522,174
	95,776		7,407,144
	-		2,465,552
	1,380		223,462
	-		111,605
	-		30,268
	-		374,475
	-		153,164
	1,380		892,974
	-		28,302
	-		25,264
	-		7,843,537
	-		7,897,103
	1,380		8,790,077
	-		92,938
	10,601		2,522,174
	83,795		(1,532,493)
\$	94,396	\$	989,681

Des Moines Independent Community School District

Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit)
All Nonmajor Enterprise Funds
Year Ended June 30, 2017

	School Nutrition	Child Care	Home Construction
Operating revenues:			
Student activities	\$ -	\$ -	\$ -
Charges for services:			
Sale of food	1,779,932	-	-
Child care	-	4,858,437	-
Miscellaneous	-	-	-
Total operating revenues	1,779,932	4,858,437	-
Operating expenses:			
Student services	20,154,357	-	-
Depreciation	364,662	-	-
Community services	-	4,829,288	3,363
Total operating expenses	20,519,019	4,829,288	3,363
Operating income (loss)	(18,739,087)	29,149	(3,363)
Nonoperating revenues (expenses):			
Other local sources	30,858	-	-
State sources	175,800	-	-
Federal sources	19,046,418	-	-
Loss on disposal of capital assets	(77,277)	-	-
Total nonoperating revenues	19,175,799	-	-
Transfers out	(462)	-	-
Income (loss)	436,250	29,149	(3,363)
Total net position (deficit), beginning of year	1,352,209	(1,036,220)	117,260
Total net position (deficit), end of year	\$ 1,788,459	\$ (1,007,071)	\$ 113,897

Automotive		Total	
\$	37,426	\$	37,426
	-		1,779,932
	-		4,858,437
	6,097		6,097
	43,523		6,681,892
	20,944		20,175,301
	1,145		365,807
	-		4,832,651
	22,089		25,373,759
	21,434		(18,691,867)
	-		30,858
	-		175,800
	-		19,046,418
	-		(77,277)
	-		19,175,799
	-		(462)
	21,434		483,470
	72,962		506,211
\$	94,396	\$	989,681

Des Moines Independent Community School District

Combining Statement of Cash Flows All Nonmajor Enterprise Funds Year Ended June 30, 2017

	School Nutrition	Child Care	Home Construction
Cash flows from operating activities:			
Cash received from user charges	\$ 1,792,055	\$ 4,559,854	\$ -
Cash payments to employees for services	(9,278,980)	(4,103,050)	-
Cash payments to suppliers for goods and services	(9,777,316)	(682,754)	(3,080)
Net cash provided by (used in) operating activities	(17,264,241)	(225,950)	(3,080)
Cash flows from noncapital financing activities:			
Payments from other funds	-	-	23,979
Payments to other funds	(462)	-	-
Grants and donations received	18,242,238	-	-
Net cash provided by (used in) noncapital financing activities	18,241,776	-	23,979
Cash flows from capital and related financing activities, acquisition of capital assets	(530,758)	-	(20,899)
Net increase (decrease) in cash and cash equivalents	446,777	(225,950)	-
Cash and cash equivalents, beginning of year	2,539,224	464,057	-
Cash and cash equivalents, end of year	<u>\$ 2,986,001</u>	<u>\$ 238,107</u>	<u>\$ -</u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:			
Operating income (loss)	\$ (18,739,087)	\$ 29,149	\$ (3,363)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:			
Depreciation	364,662	-	-
Commodities used	1,210,662	-	-
Changes in assets and liabilities:			
Receivables	(68,417)	(297,528)	-
Inventories	66,141	-	-
Prepaid items	1,245	(100)	-
Accounts payable and due to other governments	(156,746)	23,398	283
Unearned revenue	80,540	(1,055)	-
Accrued liabilities and compensated absences	(183,207)	(43,686)	-
Net pension liability	1,294,910	517,032	-
Deferred outflows of resources	(191,227)	(54,198)	-
Deferred inflows of resources	(943,717)	(398,962)	-
Net cash provided by (used in) operating activities	\$ (17,264,241)	\$ (225,950)	\$ (3,080)
Noncash items:			
Noncapital financing activities, commodities received from U.S. Department of Agriculture	<u>\$ 1,210,662</u>	<u>\$ -</u>	<u>\$ -</u>

Automotive		Total	
\$	43,016	\$	6,394,925
	-		(13,382,030)
	(20,439)		(10,483,589)
	22,577		(17,470,694)
	-		23,979
	(28,302)		(28,764)
	-		18,242,238
	(28,302)		18,237,453
	(11,746)		(563,403)
	(17,471)		203,356
	73,837		3,077,118
\$	56,366	\$	3,280,474
\$	21,434	\$	(18,691,867)
	1,145		365,807
	-		1,210,662
	(507)		(366,452)
	-		66,141
	-		1,145
	505		(132,560)
	-		79,485
	-		(226,893)
	-		1,811,942
	-		(245,425)
	-		(1,342,679)
\$	22,577	\$	(17,470,694)
\$	-	\$	1,210,662

INTERNAL SERVICE FUNDS

The internal service funds are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis.

Self-Insurance Fund

This fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed in Note 1.

Risk Management Fund

This fund accounts for transactions for certain health insurances including life and disability received by District employees in which the District is responsible for paying all premiums as specified attributable to the insurances listed in Note 1.

Collage Fund

This fund accounts for transactions for materials for arts and crafts and services such as laminating and other related activities.

Print Shop Fund

This fund accounts for transactions for print shop and copying services.

Des Moines Independent Community School District

Combining Statement of Net Position All Internal Service Funds June 30, 2017

	Self-Insurance	Risk Management	Print Shop	Total
Assets				
Current assets:				
Cash and cash equivalents	\$ 25,128,849	\$ 432,966	\$ 38,095	\$ 25,599,910
Other Receivables	-	-	2,566	2,566
Inventories	-	-	37,213	37,213
Prepaid Expenses	20	-	43,934	43,954
Total current assets	25,128,869	432,966	121,808	25,683,643
Noncurrent assets:				
Advances to other funds	-	-	-	-
Depreciable capital assets, net	-	-	13,162	13,162
Total noncurrent assets	-	-	13,162	13,162
Total assets	25,128,869	432,966	134,970	25,696,805
Liabilities				
Current liabilities:				
Accounts payable	-	94,887	57,066	151,953
Claims payable	4,686,845	-	-	4,686,845
Accrued payroll	-	147,918	3,752	151,670
Due to other governments	199,781	-	-	199,781
Unearned revenue	64,396	-	180	64,576
Compensated absences	-	-	7,284	7,284
Due to other funds	9,369,774	-	-	9,369,774
Other	-	-	225	225
Total current liabilities	14,320,796	242,805	68,507	14,632,108
Noncurrent liabilities, advances from other funds	-	-	-	-
Total liabilities	14,320,796	242,805	68,507	14,632,108
Net Position				
Investment in capital assets	-	-	13,162	13,162
Unrestricted	10,808,073	190,161	53,301	11,051,535
Total net position	\$ 10,808,073	\$ 190,161	\$ 66,463	\$ 11,064,697

Des Moines Independent Community School District

Combining Statement of Revenues, Expenses and Changes in Fund Net Position (Deficit)
All Internal Service Funds
Year Ended June 30, 2017

	Self-Insurance	Risk Management	Collage	Print Shop	Total
Operating revenues:					
Charges for services:					
Employee benefits	\$ 62,620,724	\$ 933,932	\$ -	\$ -	\$ 63,554,656
Miscellaneous	-	-	13,056	1,181,604	1,194,660
Total operating revenues	62,620,724	933,932	13,056	1,181,604	64,749,316
Operating expenses:					
Claims and related costs	65,776,295	933,472	-	-	66,709,767
Depreciation	-	-	-	2,833	2,833
Miscellaneous	5,380	-	13,056	1,148,777	1,167,213
Total operating expenses	65,781,675	933,472	13,056	1,151,610	67,879,813
Operating income (loss)	(3,160,951)	460	-	29,994	(3,130,497)
Nonoperating expense, loss on sale of capital assets	-	-	-	(16,092)	(16,092)
Income (loss) before transfers	(3,160,951)	460	-	13,902	(3,146,589)
Transfers in	-	-	73,863	-	73,863
Change in net position (deficit)	(3,160,951)	460	73,863	13,902	(3,072,726)
Total net position (deficit), beginning of year	13,969,024	189,701	(73,863)	52,561	14,137,423
Total net position, end of year	<u>\$ 10,808,073</u>	<u>\$ 190,161</u>	<u>\$ -</u>	<u>\$ 66,463</u>	<u>\$ 11,064,697</u>

Des Moines Independent Community School District

Combining Statement of Cash Flows All Internal Service Funds Year Ended June 30, 2017

	Self-Insurance	Risk Management	Collage	Print Shop	Total
Cash flows from operating activities:					
Cash received from user charges	\$ 62,620,927	\$ 933,932	\$ 13,057	\$ 1,154,466	\$ 64,722,382
Cash payments to employees for services	-	-	(13,117)	(318,990)	(332,107)
Cash payments to suppliers for goods and services	(65,889,025)	(921,307)	(436)	(822,358)	(67,633,126)
Net cash provided by (used in) operating activities	(3,268,098)	12,625	(496)	13,118	(3,242,851)
Cash flows from noncapital financing activities, proceeds from other funds	2,380,163	-	346	-	2,380,509
Cash flows from capital and related financing activities:					
Proceeds from sale of capital assets	-	-	-	775	775
Acquisition of capital assets	-	-	-	(13,695)	(13,695)
Net cash (used in) capital and related financing activities	-	-	-	(12,920)	(12,920)
Net increase (decrease) in cash and cash equivalents	(887,935)	12,625	(150)	198	(875,262)
Cash and cash equivalents, beginning of year	26,016,784	420,341	150	37,897	26,475,172
Cash and cash equivalents, end of year	<u>\$ 25,128,849</u>	<u>\$ 432,966</u>	<u>\$ -</u>	<u>\$ 38,095</u>	<u>\$ 25,599,910</u>
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (3,160,951)	\$ 460	\$ -	\$ 29,994	\$ (3,130,497)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Depreciation	-	-	-	2,833	2,833
Changes in assets and liabilities:					
Other receivables	-	-	-	(2,566)	(2,566)
Inventories	-	-	-	20,598	20,598
Prepaid expenses	(20)	-	-	(43,934)	(43,954)
Accounts payable and due to other governments	(59,822)	2,405	-	31,449	(25,968)
Claims payable	(47,508)	-	-	-	(47,508)
Unearned revenue	203	-	-	(27,138)	(26,935)
Accrued liabilities	-	9,760	(496)	1,882	11,146
Net cash provided by (used in) operating activities	\$ (3,268,098)	\$ 12,625	\$ (496)	\$ 13,118	\$ (3,242,851)

AGENCY FUND

This fund accounts for assets held in a custodial capacity by the District for individuals, private organizations or other governments. PTAs and PTOs are generally accounted for in these funds. The District only reports assets and liabilities for this fund.

Des Moines Independent Community School District

Statement of Changes in Assets and Liabilities

Agency Fund

Year Ended June 30, 2017

	Balance June 30, 2016	Additions	Deletions	Balance June 30, 2017
Faculty and Staff				
Assets				
Cash and cash equivalents	\$ 163,773	\$ 82,691	\$ 109,382	\$ 137,082
Prepaid expenses	-	500	-	500
Total assets	\$ 163,773	\$ 83,191	\$ 109,382	\$ 137,582
Liabilities				
Accounts payable	\$ 9,957	\$ 99,358	\$ 103,038	\$ 6,277
Due to other entities	153,816	82,691	105,202	131,305
Total liabilities	\$ 163,773	\$ 182,049	\$ 208,240	\$ 137,582

Des Moines Independent Community School District

Statistical Section

Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	97 - 112
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	113 - 119
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	120 - 125
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	126 - 127
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	129 - 150

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual financial report for the relevant year.

Des Moines Independent Community School District

Net Position By Component Last Ten Fiscal Years (Accrual Basis Of Accounting) (Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Governmental activities:				
Net investment in capital assets	\$ 261,303,316	\$ 295,531,637	\$ 321,900,574	\$ 338,928,488
Restricted	28,171,672	27,723,729	26,709,665	31,199,263
Unrestricted	20,680,456	17,189,578	10,363,873	14,951,604
Total governmental activities net position	\$ 310,155,444	\$ 340,444,944	\$ 358,974,112	\$ 385,079,355
Business-type activities:				
Investment in capital assets	\$ 2,380,907	\$ 2,606,657	\$ 2,411,710	\$ 2,283,505
Restricted	-	-	-	-
Unrestricted	(1,843,960)	(2,512,906)	(2,236,234)	(1,365,198)
Total business-type activities net position	\$ 536,947	\$ 93,751	\$ 175,476	\$ 918,307
Primary government:				
Net investment in capital assets	\$ 263,684,223	\$ 298,138,294	\$ 324,312,284	\$ 341,211,993
Restricted	28,171,672	27,723,729	26,709,665	31,199,263
Unrestricted	18,836,496	14,676,672	8,127,639	13,586,406
Total primary government net position	\$ 310,692,391	\$ 340,538,695	\$ 359,149,588	\$ 385,997,662

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 359,352,093	\$ 373,455,547	\$ 385,508,379	\$ 403,601,966	\$ 409,270,357	\$ 424,605,987
29,005,666	28,273,606	27,692,220	28,487,506	36,241,306	38,432,829
35,135,095	50,099,198	55,256,442	(73,620,226)	(77,773,524)	(122,405,143)
\$ 423,492,854	\$ 451,828,351	\$ 468,457,041	\$ 358,469,246	\$ 367,738,139	\$ 340,633,673
\$ 1,989,314	\$ 2,002,716	\$ 2,035,725	\$ 2,233,660	\$ 2,411,601	\$ 2,522,174
-	-	-	-	-	-
(245,440)	321,461	1,614,094	(3,097,678)	(1,905,390)	(1,532,493)
\$ 1,743,874	\$ 2,324,177	\$ 3,649,819	\$ (864,018)	\$ 506,211	\$ 989,681
\$ 361,341,407	\$ 375,458,263	\$ 387,544,104	\$ 405,835,626	\$ 411,681,958	\$ 427,128,161
29,005,666	28,273,606	27,692,220	28,487,506	36,241,306	38,432,829
34,889,655	50,420,659	56,870,536	(76,717,904)	(79,678,914)	(123,937,636)
\$ 425,236,728	\$ 454,152,528	\$ 472,106,860	\$ 357,605,228	\$ 368,244,350	\$ 341,623,354

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Expenses:				
Governmental activities:				
Instructional	\$ 229,908,604	\$ 238,676,928	\$ 245,423,324	\$ 251,762,378
Student services	19,144,119	20,471,493	22,488,603	20,562,462
Instructional support services	8,020,675	8,445,248	8,263,149	11,926,860
General administration	4,806,286	5,282,473	4,442,422	4,752,013
Building administration	18,205,319	18,902,199	19,797,129	17,692,429
Business and central administration	9,754,807	8,354,561	7,660,791	7,465,018
Plant operation and maintenance	33,557,855	35,647,890	33,438,106	32,500,882
Student transportation	10,635,752	10,518,100	10,352,087	10,699,109
Noninstructional	1,879,027	2,055,069	3,143,025	6,831,871
AEA support	10,993,407	11,511,318	12,463,876	12,878,207
Interest on long-term debt	835,766	709,817	897,462	3,254,529
Total governmental activities expenses	347,741,617	360,575,096	368,369,974	380,325,758
Business-type activities:				
School nutrition	14,833,221	14,790,948	14,429,088	13,730,822
Child care	3,479,097	3,468,091	2,947,012	3,055,421
Other	99,935	97,908	138,258	127,902
Total business-type activities expenses	18,412,253	18,356,947	17,514,358	16,914,145
Total primary government expenses	\$ 366,153,870	\$ 378,932,043	\$ 385,884,332	\$ 397,239,903
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 10,969,649	\$ 10,625,291	\$ 9,745,572	\$ 10,548,824
Support services	11,417,248	12,351,149	13,282,400	13,354,070
Operating grants and contributions	63,411,312	75,779,208	97,746,607	90,715,067
Capital grants and contributions	700,002	3,436,715	597,248	89,825
Total governmental activities program revenues	86,498,211	102,192,363	121,371,827	114,707,786

(Continued)

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 256,812,271	\$ 258,926,988	\$ 269,507,255	\$ 275,533,672	\$ 285,545,061	\$ 299,588,285
20,196,523	20,673,660	21,897,132	23,458,269	23,906,378	25,416,663
11,652,847	12,021,171	13,454,781	15,425,505	23,602,238	26,269,291
4,779,422	5,186,473	6,199,577	7,383,479	8,571,037	8,078,756
18,738,332	18,779,363	19,406,283	21,862,042	23,089,264	24,415,186
11,704,743	9,892,503	14,198,791	17,476,884	17,624,834	18,899,917
32,450,434	34,339,085	39,242,957	39,177,136	39,189,530	38,016,319
10,861,366	11,151,818	13,022,397	12,735,357	12,982,765	14,155,962
4,204,202	2,904,231	2,171,793	3,991,896	7,497,669	3,414,227
11,699,768	12,235,407	13,086,762	13,829,063	13,974,996	14,162,548
3,008,867	7,368,345	6,216,637	7,291,619	6,758,235	5,564,932
386,108,775	393,479,044	418,404,365	438,164,922	462,742,007	477,982,086
14,063,935	15,869,943	16,888,843	18,413,290	19,257,934	20,596,296
3,337,286	3,589,842	3,804,322	3,455,013	3,911,144	4,829,288
108,656	32,246	47,399	29,958	32,125	25,452
17,509,877	19,492,031	20,740,564	21,898,261	23,201,203	25,451,036
\$ 403,618,652	\$ 412,971,075	\$ 439,144,929	\$ 460,063,183	\$ 485,943,210	\$ 503,433,122
\$ 10,008,887	\$ 9,694,289	\$ 9,796,930	\$ 8,118,482	\$ 10,242,839	\$ 10,662,079
12,568,464	13,396,056	14,256,785	14,997,758	14,870,394	15,240,574
88,937,932	76,875,344	73,477,654	81,089,328	89,892,845	93,119,480
650,000	-	13,668	84,894	101,867	-
112,165,283	99,965,689	97,545,037	104,290,462	115,107,945	119,022,133

Des Moines Independent Community School District

Expenses, Program Revenues and Net (Expense) Revenue (Continued)

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Business-type activities:				
Charges for services:				
School nutrition	\$ 3,845,874	\$ 4,299,682	\$ 3,722,647	\$ 2,945,912
Child care	3,172,336	3,221,833	2,695,149	3,053,866
Other	72,913	67,550	104,511	96,197
Operating grants and contributions	9,825,079	10,324,686	11,061,636	11,561,001
Capital grants and contributions	672	-	-	-
Total business-type program revenues	16,916,874	17,913,751	17,583,943	17,656,976
Total primary government program revenues	\$ 103,415,085	\$ 120,106,114	\$ 138,955,770	\$ 132,364,762
Net (expense) revenue:				
Governmental activities	\$ (261,243,406)	\$ (258,382,733)	\$ (246,998,147)	\$ (265,617,972)
Business-type activities	(1,495,379)	(443,196)	69,585	742,831
Total primary government net expense	\$ (262,738,785)	\$ (258,825,929)	\$ (246,928,562)	\$ (264,875,141)

Source: Comprehensive Annual Financial Report

Note: The District adopted GASB Statement Nos. 68 and 71 in fiscal year 2015. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2015.

Note: The District adopted GASB Statement Nos. 75 in fiscal year 2017. Although beginning net position on the basic financial statements was restated, this schedule has not been adjusted for years prior to 2017.

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 2,816,185	\$ 2,743,057	\$ 2,753,299	\$ 2,131,101	\$ 1,926,629	\$ 1,810,790
3,451,999	3,465,978	3,799,779	3,904,107	4,369,310	4,858,437
93,344	62,249	53,245	30,043	32,029	43,523
11,973,916	13,801,050	14,772,639	17,127,503	18,243,464	19,222,218
-	-	9,365	-	-	-
18,335,444	20,072,334	21,388,327	23,192,754	24,571,432	25,934,968
\$ 130,500,727	\$ 120,038,023	\$ 118,933,364	\$ 127,483,216	\$ 139,679,377	\$ 144,957,101
\$ (273,943,492)	\$ (293,513,355)	\$ (320,859,328)	\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)
(825,567)	580,303	647,763	1,294,493	1,370,229	483,932
\$ (274,769,059)	\$ (292,933,052)	\$ (320,211,565)	\$ (332,579,967)	\$ (346,263,833)	\$ (358,476,021)

Des Moines Independent Community School District

General Revenues and Total Change in Net Position Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year		
	2008	2009	2010
Net (expense) revenue:			
Governmental activities	\$ (261,243,406)	\$ (258,382,733)	\$ (246,998,147)
Business-type activities	(1,495,379)	(443,196)	69,585
Total primary government net expense	(262,738,785)	(258,825,929)	(246,928,562)
General revenues and other changes in net position:			
Governmental activities:			
Property taxes:			
Levied for general purposes	86,343,532	89,272,177	90,708,731
Levied for management	8,781,855	9,168,606	9,406,937
Levied for property, plant, and equipment	6,007,979	6,313,191	6,522,074
Levied for playground	762,490	796,190	816,470
Sales tax, for capital projects	31,143,691	28,221,919	28,617,206
State foundation aid	152,188,242	151,858,708	127,914,804
Investment earnings	2,966,414	623,796	189,740
Other local sources	1,587,590	1,115,926	999,696
State sources	1,357,067	1,301,720	8,999
Transfers	-	-	(12,140)
Gain on sale of assets	20,757	-	354,798
Total governmental activities	291,159,617	288,672,233	265,527,315
Business-type activities:			
Transfers	-	-	12,140
Total business-type activities	-	-	12,140
Total primary government	291,159,617	288,672,233	265,539,455
Change in net position:			
Governmental activities	29,916,211	30,289,500	18,529,168
Business-type activities	(1,495,379)	(443,196)	81,725
Total primary government	\$ 28,420,832	\$ 29,846,304	\$ 18,610,893

Source: Comprehensive Annual Financial Report

Fiscal Year						
2011	2012	2013	2014	2015	2016	2017
\$ (265,617,972)	\$ (273,943,492)	\$ (293,513,355)	\$ (320,859,328)	\$ (333,874,460)	\$ (347,634,062)	\$ (358,959,953)
742,831	(825,567)	580,303	647,763	1,294,493	1,370,229	483,932
(264,875,141)	(274,769,059)	(292,933,052)	(320,211,565)	(332,579,967)	(346,263,833)	(358,476,021)
95,287,091	102,565,196	100,387,919	103,598,448	101,357,950	110,669,219	115,462,200
9,881,280	10,158,367	9,939,725	10,136,078	12,704,254	8,500,956	8,832,673
6,716,504	6,877,426	6,830,405	6,956,453	6,917,190	7,203,640	7,463,306
857,952	881,995	863,021	880,069	892,877	921,927	953,982
24,730,755	26,113,779	27,431,076	27,898,170	30,840,252	30,991,151	31,115,408
151,836,554	163,593,289	174,578,921	186,285,458	193,830,409	195,304,005	199,399,080
835,448	64,564	377,933	533,415	296,406	1,517,487	1,163,645
1,130,782	2,102,375	1,439,852	1,877,806	1,394,310	1,794,570	2,260,799
76,686	-	-	-	-	-	-
-	-	-	(677,879)	33,252	-	462
370,163	-	-	-	-	-	-
291,723,215	312,356,991	321,848,852	337,488,018	348,266,900	356,902,955	366,651,555
-	-	-	677,879	(33,252)	-	(462)
-	-	-	677,879	(33,252)	-	(462)
291,723,215	312,356,991	321,848,852	338,165,897	348,233,648	356,902,955	366,651,093
26,105,243	38,413,499	28,335,497	16,628,690	14,392,440	9,268,893	7,691,602
742,831	(825,567)	580,303	1,325,642	1,261,241	1,370,229	483,470
\$ 26,848,074	\$ 37,587,932	\$ 28,915,800	\$ 17,954,332	\$ 15,653,681	\$ 10,639,122	\$ 8,175,072

Des Moines Independent Community School District

Fund Balances, Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
General Fund:				
Nonspendable	\$ -	\$ -	\$ 798,809	\$ 638,607
Restricted	-	-	13,429,611	14,421,417
Committed	-	-	1,251,214	2,935,317
Assigned	-	-	-	-
Unassigned	-	-	5,636,791	20,607,861
Reserved	7,181,428	11,476,112	-	-
Unreserved	18,517,645	12,224,448	-	-
Total General Fund	\$ 25,699,073	\$ 23,700,560	\$ 21,116,425	\$ 38,603,202
All other governmental funds:				
Nonspendable	\$ -	\$ -	\$ 21,537	\$ -
Restricted	-	-	86,496,045	70,379,409
Committed	-	-	-	-
Assigned	-	-	-	-
Unassigned	-	-	-	-
Reserved	702,247	2,826,104	-	-
Unreserved, reported in:				
Capital projects funds	14,048,083	6,030,119	-	-
Debt service	-	-	-	-
Permanent funds	1,515	1,641	-	-
Special revenue funds	9,254,412	10,887,744	-	-
Total all other governmental funds	\$ 24,006,257	\$ 19,745,608	\$ 86,517,582	\$ 70,379,409

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, implemented in fiscal year 2011.

Source: Comprehensive Annual Financial Report

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 520,900	\$ 427,883	\$ 1,133,969	\$ 1,722,676	\$ 2,022,946	\$ 2,678,098
12,777,279	9,777,870	8,471,647	12,395,621	19,449,024	20,113,274
2,916,046	6,632,403	11,500,000	11,500,000	11,500,000	11,500,000
-	8,000,000	8,000,000	4,717,021	2,270,271	2,747,894
45,507,578	49,196,424	47,321,858	43,870,654	45,777,595	45,264,493
-	-	-	-	-	-
-	-	-	-	-	-
\$ 61,721,803	\$ 74,034,580	\$ 76,427,474	\$ 74,205,972	\$ 81,019,836	\$ 82,303,759
\$ 10,628	\$ 39,965	\$ 16,465	\$ 114,706	\$ 13,350	\$ 97,759
128,843,474	97,382,007	152,135,180	125,919,770	94,019,857	78,834,902
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
\$ 128,854,102	\$ 97,421,972	\$ 152,151,645	\$ 126,034,476	\$ 94,033,207	\$ 78,932,661

Des Moines Independent Community School District

Governmental Funds Revenues

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Federal sources, federal grants and other outside sources	\$ 30,387,722	\$ 35,826,527	\$ 55,991,777	\$ 48,798,707
State sources, state foundation aid and other sources	186,768,387	192,271,659	167,612,566	193,034,832
Intermediate sources	9,203,713	827,589	490,869	425,109
Local sources, local and other sources	151,092,795	163,293,732	157,464,731	166,804,026
Total revenues	\$ 377,452,617	\$ 392,219,507	\$ 381,559,943	\$ 409,062,674

Source: Comprehensive Annual Financial Report

Note: Beginning in fiscal year 2009, the State Department of Education no longer allows AEA support dollars to be classified as intermediate sources, rather they are now classified as local and other sources.

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 48,888,317	\$ 37,849,720	\$ 30,009,399	\$ 33,148,580	\$ 31,271,845	\$ 33,821,414
202,442,682	213,969,591	229,099,059	239,405,178	252,220,303	257,042,667
380,240	540,171	708,970	767,417	807,026	906,897
172,943,075	168,732,640	175,230,860	178,806,897	186,716,026	192,255,854
\$ 424,654,314	\$ 421,092,122	\$ 435,048,288	\$ 452,128,072	\$ 471,015,200	\$ 484,026,832

Des Moines Independent Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Instruction	\$ 225,309,061	\$ 232,694,472	\$ 232,362,118	\$ 235,454,394
Student services	19,497,475	20,831,163	21,746,835	19,847,087
Instructional support services	8,138,207	8,604,544	8,101,158	11,724,151
General administration	4,778,387	5,175,484	4,399,564	4,490,055
Building administration	18,519,205	19,539,562	19,622,589	17,422,604
Business and central administration	9,240,852	7,447,867	7,232,503	7,930,388
Plant operation & maintenance	33,505,014	35,133,406	32,886,528	31,519,245
Student transportation	10,009,481	9,876,399	9,602,623	9,825,338
Non-instructional	1,981,376	2,020,184	2,092,321	2,253,303
AEA support	10,993,407	11,511,318	12,463,876	12,878,207
Capital outlay	41,304,558	22,482,126	38,124,836	39,884,842
Capital outlay not capitalized	2,302,867	4,114,439	3,392,283	7,772,199
Debt service:				
Principal retirement	2,090,000	18,810,000	520,000	3,180,000
Interest	822,738	741,648	39,078	4,334,020
Payment to escrow agent	-	-	-	-
Bond issuance costs	-	-	499,051	-
Total expenditures	\$ 388,492,628	\$ 398,982,612	\$ 393,085,363	\$ 408,515,833
Debt service as a percentage of noncapital expenditures	0.84%	5.19%	0.30%	2.04%

Source: Comprehensive Annual Financial Report

Note: The increase in percentage in fiscal year 2009 is due to early retirement of sales tax revenue bonds.

Fiscal Year											
2012		2013		2014		2015		2016		2017	
\$	242,468,897	\$	248,569,469	\$	258,355,855	\$	268,167,131	\$	269,163,315	\$	277,942,567
	20,447,634		20,677,284		21,660,306		23,058,840		23,649,011		25,386,339
	11,547,096		12,220,238		13,537,582		14,992,771		23,319,060		25,988,683
	4,691,758		5,086,112		6,217,049		7,287,867		8,604,467		8,031,356
	18,905,852		19,269,977		19,518,195		21,595,487		22,990,624		24,004,917
	11,037,950		9,440,413		12,741,906		16,491,865		16,864,453		17,653,942
	31,561,906		33,601,546		38,768,237		38,400,905		37,564,110		36,891,726
	10,185,732		10,403,066		12,304,303		11,976,509		12,589,191		13,630,046
	2,458,060		1,741,450		1,842,754		2,197,270		2,840,290		2,530,080
	11,699,768		12,235,407		13,086,762		13,829,063		13,974,996		14,162,548
	41,985,618		51,387,286		40,938,222		41,088,513		40,928,413		27,804,984
	5,138,277		3,528,631		897,825		2,874,161		5,308,585		(546,245)
	2,590,000		5,810,000		6,595,000		9,845,000		10,355,000		12,495,000
	3,418,000		6,348,244		6,036,366		8,781,480		8,143,820		5,878,708
	-		-		-		-		-		5,507,264
	1,299,592		-		817,127		-		-		502,725
\$	419,436,140	\$	440,319,123	\$	453,317,489	\$	480,586,862	\$	496,295,335	\$	497,864,640
	1.94%		3.13%		3.26%		4.24%		4.06%		4.02%

Des Moines Independent Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2008	2009	2010	2011
Excess of revenues over (under) expenditures	\$ (11,040,011)	\$ (6,763,105)	\$ (11,525,420)	\$ 546,841
Other financing sources (uses):				
Issuance of debt	-	-	70,000,000	-
Issuance of refunding debt	-	-	-	-
Payments to escrow agent	-	-	-	-
Proceeds from sale of capital assets	47,225	116,446	441,743	801,763
Proceeds from insurance recoveries	-	387,497	-	-
Premiums	-	-	5,271,516	-
Transfers in	2,912,738	19,551,648	559,078	7,514,020
Transfers out	(2,912,738)	(19,551,648)	(559,078)	(7,514,020)
Total other financing sources				
(uses)	47,225	503,943	75,713,259	801,763
Net change in fund balances	\$ (10,992,786)	\$ (6,259,162)	\$ 64,187,839	\$ 1,348,604

Source: Comprehensive Annual Financial Report

Fiscal Year					
2012	2013	2014	2015	2016	2017
\$ 5,218,174	\$ (19,227,001)	\$ (18,269,201)	\$ (28,458,790)	\$ (25,280,135)	\$ (13,837,808)
71,900,000	-	70,720,000	-	-	-
-	-	-	-	-	53,655,000
-	-	-	-	-	(53,655,000)
21,150	107,648	214,140	86,867	92,730	94,586
-	-	-	-	-	-
4,453,970	-	5,135,507	-	-	-
6,008,000	12,333,049	12,631,366	18,659,732	18,498,820	23,910,864
(6,008,000)	(12,333,049)	(13,309,245)	(18,626,480)	(18,498,820)	(23,984,265)
76,375,120	107,648	75,391,768	120,119	92,730	21,185
\$ 81,593,294	\$ (19,119,353)	\$ 57,122,567	\$ (28,338,671)	\$ (25,187,405)	\$ (13,816,623)

Des Moines Independent Community School District

Taxable Value and Actual Value of Taxable Property

Last Ten Fiscal Years

(Unaudited)

Levy Year	Collection Year	Real Property		Personal Property	
		Taxable Value	Estimated Actual Value	Taxable Value	Estimated Actual Value
2006	2007-08	\$ 5,981,343,640	\$ 9,545,918,160	\$ -	\$ -
2007	2008-09	6,287,922,470	10,354,470,310	-	-
2008	2009-10	6,492,990,940	10,515,202,140	-	-
2009	2010-11	6,787,866,460	10,753,974,740	-	-
2010	2011-12	6,906,961,444	10,805,005,808	-	-
2011	2012-13	6,845,833,397	10,453,353,698	-	-
2012	2013-14	7,030,673,370	10,507,339,484	-	-
2013	2014-15	6,905,500,764	10,363,626,769	-	-
2014	2015-16	6,894,664,897	10,431,160,954	-	-
2015	2016-17	7,215,082,273	10,924,647,220	-	-

Source: Polk County Auditor, Warren County Auditor, and Iowa Department of Management

Railroad and Utilities												
Without Gas & Electric		Gas & Electric		Total								
Taxable	Estimated	Taxable	Estimated	Taxable	Estimated	Total						
Value	Actual Value	Value	Actual Value	Value	Actual Value	Direct Rate						
\$	43,993,892	\$	44,752,336	\$	220,407,867	\$	292,396,945	\$	6,245,745,399	\$	9,883,067,441	17.93709%
	44,719,491		45,514,985		229,880,963		285,085,397		6,562,522,924		10,685,070,692	17.78888
	44,706,450		45,515,560		233,093,334		320,082,558		6,770,790,724		10,880,800,258	17.64277
	47,026,045		47,026,045		222,317,184		328,932,292		7,057,209,689		11,129,933,077	17.64347
	52,757,932		52,757,932		235,362,890		337,445,312		7,195,082,266		11,195,209,052	18.34848
	55,092,528		55,092,528		232,662,908		345,375,275		7,133,588,833		10,853,821,501	18.34845
	57,982,509		57,982,509		231,076,580		357,993,296		7,319,732,459		10,923,315,289	18.14592
	52,397,622		53,251,989		233,578,596		303,652,622		7,191,476,982		10,720,531,380	17.99477
	46,373,454		48,073,610		234,441,061		351,197,379		7,175,479,412		10,830,431,943	18.42809
	44,423,941		46,304,465		227,640,443		376,010,748		7,487,146,657		11,346,962,433	18.50586

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Levy Year	Collection Year	District Direct Rates						
		General Fund	Management Fund	PPEL Fund	PERL Fund	Schoolhouse	Debt Service	Total
2006	2007-08	\$ 15.28725	\$ 1.55484	\$ 0.96000	\$ 0.13500	\$ -	\$ -	\$ 17.93709
2007	2008-09	15.13904	1.55484	0.96000	0.13500	-	-	17.78888
2008	2009-10	14.99293	1.55484	0.96000	0.13500	-	-	17.64277
2009	2010-11	14.99363	1.55484	0.96000	0.13500	-	-	17.64347
2010	2011-12	15.69864	1.55484	0.96000	0.13500	-	-	18.34848
2011	2012-13	15.69861	1.55484	0.96000	0.13500	-	-	18.34845
2012	2013-14	15.14156	1.90936	0.96000	0.13500	-	-	18.14592
2013	2014-15	14.99041	1.90936	0.96000	0.13500	-	-	17.99477
2014	2015-16	16.08309	1.25000	0.96000	0.13500	-	-	18.42809
2015	2016-17	16.16086	1.25000	0.96000	0.13500			18.50586

(Continued)

Overlapping Rates										
Polk County	County Hospital	City of Des Moines	City of Norwalk	City of Pleasant Hill	City of Urbandale	City of Windsor Hts	City of WDM	Bloomfield Township	Ag Extension	Assessor
\$ 6.84207	\$ 2.96959	\$ 16.59028	\$ 14.98315	\$ 11.48209	\$ 9.22000	\$ 12.40322	\$ 12.04999	\$ 0.60759	\$ 0.03703	\$ 0.31349
6.83696	2.92408	16.57606	14.36542	11.48208	9.22000	14.79484	12.05000	0.60766	0.03717	0.32711
6.82855	2.80423	16.57614	14.60000	11.65000	9.22000	13.76398	12.05000	0.87750	0.03752	0.30104
6.81833	2.92111	16.57614	14.60000	11.65006	9.32000	13.31499	12.05000	0.87750	0.03631	0.27848
6.80992	2.92193	16.58000	16.34634	11.65000	9.52000	13.31486	12.05000	0.87750	0.03696	0.24628
6.80992	2.97819	16.91982	15.69000	11.65000	9.62000	13.31499	12.05000	0.87750	0.03866	0.24382
6.94381	2.99567	16.92001	15.69000	11.64997	9.57000	13.89892	12.05000	0.87733	0.03945	0.27822
7.16880	3.11769	16.92000	15.68944	11.65000	9.72000	15.34886	12.05000	0.87731	0.04061	0.27750
7.30880	3.21296	16.92000	15.69376	11.65000	9.82000	15.07588	12.00000	0.87750	0.04102	0.27920
7.30880	2.77545	16.92000	15.69499	11.65000	9.92000	15.66110	12.00000	0.87750	0.03985	0.27220

Des Moines Independent Community School District

Direct and Overlapping Property Tax Rates (Continued)

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Levy Year	Collection Year	Overlapping Rates								
		State	Area XI College	Urbandale-WH SS Dist	Downtown SSMID	Sherman Hills Lighting #1	Sherman Hills Lighting #2	Highland Park SSMID	Ingersoll SSMID	Beaverdale SSMID
2006	2007-08	\$ 0.00350	\$ 0.60276	\$ 0.16848	\$ 1.00000	\$ 1.49988	\$ 1.50000	\$ 1.74996	\$ 1.74997	\$ -
2007	2008-09	0.00350	0.56386	0.16550	0.99813	1.49999	1.49999	1.75000	1.75000	-
2008	2009-10	0.00300	0.56778	0.24131	1.00000	1.49983	1.49996	1.74992	1.75000	-
2009	2010-11	0.00340	0.56008	0.28411	1.00472	1.49989	1.50727	1.75003	1.75001	-
2010	2011-12	0.00320	0.59018	0.38435	1.00472	1.49996	1.50727	1.74999	1.75004	-
2011	2012-13	0.00330	0.58466	0.47069	1.00000	1.50011	1.50002	1.75001	1.75001	-
2012	2013-14	0.00330	0.69120	0.47163	1.15002	1.50021	1.50001	1.75002	2.25000	-
2013	2014-15	0.00330	0.67574	0.44216	1.15000	1.50019	1.50024	1.75002	2.25000	1.74994
2014	2015-16	0.00330	0.67574	0.29126	1.30000	1.50012	1.50002	1.75010	2.25000	1.75007
2015	2016-17	0.00330	0.72334	0.30810	1.30000	1.50001	1.50001	1.75001	2.25000	1.74996

Source: Polk County Auditor

Des Moines Independent Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2017			2009		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
MidAmerican	223,646,843	1	2.99%		1	3.28%
Nationwide	138,568,968	2	1.85%		3	2.68%
Principal Mutual Life Insurance	109,490,040	3	1.46%		2	3.20%
Wellmark Inc	101,137,500	4	1.35%		9	0.45%
Wells Fargo Financial	86,583,330	5	1.16%		4	1.52%
Principal Life Insurance	85,202,901	6	1.14%		2	3.20%
Employers Mutual Casualty	47,825,883	7	0.64%		4	0.87%
Lexington TNI Des Moines	28,332,000	8	0.38%			
Hoxies Addition	26,932,050	9	0.36%			
Macerich Southridge	26,215,920	10	0.35%			
	873,935,435		11.67%			

Source: Polk County Assessor

Des Moines Independent Community School District

Property Tax Levies and Collections Last Ten Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Collections In Subsequent Years	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2008	\$ 102,277,748	\$ 101,895,857	99.63%	\$ -	\$ -	\$ -
2009	105,892,487	105,550,164	99.68%	-	-	-
2010	107,733,427	107,454,211	99.74%	-	-	-
2011	113,255,898	112,742,827	99.55%	-	-	-
2012	120,926,483	119,010,714	98.42%	1,472,269	120,482,983	99.63%
2013	118,233,562	116,612,288	98.63%	1,364,597	117,976,885	99.78%
2014	122,372,255	120,135,631	98.17%	1,397,537	121,533,168	99.31%
2015	118,679,473	117,530,023	99.03%	1,305,381	118,835,404	100.13%
2016	121,390,508	120,894,205	99.59%	1,122,654	122,016,859	100.52%
2017	127,369,855	126,191,778	99.08%	1,296,903	127,488,681	100.09%

Source: Polk County Auditor and District records.

Due to timing of collections there are instances where the property tax is collected before the official due date.

Des Moines Independent Community School District

Ratios of General Bonded Debt Outstanding Last Ten Fiscal Years (Unaudited)

Fiscal Year	Population	Assessed Value Property	Legal Debt Limit (5%)	General Bonded Debt Outstanding				Total	Debt to Assessed Value	Per Capita
				General Obligation Bonds	General Obligation Capital Loan Notes	Qualified Zone Academy Bonds				
2008	196,093	\$ 9,883,067,441	\$ 494,153,372	\$ -	\$ 1,570,000	\$ 1,000,000		\$ 2,570,000	0.03%	\$ 13.11
2009	196,093	10,685,070,692	534,253,535	-	1,060,000	1,000,000		2,060,000	0.02%	10.51
2010	193,886	10,880,800,258	544,040,013	-	540,000	1,000,000		1,540,000	0.01%	7.94
2011	193,886	11,129,933,077	556,496,654	-	-	-		-	0.00%	-
2012	206,599	11,195,209,052	560,590,108	-	-	-		-	0.00%	-
2013	206,688	10,853,821,501	542,691,075	-	-	-		-	0.00%	-
2014	207,510	10,923,315,289	546,165,764	-	-	-		-	0.00%	-
2015	209,220	10,720,531,380	536,026,569	-	-	-		-	0.00%	-
2016	210,330	10,830,431,943	541,521,597	-	-	-		-	0.00%	-
2017	215,472	11,346,962,433	567,348,122	-	-	-		-	0.00%	-

Source: Polk County Auditor, Warren County Auditor, Iowa Department of Management, U.S. Census Bureau, and District Records

Des Moines Independent Community School District

**Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	Governmental Activities					Total Primary Government	Percentage of Personal Income	Per Capita	
	General	General Obligation	Qualified Zone	LOST/ Statewide Penny	Unamortized				
	Obligation Bonds	Capital Loan Notes	Academy Bonds	Revenue Bonds	Premium / Discount				
2008	\$	-	\$ 1,570,000	\$ 1,000,000	\$ 18,300,000	\$ 8,880	\$ 20,878,880	0.26%	\$ 106.47
2009	-	-	1,060,000	1,000,000	-	5,746	2,065,746	0.02%	\$ 10.53
2010	-	-	540,000	1,000,000	70,000,000	5,274,127	76,814,127	0.92%	\$ 396.18
2011	-	-	-	-	68,360,000	4,716,243	73,076,243	0.89%	\$ 352.58
2012	-	-	-	-	137,670,000	8,730,217	146,400,217	1.60%	\$ 666.36
2013	-	-	-	-	131,860,000	7,827,835	139,687,835	1.49%	\$ 637.97
2014	-	-	-	-	195,985,000	12,109,155	208,094,155	2.14%	\$ 944.46
2015	-	-	-	-	186,140,000	10,644,178	196,784,178	1.98%	\$ 940.56
2016	-	-	-	-	175,785,000	9,296,539	185,081,539	1.80%	\$ 879.96
2017	-	-	-	-	162,510,000	5,690,611	168,200,611	1.58%	\$ 780.61

Source: District Records

Comes off the debt1 worksheet that Jessica completes in the Auditor fold for PBC's.

Des Moines Independent Community School District

Direct and Overlapping Governmental Activities Debt

As of June 30, 2017

(Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable	Estimated Share of Direct and Overlapping Debt
Overlapping:			
City of Des Moines	\$ 435,759,822	96.4%	\$ 420,072,000
City of Pleasant Hill	3,890,000	24.1%	937,000
City of Urbandale	67,527,000	10.0%	6,753,000
City of Windsor Heights	10,122,426	0.9%	91,000
City of West Des Moines	115,741,754	0.1%	116,000
Des Moines Area Community College	85,850,000	30.1%	25,841,000
Polk County	292,180,000	35.3%	103,140,000
Warren County	536,794	5.4%	29,000
Subtotal, overlapping debt	1,011,607,796		556,979,000
Direct, Des Moines Independent Community School District:			
Sales tax revenue bond	162,510,000	100.0%	162,510,000
Subtotal direct debt	162,510,000		162,510,000
Total direct and overlapping debt	\$ 1,174,117,796		\$ 719,489,000

Source: State Treasurer of Iowa, Outstanding Obligation Report (2016 latest available data); District records.

The percentage applicable to the District is determined by the portion of the District geographical boundary included in the total boundary of the respective governmental entity.

Des Moines Independent Community School District

Legal Debt Margin Information

Last Ten Fiscal Years

(Unaudited)

	2008	2009	2010	2011
Debt limit	\$ 494,153,352	\$ 534,253,535	\$ 544,040,013	\$ 556,496,654
Total net debt applicable to limit	20,870,000	2,060,000	71,540,000	68,360,000
Legal debt margin	\$ 473,283,352	\$ 532,193,535	\$ 472,500,013	\$ 488,136,654
Total net debt applicable to the limit as a percentage of debt limit	4.22%	0.39%	13.15%	12.28%

Source: Polk County Auditor and District Records

Legal Debt Margin Calculation for Fiscal Year 2017

Assessed value \$ 11,346,962,433

Debt limit (5% of assessed value) \$ 567,348,122

Debt applicable to limit 162,510,000

Legal debt margin \$ 404,838,122

2012	2013	2014	2015	2016	2017
\$ 559,760,453	\$ 546,165,764	\$ 546,165,764	\$ 536,026,569	\$ 541,521,597	\$ 567,348,122
137,670,000	131,860,000	195,985,000	186,140,000	175,785,000	162,510,000
<u><u>\$ 422,090,453</u></u>	<u><u>\$ 414,305,764</u></u>	<u><u>\$ 350,180,764</u></u>	<u><u>\$ 349,886,569</u></u>	<u><u>\$ 391,563,122</u></u>	<u><u>\$ 404,838,122</u></u>
24.59%	24.14%	35.88%	34.73%	30.98%	28.64%

Des Moines Independent Community School District

Pledged-Revenue Coverage

Last Ten Fiscal Years

(Unaudited)

Fiscal Year	Local Option Sales and Services Tax				
	Revenue	Debt Service		Coverage	
		Principal	Interest		
2008	\$ 30,301,047	\$ 1,600,000	\$ 750,750	7.76%	
2009	30,821,593	18,300,000	685,300	61.60%	
2010	24,841,106	#	#	0.00%	
2011	28,174,783	1,640,000	4,313,500	21.13%	
2012	26,045,238	2,590,000	3,418,000	23.07%	
2013	27,364,977	5,810,000	6,348,244	44.43%	
2014	27,874,657	6,595,000	6,036,366	45.31%	
2015	30,744,831	9,845,000	8,781,480	60.58%	
2016	29,329,789	10,355,000	8,143,820	63.07%	
2017	27,374,941	12,495,000	5,878,708	67.12%	

N/A - There were no revenue bonds outstanding in each of these years.

- There were no payments due on revenue bonds outstanding during fiscal year 2010.

Note:

The statewide penny sales (SWP) tax was implemented in the District on July 1, 2010. The District's SWP tax revenue for each fiscal year is calculated by multiplying the certified enrollment by the statewide average tax revenue per student. The statewide average is calculated by dividing the total statewide penny sales tax revenue by the statewide enrollment.

Des Moines Independent Community School District

Demographic and Economic Statistics

Last Ten Calendar Years

(Unaudited)

Calendar Year	Population	Per Capita Personal Income	Personal Income for Polk County	Unemployment Rate
2008	196,093	\$ 48,980	\$ 9,604,635,140	6.7%
2009	193,886	43,098	8,356,098,828	6.4%
2010	193,886	42,381	8,217,082,566	6.0%
2011	206,599	44,178	9,127,130,622	5.4%
2012	206,688	45,356	9,374,540,928	4.8%
2013	207,510	46,753	9,701,715,030	4.2%
2014	209,220	47,612	9,961,382,640	4.3%
2015	210,330	48,797	10,263,473,010	4.3%
2016	215,472	49,415	10,647,548,880	3.5%

Note: FY2000 through FY2009 from the 2000 US Census.

FY10 Information taken from 2006 population estimate from the US Census Bureau

FY11 Population data based on Census 2006, 2010 data not available for Des Moines

Per Capita Personal Income from IA Workforce Development 2013 data - most recent

Source: Iowa Workforce Development, U.S. Census Bureau

Des Moines Independent Community School District

Largest Public and Private Employers in Greater Des Moines Region

Current Year

(Unaudited)

Employer	2017			2010		
	Employees *	Rank	Percentage of Total Employment	Employees ****	Rank	Percentage of Total Employment
Wells Fargo	14,500	1	4.1%			
UnityPoint Health(Iowa Health System)	7,797	2			3	
Mercy Medical Center	7,055	3	2.0%		5	
Hy-Vee Inc.	6,400	4	1.8%			
Principal Financial Group, Inc.	6,182	5	1.7%		1	
Des Moines Independent CSD***	4,952	6	1.4%	4,746	2	
Nationwide/Allied Insurance	4,442	7	1.2%			
John Deere	3,089	8	0.8%			
Vermeer	2,500	9	0.7%			
Dupont Pioneer	2,495	10	0.7%			
Blank Children's Pediatric(now part of UnityPoint)					4	
HP Enterprise Services(CDS)					6	
Des Moines Register					7	
Bridgestone America Tire(Firestone)					9	
Luthern Services of Iowa					10	
Employers Mutual					8	

Total employment ** 350,000

Source:

* Greater Des Moines Partnership

** Bureau of Labor Statistics, US Dept. of Labor:

County employment and wages in Iowa, second quarter 2012:

*** District records

**** Greater Des Moines Partnership, rankings of public corporations only available for 2005

Same as last year as new figures were not available

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2008	2009	2010	2011	2012
Administrators					
Central Office	32.0	40.0	39.0	29.0	30.0
Elementary Schools	33.0	36.0	37.0	37.0	37.0
Middle Schools	22.0	22.0	20.0	22.0	21.0
High Schools	29.0	28.0	29.0	21.0	22.0
Special Schools	8.0	5.0	5.0	6.0	7.0
Total Administrators	124.0	131.0	130.0	115.0	117.0
Teachers					
Academic Support	-	-	-	24.0	26.0
Behavior Coach	-	-	-	-	-
Non-classroom (other)	30.1	21.3	22.6	28.7	29.4
Classroom teachers	1,541.5	1,538.5	1,514.4	1,493.9	1,503.6
Counselors	76.7	81.9	76.1	57.0	51.5
Dean of Students	34.0	31.4	31.0	15.0	17.0
Educational tech support	6.2	4.0	2.5	3.0	-
ELL	84.3	81.3	81.3	84.3	85.3
Facilitator	7.0	8.0	2.0	1.0	1.0
Gifted and Talented	7.5	7.5	7.5	8.0	9.0
Head Start	16.0	15.0	18.5	17.5	15.5
Home Instruction	8.5	8.5	8.0	7.0	7.0
Instructional Coach	-	-	-	-	-
International Baccalaureate Coordinator	-	-	-	-	5.0
Library/Media specialists	8.4	8.0	8.0	5.0	5.0
Literacy trainer	-	-	-	-	-
Mentor Teacher	-	-	-	-	-
Montessori	-	-	-	-	-
New Horizons teachers	6.5	8.0	4.0	-	-
Nurses	55.8	55.4	54.7	57.9	57.3
Nursery	-	-	-	-	-
Preschool	47.5	48.0	46.5	43.5	34.5
Special Ed literacy support	-	-	-	-	-
Special Ed teachers	577.9	558.4	524.9	493.9	506.4
Special Ed consultants	31.0	31.0	30.5	33.0	32.0
Special Ed Support	132.0	126.1	124.5	112.7	124.2
Title I	172.0	185.3	194.8	180.8	181.0
Float	2.0	1.0	14.2	1.0	-
Total teachers	2,844.9	2,818.6	2,766.0	2,667.2	2,690.7
Associates					
Central Office	9.6	3.6	5.8	8.8	7.8
Elementary Schools	254.5	252.9	219.5	202.3	223.8
Middle Schools	62.8	62.8	52.0	58.8	59.5
High Schools	70.5	72.5	63.5	56.0	53.2
Special Schools	179.7	161.9	154.6	164.4	163.5
Total associates	577.1	553.7	495.4	490.3	507.8

Source: District records

(Continued)

Full-Time Equivalent Employees as of June 30					Percentage Change
2013	2014	2015	2016	2017	2008 - 2017
35.0	36.0	37.0	39.0	36.0	12.5%
37.0	37.0	37.0	38.0	38.0	15.2%
21.0	21.0	20.0	20.0	20.0	-9.1%
22.0	22.0	24.0	24.0	23.0	-20.7%
8.0	8.0	5.0	5.0	5.0	-37.5%
123.0	124.0	123.0	126.0	122.0	-1.6%
25.0	26.0	32.0	36.5	31.6	#DIV/0!
7.5	9.5	19.7	26.8	26.0	#DIV/0!
14.9	14.8	11.8	12.8	12.0	-60.1%
1,499.5	1,555.0	1,563.7	1,578.3	1,562.1	1.3%
58.3	58.4	63.0	67.4	80.5	5.0%
16.2	14.5	4.6	3.6	3.3	-90.3%
-	-	-	-	-	-100.0%
86.8	88.8	91.0	106.5	111.0	31.7%
-	-	-	-	-	-100.0%
11.0	11.0	15.0	18.0	18.0	140.0%
14.5	13.5	14.0	14.0	14.0	-12.5%
7.0	6.0	6.0	5.0	5.0	-41.2%
-	-	49.5	109.9	92.6	#DIV/0!
7.0	8.0	8.0	6.5	5.0	#DIV/0!
3.0	2.0	2.0	2.0	2.0	-76.2%
-	-	-	-	-	#DIV/0!
-	10.5	14.5	17.5	-	#DIV/0!
-	-	-	-	-	#DIV/0!
-	-	-	-	-	-100.0%
57.6	57.7	58.4	60.2	60.0	7.5%
-	-	-	-	-	#DIV/0!
38.5	38.5	34.0	34.0	34.0	-28.4%
-	-	-	-	-	#DIV/0!
508.8	509.3	499.4	494.0	483.5	-16.3%
30.0	31.0	34.0	33.0	32.0	3.2%
128.2	126.4	121.6	125.9	130.8	-0.9%
171.4	187.8	208.9	213.0	225.3	31.0%
2.0	4.0	1.0	5.0	8.0	300.0%
2,687.2	2,772.7	2,802.6	2,969.9	2,936.7	3.2%
9.8	11.8	24.8	26.8	17.0	77.1%
211.0	222.0	195.0	189.8	188.0	-26.1%
62.0	61.0	58.8	61.0	59.5	-5.3%
44.6	46.0	57.0	54.0	52.0	-26.2%
191.9	180.2	182.6	183.8	193.8	7.8%
519.3	521.0	518.2	515.4	510.3	-11.6%

Des Moines Independent Community School District

Full-Time Equivalent District Employees By Type (Continued) Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30				
	2008	2009	2010	2011	2012
Specialist, Clerical, and Paraprofessionals					
Central Office	190.4	194.1	189.6	191.1	187.0
Elementary Schools	113.7	114.7	105.2	101.0	100.6
Middle Schools	56.1	47.2	58.6	61.4	63.6
High Schools	109.4	119.9	109.7	126.3	125.1
Special Schools	15.1	9.4	22.6	11.4	19.0
Total specialists, clerical, and paraprofessionals	484.7	485.3	485.7	491.2	495.3
Food Service, Operations, Transportation and Child Care					
Central Office	357.1	365.1	345.6	414.6	380.6
Elementary Schools	267.1	272.0	265.3	166.9	215.8
Middle Schools	113.1	111.9	113.1	105.9	100.9
High Schools	126.5	127.6	134.3	131.4	118.3
Special Schools	12.1	12.3	10.8	12.8	10.4
Total food svc, oper, transportation, and child care	876.0	888.9	869.1	831.6	826.0
Total	4,906.7	4,877.5	4,746.2	4,595.3	4,641.6

* Detail unavailable

Source: District records

email into Patty on 7/28/17

Full-Time Equivalent Employees as of June 30					Percentage Change
2013	2014	2015	2016	2017	2008 - 2017
181.7	206.5	231.0	243.8	237.2	0.25
119.4	124.4	103.9	106.0	107.0	(0.06)
63.9	65.6	65.0	62.4	60.4	0.08
122.9	124.1	135.1	131.6	118.6	0.08
20.9	21.5	17.0	20.0	23.0	0.52
508.8	542.1	552.0	563.8	546.2	0.13
373.0	344.9	336.4	342.0	310.2	(0.13)
216.4	221.1	245.6	247.5	285.6	0.07
97.0	99.5	101.3	103.6	104.6	(0.08)
119.1	124.9	114.1	118.5	117.5	(0.07)
11.2	13.3	13.1	16.0	18.4	0.53
816.7	803.7	810.5	827.5	836.3	(0.05)
4,655.0	4,763.5	4,806.3	5,002.6	4,951.5	0.01

Des Moines Independent Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Enrollment	Operating Expenditures	Cost Per Pupil	Percentage Change	Business-Type Expenses	Cost Per Pupil	Percentage Change
2008	31,218.4	\$ 346,905,851	\$ 11,112	0.09	\$ 18,412,253	\$ 590	(0.01)
2009	31,128.8	359,402,985	11,546	0.04	18,356,947	590	(0.00)
2010	30,783.0	368,369,974	11,967	0.04	17,514,358	569	(3.56)
2011	30,953.9	377,071,229	12,282	0.03	16,914,145	546	(0.04)
2012	31,546.3	383,099,908	12,144	0.01	17,509,877	555	(0.02)
2013	32,062.1	386,110,699	12,043	0.01	19,492,031	608	0.07
2014	32,413.2	412,187,728	12,717	0.06	20,740,564	640	0.12
2015	32,396.1	430,873,303	13,300	0.11	21,898,261	676	0.19
2016	32,581.9	435,783,821	13,375	0.09	23,201,200	712	0.30
2017	32,979.2	449,597,315	13,633	0.12	25,451,501	772	0.39

Fiscal Year	Teaching Staff	Percentage of Students Receiving Free or Reduced-Priced Meals
2008	2,844.9	62
2009	2,819.1	64
2010	2,766.0	65
2011	2,667.0	67
2012	2,690.7	66
2013	2,687.2	68
2014	2,772.7	69
2015	2,802.6	69
2016	2,969.9	73
2017	2,936.7	67

Source: District Records

Note: Operating expenditures represent governmental activity expenditures less interest on long-term debt

Des Moines Independent Community School District

School Building Information

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Elementary:				
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Brubaker	Brubaker	Brubaker	Brubaker
Square feet	78,224	78,224	78,224	78,224
Capacity	720	792	792	792
Enrollment	715	684	680	661
Name (Year)	Capital View	Capital View	Capital View	Capital View
Square feet	75,740	75,740	75,740	75,740
Capacity	710	720	720	720
Enrollment	630	541	551	518
Name (Year)	Carver	Carver	Carver	Carver
Square feet	93,627	91,500	91,500	91,500
Capacity	690	720	720	720
Enrollment	647	560	606	558
Name (Year)	Cattell	Cattell	Cattell	Cattell
Square feet	47,821	47,821	47,821	47,821
Capacity	460	408	408	408
Enrollment	354	400	393	405
Name (Year)	Cowles	Cowles	Cowles	Cowles
Square feet	42,800	42,800	42,800	42,800
Capacity	380	432	432	432
Enrollment	290	299	319	261
Name (Year)	Downtown	Downtown	Downtown	Downtown
Square feet	32,767	32,767	34,966	34,966
Capacity	270	264	264	264
Enrollment	268	258	293	285
Name (Year)	Edmunds	Edmunds	Edmunds	Edmunds
Square feet	45,930	45,930	45,930	45,930
Capacity	320	240	240	240
Enrollment	175	180	211	171
Name (Year)	Findley	Findley	Findley	Findley
Square feet	38,354	38,354	38,354	38,354
Capacity	380	384	384	384
Enrollment	358	345	323	273
Name (Year)	Garton	Garton	Garton	Garton
Square feet	65,648	65,648	65,648	65,648
Capacity	460	720	720	720
Enrollment	602	619	596	596

(Continued)

Fiscal Year						
2012	2013	2014	2015	2016	2017	
Brubaker	Brubaker	Brubaker	Brubaker	Brubaker	Brubaker	Brubaker
78,224	78,224	78,224	78,224	78,224	78,224	78,224
792	792	816	816	816	816	816
694	672	642	704	697	697	727
Capital View	Capital View	Capital View	Capital View	Capital View	Capital View	Capital View
75,740	75,740	75,740	75,740	75,740	75,740	75,740
720	720	720	720	720	720	720
483	539	534	551	568	568	556
Carver	Carver	Carver	Carver	Carver	Carver	Carver
91,500	91,500	91,500	91,500	91,500	91,500	81,885
720	720	720	720	720	720	720
557	611	626	577	555	555	573
Cattell	Cattell	Cattell	Cattell	Cattell	Cattell	Cattell
47,821	47,821	47,821	47,821	47,821	47,821	48,188
408	408	408	408	408	408	408
393	408	411	397	388	388	392
Cowles	Cowles	Cowles	Cowles	Cowles	Cowles	Cowles
42,800	42,800	42,800	42,800	42,800	42,800	45,130
432	432	456	517	517	517	432
284	348	361	364	374	374	375
Downtown	Downtown	Downtown	Downtown	Downtown	Downtown	Downtown
34,966	38,125	38,125	38,125	38,125	38,125	38,125
264	312	312	312	312	312	312
278	274	263	267	268	268	268
Edmunds	Edmunds	Edmunds	Edmunds	Edmunds	Edmunds	Edmunds
45,930	76,385	76,385	76,385	76,385	76,385	76,385
240	576	576	576	576	576	576
274	287	409	435	346	346	329
Findley	Findley	Findley	Findley	Findley	Findley	Findley
38,354	43,548	43,548	43,548	43,548	43,548	43,628
384	384	384	384	384	384	384
292	314	320	342	344	344	338
Garton	Garton	Garton	Garton	Garton	Garton	Garton
65,648	65,648	65,648	65,648	65,648	65,648	65,648
720	720	720	720	720	720	720
522	564	595	624	612	612	649

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Elementary:				
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Greenwood	Greenwood	Greenwood	Greenwood
Square feet	61,744	61,744	61,744	61,744
Capacity	450	456	456	456
Enrollment	454	453	450	412
Name (Year)	Hanawalt	Hanawalt	Hanawalt	Hanawalt
Square feet	43,246	43,246	43,246	43,246
Capacity	410	408	408	408
Enrollment	418	416	365	358
Name (Year)	Hillis	Hillis	Hillis	Hillis
Square feet	44,825	57,720	57,720	57,720
Capacity	410	420	600	600
Enrollment	468	460	471	431
Name (Year)	Howe	Howe	Howe	Howe
Square feet	38,505	38,505	38,505	38,505
Capacity	320	312	312	312
Enrollment	340	300	307	304
Name (Year)	Hubbell	Hubbell	Hubbell	Hubbell
Square feet	53,327	53,327	53,327	53,327
Capacity	390	456	456	456
Enrollment	402	390	394	405
Name (Year)	Jackson	Jackson	Jackson	Jackson
Square feet	35,872	35,872	45,585	45,585
Capacity	420	432	456	456
Enrollment	402	385	345	403
Name (Year)	Jefferson	Jefferson	Jefferson	Jefferson
Square feet	42,750	42,750	42,750	42,750
Capacity	480	408	408	408
Enrollment	421	426	432	426
Name (Year)	King	King	King	King
Square feet	51,414	54,171	54,171	54,171
Capacity	330	408	408	408
Enrollment	347	282	318	344
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Lovejoy	Lovejoy	Lovejoy	Lovejoy
Square feet	31,806	31,806	31,806	31,806
Capacity	310	288	288	288
Enrollment	272	357	366	322

(Continued)

Fiscal Year							
2012	2013	2014	2015	2016	2017		
Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	Greenwood	
61,744	61,744	61,744	61,744	61,744	61,744		62,227
456	456	456	456	456	456		456
413	446	414	384	325			299
Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	Hanawalt	
43,246	43,246	43,246	43,246	43,246	43,246		43,246
408	408	408	408	408	408		408
345	352	376	373	362			358
Hillis	Hillis	Hillis	Hillis	Hillis	Hillis	Hillis	
57,720	57,720	57,720	57,720	57,720	57,720		57,720
600	600	600	600	600	600		600
425	483	507	534	447			381
Howe	Howe	Howe	Howe	Howe	Howe	Howe	
38,505	38,505	38,505	38,505	38,505	38,505		34,320
312	312	312	312	312	312		312
276	297	282	298	312			310
Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	Hubbell	
53,327	53,327	53,327	53,327	53,327	53,327		53,327
456	456	456	456	456	456		456
435	455	447	428	423			415
Jackson	Jackson	Jackson	Jackson	Jackson	Jackson	Jackson	
45,585	45,585	45,585	45,585	45,585	45,585		45,585
456	456	456	456	456	456		456
395	413	418	435	429			467
Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	Jefferson	
42,750	45,830	45,830	45,830	45,830	45,830		45,830
408	408	408	456	456			456
433	434	430	425	439			408
King	King	King	King	King	King	King	
54,171	54,171	54,171	54,171	54,171	54,171		54,171
408	408	408	456	456			456
335	335	362	376	358			336
Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	Lovejoy	
31,806	39,154	39,154	39,154	39,154	39,154		39,154
288	456	456	456	456			456
333	332	349	380	389			383

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Elementary:				
Name (Year)	Madison	Madison	Madison	Madison
Square feet	42,049	42,049	42,049	42,049
Capacity	430	408	408	408
Enrollment	359	334	368	316
Name (Year)	McKinley	McKinley	McKinley	McKinley
Square feet	49,994	49,994	49,994	49,994
Capacity	380	360	360	360
Enrollment	363	292	292	316
Name (Year)	Mitchell - Bridges	Mitchell		
Square feet	31,682	31,682		
Capacity	350	264		
Enrollment	135	-		
Name (Year)	Monroe	Monroe	Monroe	Monroe
Square feet	73,997	73,997	73,997	73,997
Capacity	660	576	576	576
Enrollment	533	523	485	501
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Morris	Morris	Morris	Morris
Square feet	70,656	70,656	70,656	70,656
Capacity	700	744	744	744
Enrollment	583	630	691	602
Name (Year)	Moulton	Moulton	Moulton	Moulton
Square feet	121,650	121,650	121,650	121,650
Capacity	620	744	744	744
Enrollment	460	419	398	366
Name (Year)	Oak Park	Oak Park	Oak Park	Oak Park
Square feet	59,497	59,497	59,497	59,497
Capacity	380	408	408	408
Enrollment	405	403	410	403
Name (Year)	Park Avenue	Park Avenue	Park Avenue	Park Avenue
Square feet	59,565	59,565	59,565	59,565
Capacity	560	552	552	552
Enrollment	481	482	502	457
Name (Year)	Perkins	Perkins	Perkins	Perkins
Square feet	56,540	56,540	56,540	56,540
Capacity	420	432	432	432
Enrollment	453	460	438	461
Name (Year)	Phillips	Phillips	Phillips	Phillips
Square feet	41,936	41,936	41,936	41,936
Capacity	380	336	336	336
Enrollment	370	379	394	359

(Continued)

Fiscal Year							
2012	2013	2014	2015	2016	2017		
Madison	Madison	Madison	Madison	Madison	Madison		
42,049	42,049	42,049	42,049	42,049	42,049	42,049	
408	408	408	408	408	408	408	
333	409	377	346	317		267	
McKinley	McKinley	McKinley	McKinley	McKinley	McKinley		
49,994	49,994	49,994	49,994	49,994	49,994	49,994	
360	360	360	360	360	360	360	
342	319	331	343	293		264	
Monroe	Monroe	Monroe	Monroe	Monroe	Monroe		
73,997	73,997	73,997	73,997	73,997	73,997	73,997	
576	576	576	600	600	600	600	
495	533	553	536	535		547	
				Moore	Moore		
					51,848	51,848	
					432	432	
					188	260	
Morris	Morris	Morris	Morris	Morris	Morris		
70,656	70,656	70,656	70,656	70,656	70,656	70,656	
744	744	744	744	744	744	744	
616	617	612	595	579		601	
Moulton	Moulton	Moulton	Moulton	Moulton	Moulton		
121,650	121,650	121,650	121,650	121,650	121,650	121,650	
744	744	744	744	744	744	744	
357	428	474	457	471		469	
Oak Park	Oak Park	Oak Park	Oak Park	Oak Park	Oak Park		
59,497	59,497	59,497	59,497	59,497	59,497	59,497	
408	408	408	408	408	408	408	
407	399	396	406	424		418	
Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue	Park Avenue		
59,565	64,925	64,925	64,925	64,925	64,925	64,925	
552	552	552	600	600	600	600	
465	472	472	424	451		430	
Perkins	Perkins	Perkins	Perkins	Perkins	Perkins		
56,540	56,540	56,540	65,064	65,064	65,064	65,064	
432	432	432	528	528	528	528	
436	438	441	464	482		457	
Phillips	Phillips	Phillips	Phillips	Phillips	Phillips		
41,936	41,936	41,936	41,936	41,936	41,936	41,936	
336	336	336	336	336	336	336	
362	404	407	387	373		359	

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Elementary:				
Name (Year)	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill
Square feet	36,161	36,161	36,161	36,161
Capacity	310	312	312	312
Enrollment	347	316	310	270
Name (Year)	River Woods	River Woods	River Woods	River Woods
Square feet	58,126	58,126	58,126	58,126
Capacity	500	504	504	504
Enrollment	491	501	530	489
Name (Year)	Samuelson(@Woodlawn)	Samuelson	Samuelson	Samuelson
Square feet	46,548	56,586	56,586	56,586
Capacity	450	504	504	504
Enrollment	534	467	475	481
Name (Year)	South Union	South Union	South Union	South Union
Square feet	68,508	68,508	68,508	68,508
Capacity	630	696	696	696
Enrollment	572	560	533	542
Name (Year)	Stowe	Stowe	Stowe	Stowe
Square feet	36,000	56,967	56,967	56,967
Capacity	400	408	408	408
Enrollment	352	364	408	416
Name (Year)	Studebaker	Studebaker	Studebaker	Studebaker
Square feet	42,272	42,272	42,272	42,272
Capacity	420	456	456	456
Enrollment	461	437	435	454
Name (Year)				
Square feet				
Capacity				
Enrollment				
Name (Year)	Walnut Street	Walnut Street	Walnut Street	Walnut Street
Square feet	38,800	58,212	58,212	58,212
Capacity	NA	384	384	384
Enrollment	212	248	250	205
Name (Year)	Willard	Willard	Willard	Willard
Square feet	59,301	59,301	59,301	59,301
Capacity	560	600	600	600
Enrollment	427	434	437	432
Name (Year)	Windsor	Windsor	Windsor	Windsor
Square feet	60,475	60,475	60,475	60,475
Capacity	420	408	408	408
Enrollment	375	415	400	384
Name (Year)	Wright	Wright	Wright	Wright
Square feet	30,300	30,300	30,300	30,300
Capacity	310	312	312	312
Enrollment	284	273	252	273

(Continued)

Fiscal Year						
2012	2013	2014	2015	2016	2017	
Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	Pleasant Hill	
36,161	41,270	41,270	41,270	41,270	41,270	41,270
312	312	312	408	408	408	408
283	312	309	309	315	315	255
River Woods	River Woods	River Woods	River Woods	River Woods	River Woods	
58,126	59,950	58,126	64,773	64,773	64,773	64,773
504	504	504	600	600	600	600
509	509	540	545	541	541	594
Samuelson	Samuelson	Samuelson	Samuelson	Samuelson	Samuelson	
56,586	58,678	58,678	58,678	58,678	58,678	58,678
504	528	528	528	528	528	528
514	526	515	527	470	470	452
South Union	South Union	South Union	South Union	South Union	South Union	
68,508	68,508	68,508	68,508	68,508	68,508	68,508
696	696	696	696	696	696	696
545	578	562	520	504	504	513
Stowe	Stowe	Stowe	Stowe	Stowe	Stowe	
56,967	56,967	56,967	56,967	56,967	56,967	56,967
408	408	408	408	408	408	408
389	362	363	365	374	374	399
Studebaker	Studebaker	Studebaker	Studebaker	Studebaker	Studebaker	
42,272	45,400	45,400	45,400	45,400	45,400	45,400
456	504	504	504	504	504	504
401	416	479	451	454	454	500
Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street	Walnut Street	
58,212	58,212	58,212	58,212	97,020	97,020	97,020
384	384	414	414	630	630	630
281	312	278	283	292	292	291
Willard	Willard	Willard	Willard	Willard	Willard	
59,301	59,301	59,301	59,301	59,301	59,301	59,301
600	600	600	600	600	600	600
439	426	437	429	410	410	355
Windsor	Windsor	Windsor	Windsor	Windsor	Windsor	
60,475	60,475	60,475	60,475	60,475	60,475	60,475
408	408	408	408	408	408	408
416	425	394	360	338	338	358
Wright	Wright	Wright	Wright	Wright	Wright	
30,300	30,300	30,300	30,300	30,300	30,300	30,300
312	312	288	288	288	288	288
248	271	258	289	284	284	265

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Middle:				
Name (Year)	Brody	Brody	Brody	Brody
Square feet	90,500	90,500	90,500	90,500
Capacity	650	637	637	637
Enrollment	738	720	688	689
Name (Year)	Callanan	Callanan	Callanan	Callanan
Square feet	116,037	116,037	116,037	116,037
Capacity	700	828	828	828
Enrollment	591	612	604	607
Name (Year)	Goodrell	Goodrell	Goodrell	Goodrell
Square feet	110,495	110,495	110,495	110,495
Capacity	700	871	871	871
Enrollment	611	591	614	608
Name (Year)	Harding	Harding	Harding	Harding
Square feet	125,339	125,339	125,339	125,339
Capacity	840	828	828	828
Enrollment	530	557	581	556
Name (Year)	Hiatt	Hiatt	Hiatt	Hiatt
Square feet	103,060	103,060	103,060	103,060
Capacity	800	743	743	743
Enrollment	484	504	533	579
Name (Year)	Hoyt	Hoyt	Hoyt	Hoyt
Square feet	99,874	99,874	99,874	99,874
Capacity	750	850	850	850
Enrollment	590	608	594	580
Name (Year)	McCombs	McCombs	McCombs	McCombs
Square feet	78,978	78,978	78,978	78,978
Capacity	650	701	701	701
Enrollment	589	582	594	626
Name (Year)	Meredith	Meredith	Meredith	Meredith
Square feet	107,316	107,316	107,316	107,316
Capacity	850	871	871	871
Enrollment	654	645	638	607
Name (Year)	Merrill	Merrill	Merrill	Merrill
Square feet	89,500	89,500	89,500	89,500
Capacity	650	658	658	658
Enrollment	608	592	615	623
Name (Year)	Weeks	Weeks	Weeks	Weeks
Square feet	112,390	112,390	112,390	112,390
Capacity	900	1,041	1,041	1,041
Enrollment	754	757	749	677

(Continued)

Fiscal Year						
2012	2013	2014	2015	2016	2017	
Brody	Brody	Brody	Brody	Brody	Brody	Brody
90,500	90,500	98,082	98,082	98,082	98,082	99,182
637	871	871	871	871	871	871
680	702	744	736	749	749	745
Callanan	Callanan	Callanan	Callanan	Callanan	Callanan	Callanan
116,037	116,037	116,037	116,037	116,037	116,037	116,037
828	828	828	828	828	828	828
643	626	620	572	561	561	592
Goodrell	Goodrell	Goodrell	Goodrell	Goodrell	Goodrell	Goodrell
110,495	110,495	110,495	110,495	110,495	110,495	110,495
871	871	871	893	893	893	893
594	591	619	633	632	632	628
Harding	Harding	Harding	Harding	Harding	Harding	Harding
125,339	125,339	125,339	125,339	125,339	125,339	125,339
828	828	850	850	850	850	850
534	619	700	767	773	773	743
Hiatt	Hiatt	Hiatt	Hiatt	Hiatt	Hiatt	Hiatt
103,060	103,060	109,879	109,879	109,879	109,879	109,879
743	850	850	850	850	850	850
609	634	626	551	589	589	592
Hoyt	Hoyt	Hoyt	Hoyt	Hoyt	Hoyt	Hoyt
99,874	99,874	100,691	100,691	100,691	100,691	100,691
850	850	893	893	893	893	893
533	518	488	488	510	510	522
McCombs	McCombs	McCombs	McCombs	McCombs	McCombs	McCombs
78,978	78,978	88,258	88,258	88,258	88,258	88,258
701	807	807	829	829	829	829
591	664	657	662	691	691	722
Meredith	Meredith	Meredith	Meredith	Meredith	Meredith	Meredith
107,316	107,316	107,316	107,316	107,316	107,316	107,316
891	891	891	891	891	891	891
687	666	715	713	737	737	734
Merrill	Merrill	Merrill	Merrill	Merrill	Merrill	Merrill
89,500	89,500	94,162	94,162	94,162	94,162	94,162
658	658	658	701	701	701	701
671	658	705	718	730	730	741
Weeks	Weeks	Weeks	Weeks	Weeks	Weeks	Weeks
112,390	112,390	112,390	112,390	112,390	112,390	112,390
1,041	1,041	1,041	1,063	1,063	1,063	1,063
675	689	633	670	717	717	742

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
High:				
Name (Year)	East	East	East	East
Square feet	344,376	344,376	344,376	344,376
Capacity	2,100	2,337	2,337	2,337
Enrollment	2,216	2,160	2,224	2,266
Name (Year)	Hoover	Hoover	Hoover	Hoover
Square feet	183,400	183,400	183,400	183,400
Capacity	1,175	1,083	1,083	1,083
Enrollment	1,174	1,115	1,130	1,075
Name (Year)	Lincoln	Lincoln	Lincoln	Lincoln
Square feet	312,628	312,628	312,628	312,628
Capacity	1,800	1,848	1,848	1,848
Enrollment	2,203	2,181	2,262	2,252
Name (Year)	Kurtz	Kurtz	Kurtz	Kurtz
Square feet	106,264	106,264	106,264	106,264
Capacity	730	637	637	637
Enrollment				
Name (Year)	North	North	North	North
Square feet	220,960	220,960	220,960	220,960
Capacity	1,150	1,147	1,147	1,147
Enrollment	1,139	1,133	1,170	1,133
Name (Year)	Roosevelt	Roosevelt	Roosevelt	Roosevelt
Square feet	282,050	282,050	239,117	239,117
Capacity	1,550	1,145	1,678	1,678
Enrollment	1,671	1,654	1,654	1,628

(Continued)

Fiscal Year							
2012	2013	2014	2015	2016	2017		
East	East	East	East	East	East	East	
344,376	344,376	344,376	344,376	344,376	344,376	344,376	344,376
2,337	2,337	2,337	2,337	2,337	2,337	2,337	2,337
2,230	2,288	2,291	2,286	2,303	2,303	2,303	2,329
Hoover	Hoover	Hoover	Hoover	Hoover	Hoover	Hoover	
183,400	183,400	191,700	191,700	191,700	191,700	191,700	191,700
1,105	1,105	1,105	1,105	1,105	1,105	1,105	1,105
1,065	1,028	966	1,016	1,070	1,070	1,070	1,062
Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	Lincoln	
312,628	312,628	312,628	312,628	312,628	312,628	312,628	312,628
1,848	1,848	1,848	1,848	1,848	1,848	1,848	1,848
2,218	2,144	2,185	2,166	2,245	2,245	2,245	2,355
Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	Kurtz(Lincoln 9th Grade)	
106,264	106,498	106,264	106,264	106,264	106,264	106,264	106,498
637	637	637	637	637	637	637	637
%	%	%	%	%	%	%	%
North	North	North	North	North	North	North	
220,960	220,960	249,639	249,639	249,639	249,639	249,639	249,639
1,253	1,253	1,253	1,253	1,253	1,253	1,253	1,253
1,121	1,182	1,251	1,196	1,253	1,253	1,253	1,274
Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	Roosevelt	
239,117	239,117	239,117	240,317	240,317	240,317	240,317	240,317
1,785	1,785	1,785	1,785	1,785	1,785	1,785	1,785
1,659	1,658	1,708	1,819	1,790	1,790	1,790	1,925

Des Moines Independent Community School District

School Building Information (Continued)

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Special Schools:				
Name (Year)	Central Campus	Central Campus	Central Campus	Central Campus
Square feet	456,660	456,660	456,660	456,660
Capacity	1,500	1,615	1,615	1,615
Enrollment	\$	\$	\$	\$
Name (Year)	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$
Square feet	86,426	86,426	86,426	86,426
Capacity	658	658	658	658
Enrollment	\$	\$	\$	\$
Name (Year)	Scavo @ Central Campus	Scavo @ Central Campus	Scavo @ Central Campus	Scavo @ Moore
Square feet	see Central Campus	- - - - -	- - - - -	45,334
Capacity	see Central Campus	- - - - -	- - - - -	504
Enrollment	394	399	301	266
Name (Year)	Smouse ****	Smouse ****	Smouse	Smouse
Square feet	53,809	53,809	53,809	53,809
Capacity	NA	NA	384	384
Enrollment	121	136	137	110
Name (Year)	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****
Square feet	56,460	56,460	56,460	56,460
Capacity	NA	NA	403	403
Enrollment	192	189	170	168

(Continued)

Fiscal Year						
2012	2013	2014	2015	2016	2017	
Central Campus	Central Campus	Central Campus	Central Campus	Central Campus	Central Campus	
456,660	456,660	456,660	456,660	456,660	456,660	
1,530	1,328	1,328	1,848	1,848	1,848	
\$	\$	\$	\$	\$	\$	
Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	Central Academy \$	
86,426	86,426	86,426	86,426	86,426	86,426	
658	658	658	658	658	658	
\$	\$	\$	\$	\$	\$	
Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	Scavo @ Moore	
45,334	45,334	45,334	see Central Campus	see Central Campus	see Central Campus	
504	504	504	see Central Campus	see Central Campus	see Central Campus	
272	304	265	359	459	390	
Smouse	Smouse	Smouse	Smouse	Smouse	Smouse	
53,809	53,809	53,809	53,809	53,809	53,809	
384	384	384	384	384	384	
100	128	110	93	83	71	
Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	Van Meter ****	
56,460	56,460	56,460	56,460	56,460	58,636	
403	403	403	553	553	553	
174	170	163	156	158	138	

Des Moines Independent Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2008	2009	2010	2011
Other:				
Name (Year)	Casady	Casady	Casady	Casady
Square feet	43,709	43,709	43,709	43,709
Name (Year)	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
Square feet	12,500	12,500	12,500	12,500
Name (Year)	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
Square feet	56,186	56,186	56,186	56,186
Name (Year)	Walker Street %	Walker Street %	Walker Street %	Walker Street %
Square feet	33,481	33,481	33,481	33,481
Name (Year)	Operations Center	Operations Center	Operations Center-Dean	Operations Center-Dean
Square feet	-	-	97,404	97,404
Name (Year)	McKee	McKee	McKee	McKee
Square feet	43,400	43,400	43,400	43,400
Name (Year)			Mitchell	Mitchell
Square feet			31,682	31,682
Name (Year)	Mann	Mann	Mann	Mann
Square feet	32,490	32,490	32,490	32,490
Name (Year)	MSSV-1915 Prospect	MSSV-1915 Prospect	MSSV-1915 Prospect	MSSV-1915 Prospect
Square feet	52,573	52,573	52,573	52,573
Name (Year)	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin
Square feet	77,600	58,212	58,212	58,212
Name (Year)				
Square feet				
Name (Year)				
Square feet				
Name (Year)	Welcome Center	Welcome Center	Welcome Center	Welcome Center
Square feet	6,200	6,200	6,200	6,200
Name (Year)				
Square feet				

Source: District records.

**** Special needs schools do not have an "ideal capacity". It depends on the needs of the children that are attending and may vary year to year.

% Building being used to house the 9th graders. The enrollment is rolled into high school totals

\$ Magnet schools, students who attend are included with enrollment totals at home Middle or High School:

Revised in 2014 to better match District schedules. Closed buildings moved to 'other', 'special' schools category broken out

Fiscal Year						
2012	2013	2014	2015	2016	2017	
Casady	Casady	Jesse Taylor @ Cassady	Jesse Taylor @ Cassady	Jesse Taylor @ Cassady	Jesse Taylor @ Cassady	Jesse Taylor @ Cassady
43,709	43,709	45,297	45,297	45,297	45,297	
Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab	Central Campus Ag Lab
12,500	12,500	12,500	12,500	12,500	19,292	
Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center	Central Nutrition Center
56,186	56,186	56,186	56,186	56,186	56,186	
Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %	Walker Street %
33,481	33,481	33,481	33,481	33,481	32,300	
Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean	Operations Center-Dean
97,404	97,404	97,404	97,404	97,404	97,404	
McKee	McKee	McKee	McKee	McKee	McKee	McKee
43,400	43,400	43,400	43,400	43,400	43,400	
Mitchell	Mitchell	Mitchell	Mitchell	Mitchell	Mitchell	Mitchell
31,682	31,682	31,682	31,682	31,682	31,682	
Mann	Mann	Mann	Mann	Mann	Mann	Mann
32,490	32,490	32,490	32,490	32,490	30,866	
MSSV-1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect	1915 Prospect
52,573	52,573	52,573	52,573	52,573	52,573	
Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin	Walnut St Admin
58,212	58,212	58,212	19,404	-	-	
			2323 Grand	2323 Grand	2323 Grand	2323 Grand
			53,200	49,734	49,734	
				2100 Fleur	2100 Fleur	2100 Fleur
				36,673	36,673	
	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr	Woodlawn Education Ctr
	46,548	46,548	46,548	46,548	46,548	
Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center	Welcome Center
6,200	6,200	6,200	6,200	6,200	6,200	
					Central Campus Aviation	Central Campus Aviation
					24,900	

Des Moines Independent Community School District

Capital Asset Information

Last Ten Fiscal Years

(Unaudited)

Schools:	Fiscal Year			
	2008	2009	2010	2011
Elementary:				
Buildings	46	46	43	44
Square feet	2,365,082	2,418,986	2,305,821	2,335,017
Capacity	19,791	20,532	20,040	19,584
Enrollment	15,881	15,428	15,565	15,286
Middle:				
Buildings	12	12	12	12
Square feet	1,196,213	1,196,213	1,196,213	1,196,213
Capacity	8,220	8,665	9,068	9,068
Enrollment	6,341	6,357	6,380	6,320
High:				
Buildings	7	7	7	8
Square feet	1,886,500	1,886,500	1,843,567	1,888,901
Capacity	9,275	9,833	10,366	10,870
Enrollment	11,038	8,243	8,745	11,262
Special Schools:				
Buildings				
Square feet				
Capacity				
Enrollment				
Other:				
Buildings	6	6	8	7
Square feet	214,397	214,397	445,095	289,553
Total District Sq Ft (less modulars)	5,662,192	5,716,096	5,790,696	5,709,684
Transportation:				
Garages	1	1	1	1
Buses	131	131	134	135
Athletics:				
Football fields	5	5	5	5
Soccer fields	-	-	-	-
Running tracks	6	6	6	6
Baseball/softball	10	10	10	10
Swimming pools	8	8	8	8
Playgrounds	46	46	46	44

Revised in 2014 to better match District schedules. Closed buildings moved to 'other', 'special' schools category broken out.

Scavo, Ruby Van Meter, Smouse enrollments only; Central Campus and Central Academy enrollments are included with students' home middle or high school.

Source: District records.

Fiscal Year					
2012	2013	2014	2015	2016	2017
		#	#	#	#
44	44	36	36	37	37
2,338,302	2,338,302	2,117,554	2,132,725	2,223,381	2,212,841
19,680	19,968	17,840	18,261	19,459	19,374
15,105	15,848	15,944	15,930	15,944	15,618
12	12	10	10	10	10
1,196,213	1,196,213	1,062,649	1,062,649	1,062,649	1,063,749
9,088	9,535	8,560	8,669	8,669	8,669
6,391	6,537	6,507	6,510	6,689	6,761
8	8	6	6	6	6
1,888,901	1,888,901	1,443,724	1,444,924	1,445,158	1,445,158
11,020	10,818	8,965	8,965	8,965	8,965
8,565	8,604	8,401	8,483	8,661	8,945
		5	4	4	4
		698,689	653,355	653,355	655,531
		3,277	3,443	3,443	3,443
		538	608	700	599
7	7	12	13	14	15
347,765	347,765	515,973	530,365	544,168	573,055
5,771,181	5,771,181	5,838,589	5,824,018	5,928,711	5,950,334
1	1	1	1	1	1
135	132	136	130	135	137
5	5	4	4	4	4
-	-	-	-	-	-
6	6	5	5	5	5
10	10	10	10	10	10
8	8	8	8	7	7
44	44	41	39	42	42